Business Transactions

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Interest Calculation

Purpose

You use this component to determine and post interest receivables and payables.

Features

The Interest Calculation component covers the subcomponents Item Interest Calculationand Balance Interest Calculation.

Interest Calculation Rule

Definition

Key that defines the rules for calculating interest, and which the system uses for determining all factors that influence interest calculation.

Use

You assign interest calculation rules to interest keys.

Interest rules can refer to a reference interest rate.

Structure

You define interest calculation rules in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Interest Calculation** > **Item Interest Calculation** > **Define Interest Calculation Rules** . You define date-dependent and/or amount-dependent interest rates for an interest calculation rule. You can also calculate interest on the basis of whole months. Or interest calculation rules can refer to a reference interest rate. Other influencing factors are:

- Interest calculation method

  The interest calculation method is defined by the DAYS/DAILY BASIS quotients and as a factor of the percentage calculation leads to an interval-based percentage calculation. For example, you can define a year with 360 days (banking calendar) or 365/366 days (Gregorian calendar) as a daily basis. The days relevant to the interest calculation would then be determined according to the banking calendar (30 days in each month) or the current calendar (the actual number of days).

- Graduated interest calculation

  You can calculate interest on a scale.

- Interest interval

  The defined interest rate is a yearly, monthly, weekly, or daily interest rate.

- Rounding for interest calculations

  You can round the amount to be used for calculating interest before the actual interest calculation. You define rounding rules in the interest conditions for the interest calculation rule in Customizing for Contract Accounts Receivable and

Payable under Business Transactions > Interest Calculation > Item Interest Calculation > Define Interest Calculation Rules.

In event 2075, you can round the result of the interest calculation up or down. If you process the function module FKK_ROUND_INT_AMOUNT in event 2075, you can round interest calculated with the function module FKK_INTEREST_CALC according to values defined in Customizing (see Customizing for Contract Accounts Receivable and Payable under Basic Functions > Postings and Documents > Basic Settings > Define Rounding Rules for Currencies).

If you process the function module FKK_SAMPLE_ROUND_2040 in event 2040, the interest is not rounded until the line items have been created for the interest document to be posted and the interest items have been summarized.

With a function module processed in event 2092, you can determine the number of days for which you do not calculate a supplement to the reference interest rate for your customers.

Interest Key

Definition

Key for determining the factors that influence interest calculation and posting. Interest keys are assigned at item level or at contract account level.

Use

The system only calculates interest on those items for which it is able to determine an interest key. You can assign contract accounts, items or dunning levels to an interest key. You can define whether a special interest key is to be used for additional receivables, in the associated subtransaction. The system normally determines the interest key for each industry, but can also do so on a customer-by-customer basis. The interest key refers to an interest calculation rule by means of which the system determines the valid interest rate in terms of date and amount. The system determines the calculation type some of the factors that influence interest calculation. The system determines the following factors influencing the interest calculation directly using the interest key:

Influencing factor	Description
Tolerance days	Granted to a customer in the case of overdue items. Interest is not calculated on debit items provided that the tolerance days have not expired. If the tolerance days have expired, the system calculates interest from the original due date. If clearing takes place within the tolerance period, overdue interest cannot be calculated.
Transfer days	Consider the time needed for a payment method. Interest is calculated from the date: Due date + tolerance days
Transfer and tolerance days	If an item transfer and the tolerance days have been entered, they are taken separately into account. If one transfer day and five tolerance days are granted, and expire five days after the due date, the interval from the due date + transfer days (exclusively) is taken into account. If clearing takes place within five days, no interest can be posted.
Interest calculation frequency	The interest frequency prevents an item from being calculated again after a short period. Since demanding interest (for example, sending an interest notification) is time-consuming and involves costs, interest is not calculated unless the interest period

	determined by the interest frequency has expired. The interest frequency consists of a number field and a time unit.

We recommend that for interest calculation, items that the system rounds before the interest calculation (for example, rounding to the nearest 100,-), and summarizing subitems before the interest calculation. To do so, in the interest key set the Summarize Subitems before Interest Calculation indicator (Implementation Guide for Contract Accounts Receivable and Payable: Business Transactions → **Interest Calculation** → **Item Interest Calculation** → **Define Interest Keys**). If you also set the indicator **Consider All Subitems for Interest Calculation**, the system automatically selects missing subitems when calculating interest on subitems. This ensures that even where receivables are split for technical reasons, interest is calculated on the whole amount. Event 2085 offers even more extensive options for the summarization of items before the interest calculation. There you can, for example, group items and, if you use different interest rates to calculate interest on receivables and payables, use the interest rate for receivables if the amount of the receivables exceeds that of the payables (see documentation of the function modules FKK_SAMPLE_2085, FKK_CONDENSE_2085).

Structure

Define interest keys in Customizing (see Implementation Guide for Contract Accounts Receivable and Payable → **Business Transactions** → **Interest Calculation** → **Item Interest Calculation** → **Define Interest Keys**).

Integration

The interest key refers to a valid interest calculation rule to which other influencing factors for the interest calculation are stored.

Interest Document

Definition

A document from Contract Accounts Receivable and Payable that is created as part of an interest posting.

Use

An interest document is created during an interest posting. Interest posting is integrated in different business transactions.

In addition to the usual document data, an interest document also contains information about the basis for the interest posting. This information is contained in the interest supplement. This interest supplement shows items with the amount and period for which interest was calculated. The interest key is also recorded in the interest supplement. This makes it possible to see which influencing factors were valid for the interest calculation and posting.

⚠ Caution

If you subsequently change the system settings for the interest calculation rule or for the interest key, the interest calculation can no longer be traced due to the interest supplement.

Structure

An interest document is structured according to the structures of a document in Contract Accounts Receivable and Payable: Document header, document items, G/L account items. An interest supplement is also created for an interest document.

Display interest supplement

Prerequisites

You have posted an interest document.

Procedure

You can display the interest supplement from the account or line item display.

Calling from the account balance display:

1. In the SAP menu, choose Account > Account Balance.

   The initial screen for entering the selection criteria is displayed.

2. Enter the required selection criteria (for example, business partner, contract account, contract, company code), and choose Continue.

3. Position the cursor on the required account and display the documents.

4. Select an interest document. Choose Extras > Interest Supplement to display the interest supplement.

   > **Note**
   > This is only possible if the line layout variant is a line item variant and not a totals variant, so that the underlying document item can be identified.

Calling from the item display:

1. In the SAP menu, choose Document > Display.

   The initial screen for entering selection criteria appears.

2. Enter the document number of the interest document.

3. Place the cursor on the required document item and choose Extras > Interest Supplement.

Posting Debit and Credit Interest Manually

Purpose

In addition to posting interest from business transactions (in connection with a dunning run, for instance), you can also post debit and credit interest on overdue items manually.

You can display the results of interest calculation and create an interest notification for the business partner in question using the Correspondence application component (see Printing Interest Notifications).

Prerequisites

Customizing is complete. Interest key determination and an amount limit check have been defined.

Process Flow

1. Select the business partner and/or contract account for which you want to post interest.
2. The system determines the items due for interest with your selection criteria.
3. Post the interest document. You may post any or all of the items matching the selection.

ℹ Note

For a more detailed procedure, see Editing Items Due for Interest .

Interest cannot be calculated on an item for the following reasons:

- The item is locked for interest calculation.

An interest lock reason has been entered in the item.

- No interest key can be determined for the item.

An interest key can be entered in a contract account, item or in the system settings for the dunning level in a dunning procedure. If no interest key can be determined, the item is locked from interest calculation. Interest keys are determined on an industry and/or customer basis.

- An item is not yet due.

Overdue interest cannot be calculated.

- An item is not ready for interest calculation.

Transfer days, tolerance days and interest frequency are all determined from the interest key. Interest may not be able to be calculated on an item depending on a given setting.

- Interest was already calculated on an item in the current time period.

Repeated interest calculation is not permitted.

- Items where no interest calculation is possible because of the statistical key, or because the item is an additional receivable, do not appear in the item selection for interest calculation.

Editing Items Due for Interest

Prerequisites

There are items due for interest.

⚠ You cannot use this function to calculate interest on items included in an installment plan or that belong to a collective bill.

Procedure

1. Choose one of the following paths:

- **Roles**

Process Outstanding Payments > (SAP_FI_CA_OUTSTANDING_PAYMENTS) > Post Interest

- **SAP Menu**

Account > Interest > Post

The initial screen for entering selection criteria appears.

1. Enter the required selection criteria. (See also Calculating Interest Only on Open/Cleared Items)

1. You can now start interest calculation and posting by pressing the **Post Directly** button.

In this case, an interest document is posted. The interest amount in this document takes into account all items that correspond to the selection criteria and that are permitted for the interest calculation. The number of the interest document appears in the status line.

To select individual items for interest calculation, continue with step 4.

1. From the menu, choose **Interest > Select Line Items**.

The screen for selecting items appears. You see a list of items that are due for interest. In the second column of the item selection table, the icon tells you whether interest can be calculated on an item. If the icon appears, you can double-click on it to obtain information about why interest cannot be calculated on the item.

1. Select the items on which you want to calculate interest.

1. Now you can do any of the following:

1. You can display the interest history for a selected item. Choose **Display Interest History** .
2. You can determine the interest resulting from the current line item selection. Choose **Calculate Interest** .
3. You can post the interest document. Choose **Post** (Save).
4. You can post statistical interest documents that are cleared by the posting. To do so, choose **Interest > Post Cleared.** The interest items (statistical indicator **G**) are cleared by the posting. No receivables or payables arise from the posting. The posting is updated in the interest history, whereby the interest supplement contains the interest key and interest rate; the amount is 0. When you post the document, the authorization object F_KKINT runs and the system checks the authorization for activity 34 (Write). SAP recommends posting statistical interest documents if, for example, a clerk has agreed with a customer that the interest for the outstanding receivables is no longer applicable if the customer pays an agreed amount within a certain period. This agreement is documented by the statistical interest posting in the interest history. If the customer does not fulfill the agreement, you can calculate interest on open receivables once the period specified has expired.

You can display the details of the interest calculation. Choose **Display Interest** . The overview screen for interest calculation appears. This shows you how interest was calculated (interest parameters) and which items were posted.

You can print out an interest notification. Choose **Save + Create Notification.** The interest document is posted and a print request is created.

Automatic Posting of Debit Interest

You can calculate interest on debit items as part of the dunning run or in a separate mass run.

Posting Interest in Mass Runs

Use

In addition to posting interest from business transactions (in connection with a dunning run, for example), you can also post debit interest on overdue items in a separate mass run.

Prerequisites

The same prerequisites apply as for manual posting of interest (IMG Structure **Contract Accounts Receivable and Payable** → **Business Transactions** → **Interest Calculation** → **Item Interest Calculation**).

Key Features

The interest run posts interest documents, and, using the application component **Correspondence**, creates an interest notification when necessary. You can use all the options as for posting interest online. You can:

Debit interest and credit items separately or together

Restrict the selection to open or cleared items only

Post the interest statistically or relevant to the general ledger

The issue date is the date on which the interest run is to take place. It is used as the document date for the interest document. Additionally, the **Calculate Interest Until** date is checked against the issue date. Interest calculation at a time in the future is not allowed. You can select items for which interest is to be calculated by business partner or by contract account. You define this under **Technical Settings** using the parallelization object. If you select the business partner (GPART) as parallelization object, processing is by business partner. All documents of a business partner are analyzed together. The interest is calculated together for all documents. For each business partner the system posts one interest document; interest notifications can only be created per business partner. If you select the contract account (VKONT) as parallelization object, documents and notifications are created per contract account. Using the application component **Correspondence**, you can create an interest notification to inform the relevant business partner. Use the simulation run to test the completeness of the Customizing or to determine interest amounts without posting them. To do this, use the detail log.

Activities

Choose one of the following paths:

Role

Receivables Administration (SAP_FI_CA_RECEIVABLES_ADMINIST) → **Start Interest Run for Interest Calculation**

SAP Easy Access screen

Periodic Processing → **For Contract Accounts** → **Interest Run**

If you require an interest notification, you have to request this via the additional parameters. Choose **Create Correspondence**. In the menu under **Environment** → **Interest Calculation List**, you can display an overview for the interest run. For more information about the functions of the mass run, see Functions for Scheduling Program Runs.

Posting Interest on Arrears Using a Dunning Run

Purpose

As part of the dunning run, you can determine interest on arrears, posted them, and, for example, specify them in a dunning notification (see Dunning Activity Runs).

Prerequisites

The necessary interest keys have been defined for the dunning levels of a dunning procedure (see the IMG structure for Contract Accounts Receivable and Payable > Business Transactions > Dunning Notices > Configure Dunning Procedure).

Procedure

When the dunning activity run is executed, the interest is determined and posted to the appropriate contract accounts. In this case, the logic used is for calculating interest on open items only. (See also Calculating Interest Only on Open/Cleared Items)

Result

The business partners entered in the dunning run have the interest posted to their contract accounts. Depending on system settings, interest can be specified on a dunning notice.

Interest Control Using Interest Keys

Use

The system calculates interest only on those items for which it is able to determine an interest key. An interest key can be assigned to contract account, items or dunning levels . The system normally determines the interest key for each industry, but can also do so on a customer-by-customer basis.

Generally, an interest key is determined as follows:

If no interest key has been entered in an item, the system checks for an interest key entry in the contract account. If no interest key exists in either place, interest cannot be calculated on the item. In other words, the item is interpreted as being blocked for interest calculation even if an explicit interest block has not been set.

If a debit item has been dunned but no interest key is entered, the system will try to determine a dunning key by looking at the dunning level of the item. If an interest key has not been maintained there, the contract account is used.

ℹ Note

Methods of determining an interest key may vary among application areas (industry components).

Amount Limit Checks in Interest Calculation

Use

Since interest, and in particular, debit interest, is only to be posted and requested when the expense is justified, the system checks the amount limits.

Integration

The amount limit check is integrated into the **Determining and Posting Interest** process flow and thereby into all other business transactions in which interest is posted.

Features

The check for amount limits is industry- or customer-specific and can also be integrated if required (see Implementation Guide for **Contract Accounts Receivable and Payable** > **Business Transactions** > **Interest Calculation** > **Item Interest Calculation** > **Maintain Amount Limits for Debit/Credit Interest**). If you do not make any settings, the amount that is the total of all interest items for a company code is compared with the amount limit defined in the system settings. Interest is only posted if the amount of all the interest items exceeds the amount limit. The check is company code-specific.

ⓘ Note

Note for the application component **Utilities**

The amount limit is not checked for Cash Security Deposit Interest or Installment Plan Interest , but is checked for overdue interest on an installment plan. Cash security deposits are posted according to legal instructions; installment plan interest is always determined online when an installment plan is created, which allows the clerk to decide whether interest will be posted or not.

Calculation of Interest on Installment Plans

Use

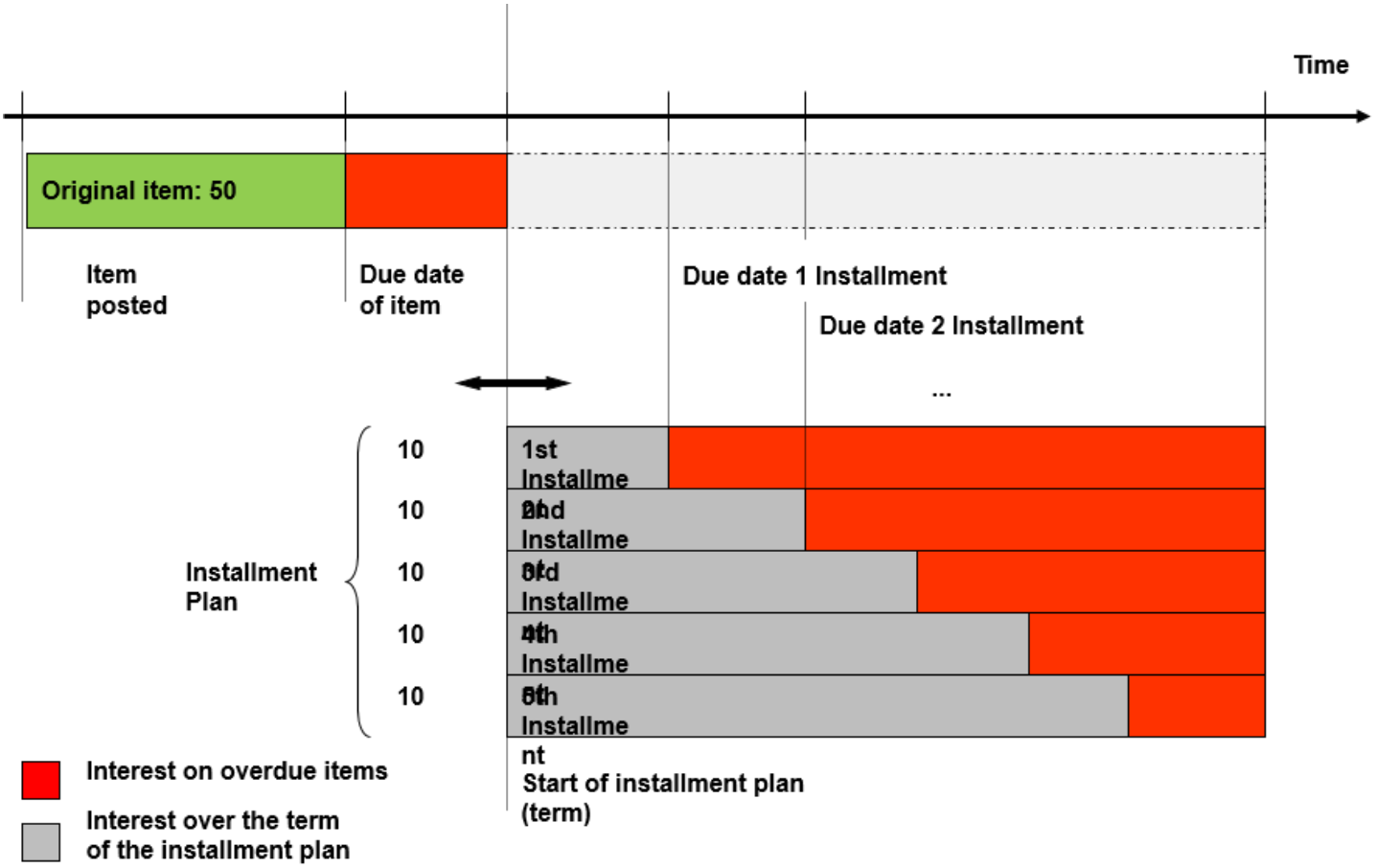
To clear a delayed incoming payment made through installment payment, you can collect installment interest (see Charging Interest for Installment Plans). The installment interest can be based on the installments or on the items included in the installment plan. You can calculate interest on an installment plan as follows (see graphic):

- You can calculate interest on the installment plan over its whole term.
- If individual installment payments are late, you can charge interest on the overdue installments.
- In the event of noncompliance, you can also deactivate the installment plan manually. This means that the original open receivables are opened again for the old due dates. You can reverse posted and not cleared interest documents that are integrated in an installment plan when the installment plan is deactivated (see Reversing Installment Plan Interest Documents).

In the interest calculation, the system updates an interest history for the installment plan.

Installment Plan Interest versus Interest on Overdue Items

When creating an installment plan, the system indicates the interest documents posted with a separate transaction. These interest documents refer to the term of the installment plan and therefore valuate the period from the start date of the installment plan – or an alternative earlier start date – up to and including the due date for net payment of the installments (see graphic). Interest on overdue installments is charged when the customer does not comply with the installment plan payment agreement. This additional interest document (requested subsequently) is posted with the usual interest transaction. Interest on overdue installments is based exclusively on the period from the due date of the installments (see graphic).



Integration

Installment plan interest is integrated into the process flow **Creating an Installment Plan** (see Deferrals and Installment Plans).

Charging Interest and Surcharges for Installment Plans

If you are using the Item Interest Calculation component, you can calculate interest on the installment plan.

Prerequisites

You have defined the transactions and account assignments for the interest credits arising and the details for calculating interest on installment plans in Customizing for Contract Accounts Receivable and Payable (see **Business Transactions** > **Deferral and Installment Plans**).

You also checked which of the following settings you need for your processes, and have made these settings in Customizing.

Interest for Installment Plan Items

You can execute item interest calculation when you create or change an installment plan. In Customizing choose **Business Transactions** > **Deferral and Installment Plan** > **Define Default Values for Interest on Installment Plans.** Using the **Only int. on arrears** and the **Never int. on arrears** indicators, you can specify how the system handles interest:

- Calculates interest only for installment payments that are received late
- Calculates interest both for installment payments that are received late and those received early
- Calculates interest regardless of the reciept date of the installment payments

Using a transaction of your own, you can post interest due as part of installment plan processing statistically or for the G/L. Whether installment plan interest is posted statistically or for the G/L depends on the statistics indicator that you maintain as part of company-code-dependent transaction data.

Interest for Original Items

During clearing, the system can check the installment plan items and, if necessary, calculate interest on the original items that it assigns to the cleared installments based on the settings in clearing control.To have this happen, choose Business Transactions > Interest Calculation > Item Interest Calculation > Activate Additional Functions for Interest Calculation and set the Int. Inst. Plan (interest calculation for clearing of installment plan items) indicator. By setting this indicator, you deactivate all interest calculation functions in installment plan processing. In that case, the system then calculates interest solely for the original receivables that are included in the installment plan.

Or you can set up the calculation of interest on original items by choosing Business Transactions > Deferral and Installment Plan > Define Default Values for Interest on Installment Plan.In theInt.fm Orig.Itm (interest from original item) field, you can define the interest calculation as follows:

- Choosing **SPACE** (Interest Not Calculated from Original Items) allows you to overwrite the proposed interest start date, which is also the installment plan start date, when processing the installment plan.
- Choosing **X** (Interest Calculated from Original Items) means that the system calculates interest on the original items that the system assigned to the cleared installments based on the settings in clearing control.
- Choosing Y(Original Interest Calculation or Original Interest Calculation from Start Date) means that, if the start date is initial, you can calculate interest for the original items in installment plan processing, or you can choose a date of your own for the start of interest calcuation. If a start date is entered, depending on the settings you made in the Define Categories for Installment Plan IMG activity, the system can also calculate additional interest on original items up to the start date. In the Define Categories for the Installment Plan activity under Business Transactions > Deferral and Installment Plan, you specify that you do not want to calculate interest for original items, or if you want to start the interest calculation for items automatically or manually before the start of the interest calculation.

Interest When the Installment Plan Is (Partially) Deactivated

You can control how the system calculates interest if the installment plan is deactivated or partially deactivated.In Customizing choose Business Transactions > Deferral and Installment Plan > Define Default Values for Installment Plans. Make your setting in the Interest on Arrears field. See the documentation for the field.

For the deactivation reason, you can also specify how you want the system to handle the interest calculated. You can choose to have the interest credited or refunded, either partially or wholely. Or you can specify that the interest posting remains despite the deactivation. In Customizing, choose Business Transactions > Deferral and Installment Plans > Define Deactivation Reasons for Installment Plan.

Surcharges and Interest on Installment Plans

In addition to interest on installment plans and originial items, you can also:

- Calculate inflation surcharges and/or installment plan surcharges, either manually or automatically
- Calculate interest for original items up the start date of the installment plan (default value) or up to any other point in time (before the start date of the installment plan)

To do so, choose Business Transactions > Deferral and Installment Plans > Activate Installment Plan Enhancement for Surcharges Interest and enter the value Xin the InstPlan Enh. (installment plan enhancement) field. If you make that entry, then the system displays the pushbuttons for using this enhancement (see below).The system derives additional specifications, such as the installment plan category and charge category, from the activity Define Categories for Installment Plan under Business Transactions > Deferral and Installment Plans .

You make settings for posting any charges you make in the Define Charge Categories for Installment Plan Surcharges activity.

In the Exclude Main or Subtransaction from Surcharges activity, you can exclude certain main transactions and subtransactions from being assessed with surcharges.

Features

You can calculate interest for original items and installment plan items, as well as levy charges and surchages on installment plans.

Activities

1. Choose one of the following paths and create an installment plan proposal (see Creating Installment Plans):
   - **Role** Process Outstanding Payments(SAP_FI_CA_OUTSTANDING_PAYMENTS) Display Installment Plan/Change Installment Plan.
   - **SAP menu** Account Installment Plan Create/Change
2. On the Create Installment Plan: Specifiy Installments screen, choose the Calculate Interest pushbutton. A dialog box appears for you to enter the interest parameters.
3. In the toolbar, choose either the pushbutton Calc. Inst.Plan Surcharge (Calculate Installment Plan Surcharge) or Calc. Inflation Surcharge (Calculate Inflation Surcharge) to calculate inflation or installment plan surcharges.
4. Choose the OrigItmIntCalc. (Original Item Interest Calculation) pushbutton in the toolbar to calculate interest for original items up the start date of the installment plan (default value) or up to any point in time you choose.

   Specify the due date for the interest, and whether you want the interest to be treated as one or more separate interest installments.

   To specify the point in time up to which the system should calculate interest on the original items, enter a date in the Orig. Item Interest Calc. To field.
5. Choose Installment Plan Post . You can use the following options to calculate interest retroactively:
   - Only overdue installments are taken into account (in other words, installments that have been paid too late).
   - The interest on the installment plan is recalculated. In this case, the interest calculation takes account of individual installments that were paid too early (before the due date), as well as installments that were paid too late. Recalculation may result in an interest credit or an interest receivable.

Reversing Installment Plan Interest Documents

Use

When you deactivate an installment plan, you can use this function to automatically reverse installment plan interest documents that were posted when you created the installment plan (see Interest Calculation on Installment Plans).

Prerequisites

You can reverse the installment plan interest document when you deactivate the installment plan if the installment plan has not been paid at all or only partially. If you want to reverse the installment plan interest document for a paid or partially paid installment plan, you must first reverse the payments on the installment plan and then deactivate the installment plan. When you deactivate the installment plan, you then have the option of reversing the installment plan interest document.

Activities

1. Choose one of the following paths:

- **Roles**

Process Outstanding Payments > (SAP_FI_CA_OUTSTANDING_PAYMENTS) > Change Installment Plan

- **SAP Menu**

Account > Installment Plan > Change

1. Enter the number of the installment plan.
2. Choose **Continue** .
3. From the menu, choose Installment Plan > **Deactivate** . A dialog box appears in which you select **Interest Document** .
4. Choose **Continue** .
5. The installment plan interest document is then reversed automatically.

Calculating Interest on Cash Security Deposits

Prerequisites

In Customizing, you have defined the specifications and default values for calculating interest on cash security deposits in addition to the general definitions for calculating interest (see Implementation Guide for Contract Accounts Receivable and Payable > Business Transactions > Security Deposits). The way in which the interest key for a cash security payment is determined differs to the standard way of calculating interest on items:

- If an interest key is specified in a payment, this applies.
- If no interest key is specified in a payment, the system tries to determine a key from the relevant security deposit. If no interest key can be found, no interest calculation takes place.

An interest lock at the level of contract account-dependent data is not considered during the calculation of interest on cash security deposits.

Features

This function has the same features as the posting debit and credit interest function (see Manually Posting Debit and Credit Interest).

Activities

To calculate interest on individual cash security deposit payments, choose one of the following paths:

- **Role**

  Interest Calculation on Cash Security Deposits(SAP_FI_CA_CSH_DEP_INTEREST_CAL) > Calculate and Post Interest on Cash Security Deposits .

- **SAP Menu**

  Account > Security Deposit > Interest Calculation

The procedure is similar to posting debit and credit interest.

Alternatively you can also make an interest calculation on cash security deposits in a mass run.

1. To do this, choose one of the following paths:
   - **Role** Calculation of Interest on Cash Security Deposits(SAP_FI_CA_CSH_DEP_INTEREST_CAL) > Cash Security Deposit Interest Run .
   - **SAP Menu** Periodic Processing > Security Deposits > Calculation of Interest on Cash Security Deposits
2. Enter a date and an ID that you can use to identify the run later.
3. Restrict the cash security deposits on which interest is to be calculated using general criteria on the tab page **General Selections** , or select them according to required posting parameters.
4. On the tab page **Interest Parameters** , enter the period for the interest calculation. If you set the indicator **Create Correspondence** , you can create interest notifications.
5. Schedule the program run. You can also carry out a simulation run. For more information about scheduling program runs, see Functions for Scheduling Program Runs .

You can display cash security deposit interest that has been posted in the security deposit maintenance.In the menu under **Environment** > **Interest Calculation List** , you can display an overview for the interest run.

Determining Periods for Interest Calculation

Use

A time interval is determined for each item on which interest is calculated. This interval extends from the due date to the current date (for open items) and/or from the due date to clearing (for cleared items). If an item is not cleared over a longer period, you can calculate interest for multiple time intervals. Instead of calculating interest up to the current date, you can restrict interest calculation to an **Interest Calculation To** date in the past (inclusive). The base date for interest calculation (beginning of the interest interval) is the net due date. This date is not included in the interest calculation period. Possible deferral of an item is not taken into consideration.

Example

If an item is due on 04/01, there is no interest period on 04/01 because the due item can still be paid on this date - an interest posting would not be justified. On 04/02 the item is one day overdue and you can calculate interest for this day. If the item still has not been cleared by 04/10, you can calculate interest for the period from 04/01 to 04/10, equaling 9 interest days. If the item is paid on 04/11, interest can be charged for 10 days.

If interest had already been calculated on an item for a date in the past, interest is recalculated from (not including) this date. This ensures that interest is calculated only once on a single item in a single period. The period on which an interest posting is based also depends on transfer days, tolerance days, and the interest frequency (period) (see **Contract Accounts Receivable and Payable IMG** > **Business Transactions** > **Interest Calculation** > **Item Interest Calculation** > **Define Interest Key**).

Note

In event 2065, you can change the date for the **Interest Calculation To** for clearing items. For amounts cleared in the account maintenance, as standard the due date of the invoice and clearing date of both items are used to calculate the interest. In event 2065, you can use the due date of the invoice amount and the value date of the payment amount to calculate the interest.

Calculating Interest Only on Open/Cleared Items

Use

You can use this option if you want to calculate interest **only on open items**, or **only on cleared items**.

Integration

The dunning run only processes open items. Interest is therefore always calculated using the **Open Items Only** option. This also applies to interest calculation as part of invoicing in the IS-U application.

Key Features

For item interest calculation, you can use the **open items only** or **cleared items only** options. To use these options, set the relevant indicator on the initial screen when posting interest online. Choose one of the following paths:

- **Role**

Process Outstanding Payments > **(SAP_FI_CA_OUTSTANDING_PAYMENTS)** > **Post Interest**

- **SAP Easy Access screen**

Account > **Interest** > **Post**

Set the relevant indicator in the interest parameters when you schedule the interest run.

By choosing the **Open Items Only** option, you can deliberately waive overdue interest for debit items that have already been cleared at the time of interest calculation. This variant is particularly useful if interest is calculated on a regular basis, for example, in a monthly dunning run.

Items that have been split by a partial payment are treated as follows:

- The cleared part is not considered for the interest calculation.
- Interest is calculated on the open part in the usual way.

By choosing the **Cleared items only** option, you can define that overdue interest charges are only calculated once an item has been cleared completely. This ensures that one source item posts only one interest item and creates one interest notification.

Items that have been split by a partial payment are treated as follows:

- The subitems are always considered together. Interest is only calculated if all items have been cleared at the time of the interest calculation.
- The system checks whether the clearing date for all subitems is before the **Calculate Interest To** date

Example

An account contains an open receivable for 100 EUR, due on 01/01. On 01/10, an incoming payment for 50 EUR is posted. There are now two items in the account:

Account

Document number	Subitem	Amount	Due date	Clearing
4711	0001	50 EUR	01/01	-(item open)
4711	0002	50 EUR	01/01	01/10

- On 01/11, interest is calculated using the **Open Items Only** option. For subitem 0002 no interest is calculated. For item 0001, interest is determined for the period from 01.01 to 11.01.
- On 01/11, interest is calculated using the **Cleared Items Only** option. For both subitems no interest is determined as the item has not been cleared completely yet.

Printing Interest Notifications

Use

As part of manual interest calculation, you can create written correspondence necessary for interest postings (for example, interest notifications for business partners). You create the written correspondence using the application component **Correspondence**. You define the application forms using the application component **Print Workbench**.

Prerequisites

- Interest has been posted.
- You made the necessary system settings in Customizing for Contract Accounts Receivable and Payable under **Basic Functions** > **Correspondence** >.
- You have defined and assigned the required application forms in Customizing for Contract Accounts Receivable and Payable under **Basic Functions** > **Print Workbench** > **Define Application Forms** >).

Activities

You request printing of an interest notification during a manual calculation of interest (see also Editing Items Due for Interest), create a correspondence print run, and schedule the run (see Printing Correspondence).

The system determines the data relevant for the correspondence (such as business partner and contract account) and stores the data in a correspondence container (see also Event-Controlled Correspondence).

Result

The correspondence data is available in the printer spooler either as raw data or in SAPscript format. You can display the job logs for the correspondence print run (see Displaying Logs for the Correspondence Print Run).

Defining Forms with the Print Workbench

Use

You can use application forms in the Print Workbench to create hard copy (for example, interest notifications) as part of interest calculation. To do this, you can use a form class to create an installation-specific application form. The system accesses the form in the correspondence print run.

Integration

To be able to use the application forms, you need the Correspondence application component.

Activities

1. Configure the required application forms (in the Contract Accounts Receivable and Payable IMG > Basic Functions > Print Workbench > Define Application Forms).
2. Define the application form for correspondence type **0007** (interest notification) (see IMG for Contract Accounts Receivable and Payable > Basic Functions > Correspondence > Define Application Forms for Correspondence).

Calculating Surcharges for Late Payments

Use

If a business partner is in arrears with payments, instead of or in addition to levying arrears interest, you can also charge an arrears surcharge for the overdue items.

Features

The arrears surcharges are calculated in event 0104 in the clearing processes for the following transactions:

- Payment Lot, Check Lot, Credit Card Lot
- Cash Desk
- Cash Journal
- Manual Posting with Clearing
- Account Maintenance
- Automatic Clearing

> **Note**
> You cannot levy surcharges in the debit memo procedure, since you cannot charge the business partner for late payment in this situation.

In dialog processing, the arrears surcharges determined for the items to be cleared are displayed per item and as a total similar to the cash discount. Items for which the system has calculated arrears surcharges have the icon ▲ with the text Surcharge for Late Payment in the column Surcharge . To display the amount of the surcharge, select the item and double-click on the gross amount. The amount appears in the column Cash Discount/Surcharge . The values calculated are proposed values that you can reduce or deactivate, but not increase. As for the calculation of cash discount deductions, in the case of a partial payment, the system carries out partial clearing and calculates the arrears surcharge proportionately.

You can levy arrears surcharges when you clear with credits due, as well as when you receive payments. When calculating surcharges, the system assumes a payment date to which the surcharge is to be calculated. This means that in a clearing transaction, you can only consider payments and credits to a specific payment date. Credit items in the contract account of a business partner where the due date is different to this payment date are therefore automatically locked for the clearing processing. You have to offset credits that cannot be considered in clearing in the account maintenance. In dialog processing, these credits have the icon ⊖ with the text Cannot Be Cleared Here .

You can decide whether interest is calculated on items for which you have levied an arrears surcharge during clearing in event 2090. As standard, you cannot calculate interest on such items.

The arrears surcharge posted appears in the interest history of the cleared item.

Activities

Define the revenue accounts to be posted to for the arrears surcharges in the Implementation Guide for **Contract Accounts Receivable and Payable** , under **Basic Functions** > **Postings and Documents** > **Document** > **Define Account Assignments for Automatic Postings** > **Automatic G/L Account Determination** > **Define Accounts for Surcharges on Late Payments** .

To implement the calculation of arrears surcharges, in the Implementation Guide for **Contract Accounts Receivable and Payable** , under **Program Enhancements** > **Define Customer-Specific Function Modules** , define an appropriate function module for event 0104. SAP provides sample implementations in the function modules FKK_SAMPLE_0104_STANDARD and FKK_SAMPLE_0104_INTEREST.See the documentation for the sample function modules FKK_SAMPLE_0104 and FKK_SAMPLE_0104_INTEREST.

Example

Arrears interest versus arrears surcharge

A business partner has an overdue receivable in the amount of UNI 100. For the payment arrears you levy UNI 2. The business partner pays UNI 100.

You calculate arrears interest, carry out an interest run, and post an interest document in the amount of UNI 2. On receipt of the payment for UNI 100, depending on the item selection and the configuration of the clearing control, the system clears either the open receivable for UNI 100 or the interest document posted and a partial amount of UNI 98. In the first case, the interest receivable for UNI 2 remains open in the contract account of the business partner. If you have not calculated interest before receiving the payment, you can calculate interest on the item when you clear the receivable and calculate an interest item of UNI 2. In this case the interest item remains open.

Arrears surcharges add business value because, in contrast to interest on arrears, you can calculate **and** withhold arrears surcharges when you clear the overdue receivable. The system automatically posts the arrears surcharge as a general ledger item (revenue) in the clearing document. There is no separate charges document. If the arrears surcharge calculated in event 0104 has the same amount as the corresponding interest document, in our example, UNI 2, the system would split the payment for UNI 100 proportionately as follows:

For the receivable of UNI 100, the system posts a partial clearing for UNI 98.04 and revenue from surcharges of UNI 1.96. UNI 1.96 of the receivable remains open, and you can levy higher interest/charges for the next payment, since this partial amount of the receivable is cleared later. To clear all receivables completely (overdue receivable + arrears surcharge), the business partner would have to pay UNI 102.

If the business partner pays, for example, UNI 51, UNI 50 of the original receivable remains open.

Supplementary Interest Calculation of Cleared Items (PSCD)

Use

This function effects receivables already cleared when calculating dunning interest.

There are two special features when calculating dunning interest that has accrued since the last dunning run and clearing of open items:

- The grace period that postpones the due date by a certain number of days
- The principle that the dunning interest calculation should begin on the first working day after the due date

Prerequisites

If you want to use this function, you must define function module FMCA_SAMPLE_2090 as a customer-specific function module with event 2090 in the Customizing of **Contract AccountsReceivable and Payable** in IMG activity **Define Customer-Specific Function Modules** . If FMCA_SAMPLE_2090 does not cover your requirements, copy the function module and define this copy as a customer-specific function module with event 2090.

For more information, see the documentation on function module FMCA_SAMPLE_2090.

Features

Different Tolerances may be wanted for supplementary interest calculation of receivables already paid. As such a payment that occurs by check via post or mail can be entered two days later as a bank transfer without any interest on arrears being calculated.

The German Fiscal Code stipulates that a grace period of five days must be adhered to for payments by bank transfer when calculating penalty surcharges for public-law receivables

In addition to this, it is not possible to start the interest calculation on the first day after the due date; it can only be calculated starting from the next **working day** after the due date.

Activities

If a customer-specific function module was defined with event 2090, the system calculates the dunning interest that accrued between the last dunning run and clearing of open items based on the entries made.

Dunning

Purpose

With the component **Dunning** , you can create and send payment reminders or dunning letters to your business partners to remind them of overdue payables and to request payment.

You can print correspondence using the component **Correspondence** or using the application forms of the **Print Workbench** that you have defined .

In addition to the features of the standard delivery, you can realize industry-specific dunning activities.

ⓘ Note

Industry Component Utilities(IS-U)

You can dun budget billing requests as well as open items. The dunning run can create lock documents automatically. For more information about lock documents, see the documentation of the industry component **Utilities** under **Contract Accounts Receivable and Payable** > **Locking/Restarting a Utilities Installation** and under **Customer Service** > **Locking/Restarting a Utilities Installation** . You can postprocess the dunning-relevant data manually in the dunning proposal.

Industry component Telecommunications(IS-T)

You can postprocess the dunning-relevant data manually in the dunning proposal. If receivables have reached a specific dunning level, you can lock the contract account or the service for a business partner automatically in the dunning activities run. (See IS-T Telecommunication Services in RM-CA > Locking Services via the Dunning Run (IS-T)).

Industry component **Insurance (FS-CD)**

The following dunning procedure types are supported:

- **Individual dunning notice**

  In an individual dunning notice, all items in a contract are considered independently of one another. This means that you can have several dunning procedures for one contract.

- **Total dunning notice**

  In a total dunning notice, all items in a contract are dunned with one dunning procedure.

- **Multiple total dunning notice**

  A multiple total dunning notice can, in contrast to the total dunning notice, contain several total dunning notices for one business partner/insurance object relationship in parallel.

- **Contract dunning notice**

  In a contract dunning notice, only one current dunning procedure exists at any one point in time. This refers to the oldest item.

- **Account dunning**

  All items due for dunning for a contract account are dunned on a cross-contract basis for account dunning.

The dunning procedures to be used are determined in the dunning proposal run and saved in the item.

Configuration of the Dunning Process Flows

Purpose

To reflect and control the dunning processes that you require using the dunning program, you first have to define the specifications for the dunning parameters described in this section in Customizing.

Conversion Procedure

In the Implementation Guide for Contract Accounts Receivable and Payable , carry out the activities listed under Business Transactions in the section Dunning . See also the documentation for the activities, the individual fields, and the indicators.

Define the required dunning parameters manually in the master records of the contract accounts and/or in the document.To do this, choose one of the following paths:

Role Process Contract Account Master Data → Create Contract Account/Change Contract Account or Manual Postings → Post Document/Change Document

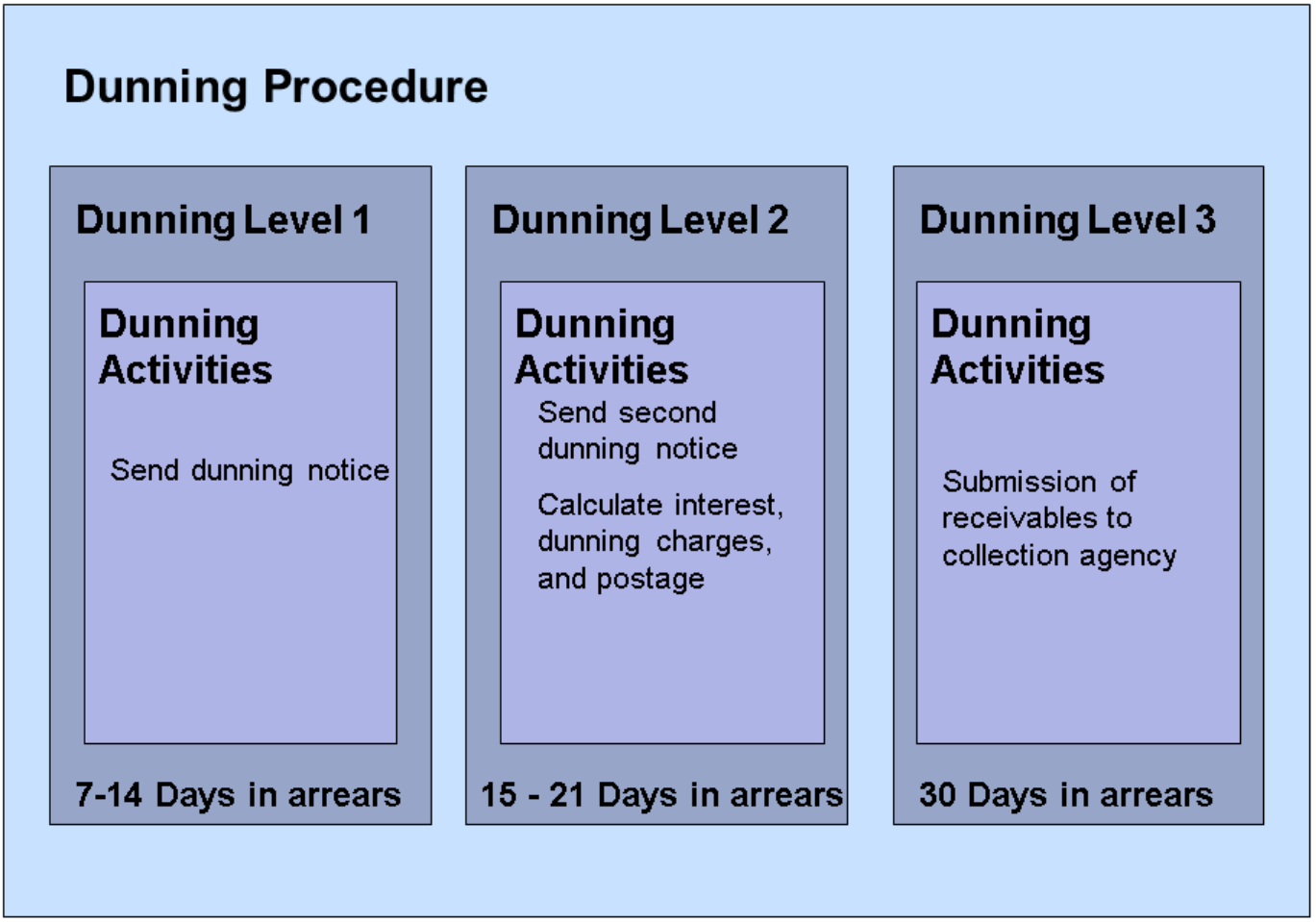
SAP Menu Master Data → Contract Account → Create/Change or Document → Post/Change

In certain business transactions, the system can also enter dunning parameters in the contract account and/or document automatically. This enables you, for example, to default the dunning procedure when you are creating contract accounts. Using the

BAPI BAPI_CTRACCONTRACTACCOUNT_CREA, you can determine dunning locks.

For the industry components **Public Sector Contract Accounts Receivable and Payable** and **Utilities** , in the Implementation Guide for **Contract Accounts Receivable and Payable**, you can define default values for dunning procedures and dunning locks that the system then enters in the document automatically during posting (see **Basic Functions** → **Postings and Documents** → **Document** → **Maintain Document Account Assignments** → **Maintain Transactions for Public Sector Contract Accounts Receivable and Payable/Maintain Transactions for Industry Component Utilities**). In the industry component **Insurance** , you can also define the dunning parameters for the insurance object and determine whether the dunning parameters of the contract account or insurance object are to apply. The dunning parameters defined for the document override the parameters in the master data.

The dunning proposal run evaluates the parameters and derives the actions to be carried out.



Dunning Parameters

Dunning Procedures

Definition

The dunning procedure is the central control attribute for the dunning process flow and defines the procedure for situations where a business partner is in arrears. A dunning procedure consists of individual dunning levels.

Structure

You can configure dunning procedures individually according to your company policy, according to the type of dunning objects, and according to legal regulations.

You can assign dunning procedures to contract accounts and/or individual open items. A dunning procedure at line item level overrides, for this line item, the dunning procedure at contract account level. If there is no dunning procedure defined at either document or contract account level, the document concerned is not included in the dunning run.

From the dunning procedure, the dunning proposal run determines whether an item is due for dunning.

i Note

In the industry component **Insurance** , master data (insurance objects and/or contract accounts) are connected to a dunning procedure by means of dunning variants). You can assign a dunning procedure at document level.

Dunning Levels

Definition

Dunning levels control the dunning process flow and describe the individual processing steps of a dunning procedure. Both the individual items in a dunning notice and the dunning notice itself have a dunning level. Depending on the dunning procedure, a dunning notice can contain items with different dunning levels. The dunning level of the dunning notice is usually the highest dunning level for the items contained in the dunning notice.

Use

The dunning program assigns dunning levels to overdue items once a specific number of days in arrears has passed. The system calculates the days in arrears from the due date or the deferral date of the open items for dunning, whichever is the greatest. The point in time at which the dunning level is executed is controlled by the number of days in arrears and the dunning frequency.

The dunning program automatically assigns the next dunning level to dunned items. In the dunning history, you can also set the next dunning level for an item manually. The dunning levels are assigned to the dunning notice and the individual items in the dunning notice, but not to the contract account in question. Dunning levels are optional; you do not have to use them.

You maintain and configure dunning levels in the activity **Configure Dunning Procedure** . Using dunning level types that you define in the activity **Define Dunning Level Types** , you can assign a classification to the dunning levels.

You can use the new dunning level that an item in the dunning proposal run contains as a grouping criterion . This means that you can ensure that items in a dunning notice have the same dunning level.

Structure

In a dunning level you can define:

- Which dunning charges and interest you want to levy
- From which amount and after how many days in arrears overdue items reach the next dunning level
- Whether interest on arrears should be calculated for the dunned items
- That documents posted by the dunning activity run, such as interest and charges, are dunned immediately with the dunning level of the dunning header.

- That dunning groups are excluded from dunning if the open percentage portion of the items assigned is less than a specific limit percentage rate

Dunning Activities

Definition

Measure taken when a specific dunning level of a dunning procedure is reached.

Structure

You define dunning activities in the Customizing activity **Configure Dunning Activities** by specifying a function module with a predefined interface. For the dunning activity key, specify the name of the dunning activity, the activity type, and the name of the function module that executes the dunning activity. For activities that support the printing of **Print Workbench** forms, you have to define an application form.

ℹ Note

Note that the function modules for dunning activities for correspondence dunning use a different interface than the function modules for dunning activities for dunning open items.

Then assign the dunning activities to the dunning levels of a dunning procedure in the activity **Configure Dunning Procedure** . You can assign a dunning activity to different dunning levels of different dunning procedures as well assigning different dunning activities to one dunning level.

When you execute the dunning activity run, the function modules defined for the activities for a dunning level are called up.

Dunning activities are industry-specific. However, you can also define installation-specific activities.

Example

Possible dunning activities are:

- Creation of a dunning letter
- Creation of a note by a clerk
- Submission of items to a collection agency
- Termination of a contract
- Setting a lock
- Creation of collection work items

Dunning Grouping

Definition

Key that contains the data fields to be used to group the items due for dunning.

Use

You can use dunning groups to process items with the same attributes together (for example, to dun them together in one dunning notice).

Structure

The dunning grouping defines which attributes must agree for items to be dunned together. You can use all of the fields of the open item as grouping criteria (for example, business partner, contract account, currency, contract reference). You define these criteria in the Customizing activity **Define Dunning Grouping** . For example, you can create a dunning grouping using the criteria **business partner, currency, company code,** and **dunning recipient** . If you do not use the currency for the dunning grouping, you can also dun items with different transaction currencies together. In this case, the balances and the comparison with the limit amounts are run in the local currency of the company code.

ⓘ Note

For **Insurance** , you define the dunning grouping for the dunning variant in Customizing.

The dunning groups, which consist of the items belonging to the dunning groupings, are created in the dunning proposal run.

The system checks the days in arrears and the amount limits for each dunning grouping separately. A dunning group is only dunned if it contains at least one item that would trigger a dunning notice. For additional receivables such as interest and charges, in the **Rules for Additional Receivables** under **Business Transactions** > **Additional Receivables** in Customizing, you can define that these are not to trigger a dunning notice.

In event 0306, you can also realize a grouping by dunning levels. See the documentation of the sample function module FKK_SAMPLE_0306 and SAP note 403244.

For contract accounts with alternative dunning recipients, you have to enter the fields **Alternative Dunning Recipient** and **Address Number for Alternative Dunning Recipient** in all groupings.

If you carry out cross-contract account dunning, the field **Grouping for Dunning Notices** should exist in the grouping. The **company code group** is a grouping field implicitly; you do not have to specify it in the grouping.

If the grouping for dunnign notices is not maintained in the contract account, the entries for the grouping SPACE apply. Make sure that you also have a dunning grouping SPACE.

Example

A business partner is in arrears with payments. The receivables due for dunning have different currencies. You want to send the business partner a dunning notice for each of these currencies. To do this, you have to define a dunning grouping in Customizing under **Business Transactions** > **Dunning** > **Define Dunning Grouping** and then assign the field WAERS to this as a grouping criterion. You then have to define the grouping in the contract account of the business partner.

Dunning Charges

Definition

Charges that are calculated as a result of a payment being outstanding and that are levied when a dunning notice is created.

Structure

The charges are calculated automatically based on a charges schedule defined in Customizing. In this schedule, you define the currency-specific and creditworthiness-specific charges scales.

To define a charges schedule, proceed as follows:

1. In the Customizing activity **Define Charge Types for Dunning** , define charges types.
2. In the Customizing activity **Configure Charges Schedule for Dunning Procedure** , define the required amount limits and rounding rules.
3. In the IMG activity **Configure Dunning Procedures** , assign the required charges schedules to the dunning levels.

With each charges schedule you can manage charges data for up to three charges types. For each combination of charges schedule and charges types, you can create charges lots that are amount-specific, currency-specific, and creditworthiness-specific. You can then use these to determine charges. You can also define a main and a subtransaction.

You can levy dunning charges as absolute amounts, or as percentages. Percentages are applied to the dunning balance. In the subtransaction, you can define whether additional receivables should be considered in this balance.

The dunning activity run posts the dunning charges defined in the charges schedule for each charges type of a dunning level automatically. From the main and subtransaction, each industry component can derive a statistics indicator that determines whether the charges are posted statistically or relevant to the general ledger.

The charges documents are created in the events 0360, 0361, and 0362. See the documentation for the sample function modules FKK_SAMPLE_0360, FKK_SAMPLE_0361, and FKK_SAMPLE_0362.

Dunning lock

Definition

Processing lock that causes items due for dunning to be restricted or not dunned by the dunning programs.

Use

You can lock individual items or entire contract accounts for dunning by specifying the relevant dunning lock reasons at the required level. You can also restrict the validity of a dunning lock to a specific period. If you set a dunning lock for a line item, only that item is excluded from the dunning run. A dunning lock at the business partner-contract account relationship level means that all items posted to this contract account are not dunned until the lock has expired or has been removed. If an item has a deferral date, it is not dunned until the deferral date has been exceeded.

You define dunning locks in the Customizing activity **Define Dunning Lock Reasons**. If you designate a dunning lock as dunnable and assign it to an item:

- The item itself does not trigger a dunning notice; it can, however, be dunned with other items
- The item is included in the dunning balance, but is not used for the amount limit check
- The item does not change its dunning level.

  This means that it remains at dunning level zero or retains its higher dunning level and is not included in the dunning level of the dunning notice.

SAP recommends using this type of dunning lock for interest and charges. If you set such a dunning lock in the contract account, this has no effects. See also the documentation for the indicator.

ℹ Note

Items or contract accounts that have an incoming payment method but no incoming payment lock are excluded from the dunning run. In this case, the system assumes that the item or contract account concerned is to be paid via the payment run.

If the contract account of a business partner has a payment lock, and the payment method is only in the item and not in the account, neither the payment program nor the dunning program take account of the item.

In the Insurance industry component, you can also set dunning locks at insurance object level for which the rules and restrictions described above apply.

ℹ Note

If you use the industry component Contract Accounts Receivable and Payable or Public Sector Contract Accounts Receivable and Payable, you can use transaction FKKLM to create or change dunning locks centrally. The locks that have been set in this way are replicated in the relevant contract accounts and taken into account in the dunning run.

Using transaction FKKLS, you can display business partner locks centrally.

To be able to use the transactions, you need to set the Use Business Partner Locks indicator in Customizing for Contract Accounts Receivable and Payable under Basic Functions > Postings and Documents > Basic Settings > Maintain Central Settings for Posting.

Dunning in Alternative Currencies

Use

During dunning, you can handle documents as if they had been posted in a currency other than the local currency (for example, EUR). This means that when you print dunning letters, you can print the amounts in both the document currency and an alternative currency (for example, EUR).

Activities

To be able to dun receivables in a currency other than the document currency, you have to define the alternative payment currency required in Customizing.You do this in the Implementation Guide for Contract Accounts Receivable and Payable under Business Transactions > Define Alternative Currencies.

Calculation of Interest and Charges According to Fiscal Code

Use

To meet legal requirements of the public legal dunning procedure, you have to make special settings in Cutomizing and define specific events of the dunning program. The following contains instructions for dealing with the different problem issues.

Activities

System Requirements	Procedure
For each item, the system is to post a separate interest document item.	Include the fields OPUPW, OPUPK, and OPUPZ in the structure CI_FKKIV.
Interest is to be calculated on an monthly baseis for months started where the key date is in the calendar month.	In the Implementation Guide for Contract Accounts Receivable and Payable under Business Transactions Interest Calculation Item Interest Calculation Define Interest Calculation Rules , in the Interval field enter Month, under Monthly Interest Calculation enter Month Started/Key Date in Calendar Month, and for Scale Type , enter No Scaled Interest Rates.
Subitems are to be totaled before they are rounding according to the rounding rule in the interest conditions and then subjected to interest calculation.	In the interest key set the indicator Summarize Subitems before Interest Calculation .
Summarize documents that belong together	If you require further summarization of documents that belong together, by main/subtransaction for example, you can define a customer-specific function module for event 2085. This module can then summarize by fields of the structure FKK_INT_ITEM_CHOSEN in addition to OPBEL, OPUPW, OPUPK, and OPUPZ.You can use function module FKK_CONDENSE_2085 as a template.Event 2085 is only processed if the indicator Summarize Subitems before Interest Calculation is set.Register your installation-specific function module for event 2085 in the Implementation Guide for Contract Accounts Receivable and Payable under Program Enhancements Define Customer-Specific Function Modules .
Interest is to be calculated on cleared subitems if they were not cleared by the key date for the interest calculation	In the Implementation Guide for Contract Accounts Receivable and Payable , under Business Transactions Interest Calculation Item Interest Calculation Define Interest Key , set the indicator Consider All Subitems for Interest Calculation in the interest key.
The base date for the interest calculation is to be moved to the day after the next working day using the factory calendar (grace period rule)	**Only for industry component Public Sector Contract Accounts Receivable and Payable** In the Implementation Guide for Contract Accounts Receivable and Payable , under Program Enhancements Define Customer-Specific Function Modules , for event 2090 define function module FMCA_SAMPLE_2090 or use this function module as a template for an installation-specific module that you register using event 2090 (see documentation of function module).
The due date of the interest document item should be on the day after the due date of the item, moved to the next working day	In the standard, the due date of the interest document item is the current system date. You can change the due date of the interest document item in a customer-defined function module for event 0370 that first calls the standard module FKK_SAMPLE_0370. The example coding of the function module ZFKK_SAMPLE_0370 calculates the due date of the interest item from the due date of the item subjected to interest as follows: The due date is moved to the next day. If this is not a working day, using event 3030 (factory calendar), the system determines the next valid day. Register the module in the Implementation Guide for Contract Accounts Receivable and Payable under Program

System Requirements	Procedure
	Enhancements > Define Customer-Specific Function Modules .

System Requirements	Procedure
Up to a specific base amount, a minimum charge is to be levied. A percentage charge is to be calculated for the portion of the dunning amount that exceeds this base amount.	In the Implementation Guide for Contract Accounts Receivable and Payable , under Business Transactions > Dunning Notices > Configure Charges Schedule for Dunning Procedure , in the column Offset Charge in the charges schedule, define an offset that you calculate according to the following formula: Offset = Minimum charge – (base amount * percentage/100) The base amount is 50 EUR, minimum charge 5 EUR (= 1%) Offset = 5 – 50* 1/100 = 4.5
Charges are to be restricted to a maximum when interest is posted.	Do **not** make an entry in the Maximum Charge field in the charges schedule since this charges restriction refers to the interest calculation (see Business Transactions > Dunning Notices > Configure Charges Schedule for Dunning Procedure).Instead, set the indicator Interest before Charges in the dunning level (see Business Transactions > Dunning Notices > Configure Dunning Procedure) and define the function module FKK_SPECIALCHARGE_0360 (or another customer-defined function module with other limit amounts) for event 0360.
A charges document is due with the oldest items	In the standard, the due date of the charges document is the current system date.You can change the due date of the charges document in a customer-defined function module for event 0360 that first calls the function module FKK_SAMPLE_0360 or (for charges restriction) FKK_SPECIALCHARGE_0360.The example coding in function module ZFKK_SAMPLE_0360 calls the module FKK_SPECIALCHARGE_0360 and transfers the due date of the oldest main receivable to the charges document as due date.Define the function module in the Implementation Guide for Contract Accounts Receivable and Payable under Program Enhancements > Define Customer-Specific Function Modules .

System Requirements	Procedure
Interest is not to be calculated on penalty charges and charges	Define a rule for additinal receivables where the indicator Subject to Interest is **not** set.To do this, in the Implementation Guide for Contract Accounts Receivable and Payable choose Business Transactions > Additional Receivables > Define Rules for Additional Receivables .
Penalty charges and charges are to be dunned with the main receivables causing the charges and with the same dunning level	In the dunning procedure set the indicator Dun New Documents Immediately for the dunning level.
Penalty charges and charges should not contribute to the dunning balance	Do **not** set the indicator Consider for Calculation of Dunning Balance in the rule for additional receivables.

Dunning Runs

Use

Once you have configured the dunning parameters described, the system can identify overdue receivables in the system and dun your business partners.

Prerequisites

To prevent you from dunning receivables that have already been paid, you should keep your postings as up-to-date as possible. This means that you should ensure that all payments received have been posted in the system and cleared with the receivables due (for example, using the **automatic clearing program** on the SAP Easy Access screen under **Periodic Processing** > **For Contract Accounts** > **Automatic Clearing**).

Process

In Contract Accounts Receivable and Payable, you dun receivables in a dunning run. Carrying out a dunning run involves two steps:

1. Dunning proposal run (SAP Easy Access screen under **Periodic Processing** > **For Contract Accounts** > **Dunning** > **Dunning Proposal Run**)
2. Dunning activity run (SAP Easy Access screen under **Periodic Processing** > **For Contract Accounts** > **Dunning** > **Dunning Activity Run**)

In the first step, the dunning proposal run determines:

- The contract accounts to be dunned, together with the items due for dunning
- The valid dunning procedure and the related dunning levels for the individual items
- The dunning groupings in which the items are to be summarized

To determine the dunning balance, the dunning proposal run adds the amounts of the items with the highest dunning level in a dunning grouping and compares this total with the amount limit for the applicable dunning level. If the amount limit is not reached, the program adds the total of the amounts for the items with the next lowest dunning level to the total and compares this total with the amount limit for this dunning level. The procedure continues until the amount limit for a dunning level is reached. Dunning takes place in the dunning level, for which the amount limit was reached.

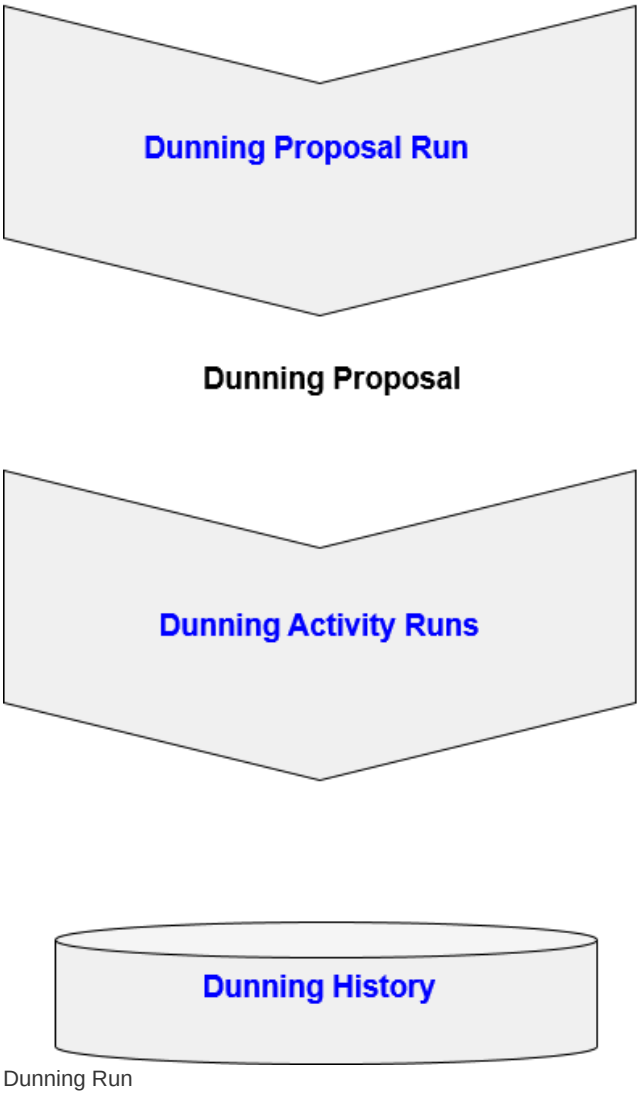
Note

Additional receivables that were posted as dunning charges or dunning interest can therefore be included in a dunning run as if they had the dunning level of the dunning notice in which they were created. Therefore, when you group according to dunning level, the receivables and additional receivables appear in the same group. To activate this function, in Customizing, set the **Dunning Level** indicator indicator in the **Rule for Additional Receivables** (see Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Additional Receivables** > **Rules for Additional Receivables**).

The program uses this information to create a dunning proposal structured by dunning groups. The result of the dunning proposal is processed further in the dunning activity run. In the second step, the dunning activity run first determines the dunning activities required depending on the dunning level of the items due for dunning and then performs these activities. You can specify the frequency in which you want to carry out dunning runs. Dunning proposal runs and dunning activity runs can be executed in parallel and therefore enable you to process large quantities of data.

The dunning proposal run proposes a reconciliation key for the documents posted during dunning. You can change this proposal manually. The dunning activity run only uses this reconciliation key if the run ID agrees with that of the dunning proposal run.

The requirements of the different industries can be very varied, and so Contract Accounts Receivable and Payable offers numerous events with which application-specific and customer-specific requirements can be fulfilled.



Result

In a dunning run, you have created, for example, printed material, clerk notes, charge postings, and interest postings. The system has updated the dunning history and the dunning activity history.

Dunning Proposal Run

Use

The dunning proposal run groups overdue items into dunning notices.

Prerequisites

You have defined dunning procedures in the master data of the contract accounts.

You have defined the execution variants in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Dunning** > **Define Execution Variants for Dunning Proposal Run** and entered an installation-specific function module at event 0300 under **Program Enhancements** > **Define Customer-Specific Function Modules**.

You have, if necessary, defined preselection for business partners and contract accounts. On the SAP Easy Access screen, choose **Periodic Processing** > **Technical Preparations** > **Define Preselection** (see Defining Preselections for Master Data).

ℹ Note

In this way, you can, for example, create a selection for all business partners with an address in Chicago.

After saving the selection criteria, you have scheduled the selection and saved the result under Periodic Processing > Technical Preparations > Create Preselections for Business Partner or Define Preselection for Contract Accounts.

Features

By specifying the selection criteria in the dunning proposal run, you control which items are dunned. By specifying a dunning procedure, you control the actions carried out during dunning (see Dunning Procedures).

A successfully completed dunning proposal run is therefore the prerequisite for executing dunning activities.

For a technical breakdown of the dunning proposal run, see SAP Note 429810.

Activities

1. Choose one of the following paths:

   - **Role**

     Dunning (SAP_FI_CA_DUNNING) > Dunning Proposal Run

   - **SAP Easy Access screen**

     Periodic Processing > For Contract Accounts > Dunning Notice > Dunning Proposal Run

2. Enter a date and an ID that you can use to identify the run later.

3. On the General Selections tab, enter the parameters that the program should use to select the items to be dunned. Using the dynamic selections, you can select the fields of the item (table DFKKOP).

   For selecting business partners or contract accounts, you can also use preselections for master data. Using these preselections, the system checks the specified master records against the interval limits of the mass activity, as if you had entered these as individual values for the business partner/contract account. In each interval, therefore, the system processes only those master records that are both within the interval limits and are part of the preselection.

   To switch back and forth between direct selection and preselection, choose the Preselection(Switch to Preselection) and Direct Selection(Switch to Direct Selection) pushbuttons beside the input fields for the business partner and contract account.

   By choosing the Detail pushbutton, you can display the defined preselection.

4. On the Dunning Parameters tab, specify the following parameters required for the dunning notices:

   - Net due date of the items to be dunned (optional)
   - Date of issue of the dunning notices

     As the date of issue, enter the date on which you plan to print the dunning notices. The system proposes the current date. Using the issue date, the system determines the days in arrears for the item due and the interval to the last dunning notice for the business partner.

     Using execution variants, you can postprocess the dunning proposal on the basis of any company-specific criteria in event 300.

     If you set the Start Activity Run indicator, when you start the dunning proposal run, the system automatically starts the dunning activity run as well.

> **⚠ Caution**
>
> Note that if you start the dunning activity run directly after the dunning proposal run, you can no longer postprocess dunning proposals.

5. Run the program. For more information, see Functions for Scheduling Program Runs.

   You can postprocess the dunning proposal. To do this, check the application log of the dunning proposal run. For example, you can exclude individual dunning notices from the dunning activity run by reversing the relevant dunning notices. Or you can remove dunning blocks that have been set in error.

   After you have completed postprocessing, delete the relevant dunning proposal run in the menu under **Environment** **Delete Dunning Proposal**. Then start a new dunning proposal run. You can start the dunning activity run directly afterwards by setting the **Trigger Activity Run** indicator, or you can start it manually in a separate step.

   > **ⓘ Note**
   >
   > The dunning proposal run checks whether there is a dunning notice that has not been executed for a business partner in the system. If this is the case, the dunning proposal run does not create a new dunning notice and issues a warning in the application log.
   >
   > The dunning proposal run considers dunning reductions that result from dispute cases in **SAP Dispute Management**, for example. The system distributes the dunning reductions to the dunning groups in event 0335 and reduces the dunning balance by this amount. SAP provides the sample function module FKK_SAMPLE_0335_DISPUTE for the deduction of amounts from dispute cases. Define the module as an installation-specific function module for event 0335.

Dunning Activity Runs

Use

Once you have executed the dunning proposal run successfully, start the second subprocess of the dunning run the dunning activity run.

Prerequisites

1. You have successfully completed the dunning proposal run.
2. You have carried out the preparations required for creating dunning letters (see Creating Printed Records).

Key Features

The dunning activity run determines and runs the dunning activities defined in the dunning procedures and dunning levels. A dunning activity run relates only to those overdue items determined in a dunning proposal run.

If the dunning activity run carried out a dunning activity successfully, it sets the print date in the dunning proposal. The print date is the same as the run date.

If errors occurred during the execution of the dunning activities run, the system only sets the print date in some of the dunning headers. If the cause of the error is in the dunning proposal, you have to reverse the dunning notices concerned. If the cause of the error is in the dunning activity run, you have to correct the error and then start the dunning activity run again for this dunning proposal run. In this second run, the dunning activity run only processes the dunning notices that have not been executed yet, that is, dunning notices that have not received a print date (run date). If a long time has elapsed since the error occurred, we recommend that you reverse the dunning notices that have not been executed manually or using the transaction **Mass Reversal of Dunning**, and then start the dunning proposal run again.

If you run the dunning activity run in simulation mode, you can also test the correspondence creation. If you simulate a run again, but print after the first simulation run, in the second simulation the correspondence container is filled again and you can repeat the print. However, if you do not print between two simulation runs, the data in the correspondence container is overwritten and you can only print once at the end.

Activities

You schedule and start a dunning activity run in the same way as for a dunning proposal run. On the tab page **General Selections**, enter the run parameters for the dunning proposal run that you want to execute and then schedule the program run. For detailed information, see Functions for Scheduling Program Runs.

In the dunning activity run, you can revise the dunning activities defined in Customizing. In event 0351, you can add or delete dunning activities dependent on information from the dunning header (for example, business partner).

The program does not process business partners and contract accounts, for which locks exist during the program run due to dialog processing. Depending on whether you choose the “Business Partner” or “Contract Account” as the parallelization object, the program records all business partners or contract accounts that could not be processed. The job that processes the last interval (this does not have to be the interval with the highest number) selects the business partners and contract accounts that were not processed during the first attempt. If the reason for the lock no longer exists at that time, these business partners or contract accounts are processed, and therefore there is no need to schedule the run again.

Interest Calculation for Dunning Items

Use

If you want to charge interest on items to be dunned, you can link the interest calculation to a dunning level.

Features

If the calculation of interest on items to be dunned is defined for a dunning level, the dunning activity run calculates interest on items with this dunning level automatically.

It does this using the item interest calculation application component. The interest calculation is based on the interest calculation rule of the interest key defined in the dunning level. The interest is posted in accordance with the specifications in the system settings for the dunning level.

Activities

To enable item interest calculation in the dunning activities run, you have to make the following settings in the Implementation Guide for **Contract Accounts Receivable and Payable** :

If necessary, define the interest key that you want to assign to the dunning level under **Business TransactionsInterest CalculationItem Interest CalculationDefine Interest Keys** . The interest key contains the interest calculation rules to be used for the interest calculation, and you can define these in the same section of the IMG in the activity **Define Interest Calculation Rules** .

Activate the interest calculation in the dunning activity run and assign the interest key to the required dunning level of the dunning procedure. You do this by double-clicking on the required dunning level of the dunning procedure concerned under **Business TransactionsDunning NoticesConfigure Dunning Procedure** . Here you also make the following settings:

Define whether the interest is to be posted statistically or relevant to the general ledger.

In addition to interest, you can also levy various charges on your business partner. If you set the indicator **Interest before Charges** , you can define whether the interest is to be calculated before the charges in the dunning activity run. This is necessary, for example, if the amount of the charges is to be dependent on the interest calculated. To create this dependence, define a function module for event 0360 in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Program Enhancements → Define Customer-Specific Function Modules** . SAP delivers function module FKK_SPECIALCHARGE_0360 as an example implementation for such a calculation. This enables you to restrict the amount of the dunning charges if you levy dunning interest as well as dunning charges.

Define the minimum interest amount that can be posted for a dunning notice.

For detailed information, see the documentation for the corresponding fields.

Modifications in the Program Sequence

Use

In the following events you can influence the dunning process:

Event	Function
0307	In event 0307, you can determine, in the dunning proposal run, the dunning procedure applicable if a dunning group contains items with different dunning procedures as a result of the dunning grouping. This could be the case, for example, if dunning procedures have been assigned to individual items, and these dunning procedures are different to those defined in the contract account of the business partner, but you want to dun the items together with other items from the same contract account.
0350	You should not define any customer-specific function modules in event 0350. Instead, define dunning activities in the Customizing activity **Configure Dunning Activities** , and assign the dunning activities to the required dunning level of the dunning procedure. (See also SAP note 487357.)
0365/0366	With a function module in event 0366, you can also dun items in a payment order. To check how long an item has been in a payment order, define a customer-specific function module for event 0365.
0395	As standard, when you reverse a dunning notice, the interest and charges documents are also reversed. To reset the effect of additional dunning activities for the dunning reversal, you have to define function modules for event 0395. SAP also delivers function modules for the dunning activities delivered. For example, function module FKK_SAMPLE_0395_DELETE_CC for deleting correspondence containers or function module FKK_SAMPLE_0395_UNLOCK_VKONT for deleting a lock set in the contract account by the dunning program.

Activities

Enter a function module in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Program Enhancements** **Define Customer-Specific Function Modules** .

See also the events in the area between 0300 and 0399.

Creating Printed Records

Use

As part of a dunning run, you want to send dunning letters and payment forms.

Integration

You format application forms using the **Print Workbench** component. You then print the correspondence using the **Correspondence** component. The following form classes are delivered as standard:

- `FI_CA_DUNNING_NEW` (Contract Accounts Receivable and Payable) with the sample application form `FI_CA_DUNNING_SAMPLE_SF` (Smart Form)
- `IS_U_CA_DUNNING` (industriy components **Utilities**, **Telecommunications**)
- `ISM_CA_DUNNING` (industry component **Media**)

Features

Depending on the dunning activity, you can create documents for a dunning notice in two ways:

- The dunning activity run creates the documents using industry-specific or customer-specific dunning activities. SAP does not recommend this method.
- The **Create Correspondence Request** dunning activity creates correspondence container entries that you print using correspondence printing (on the SAP Easy Access screen under **Periodic Processing** > **Correspondence** > **Print**). In that case, you create the dunning letter itself using the print program from the **Correspondence** component. In events 0770 and 0773, you can determine the recipient and address for a dunning letter dependent on the dunning level.

  > **Note**
  > To avoid printing dunning notices that have already been reversed, always print the documents immediately after the dunning activity run. See SAP Note 526624.

Payment Forms

If you use the function modules `*DUNNING_PR_CORR_CONT_0350` as a dunning activity, you can also send a payment form for the dunned items and the related interest and charge documents with the dunning letter. If the activity for creating correspondence has not created a payment form number, you can assign the payment form number using the function module `FKK_DUNNING_PF_NO_DET_0350`. The internal and external payment form numbers are saved in the dunning header and can be used to assign the open items on payment receipt.

You print using the **Print Workbench**. There, certain form classes, such as form class `IS_U_CA_DUNNING`, provide data in structure `PAYMO` (**Attached Payment Media Output**). You can print this data on the attached payment form. The application form itself can also trigger a special printout using a separate `CALL FUNCTION OPEN_FORM`.

Using a collection, you can print the application form and the payment form attached together (see also the documentation for the Print Workbench).

For detailed information about creating payment forms, see Payment Forms.

Activities

1. Configure the application forms you need in Customizing for Contract Accounts Receivable and Payable under Basic Functions > Print Workbench > Define Application Forms). For more information, see Processing Application Forms in the documentation for the Print Workbench.
2. Assign the application form to the required dunning activity in the IMG activity Configure Dunning Activities (Business Transactions > Dunning Notices).
3. Define the dunning activities in the individual dunning levels of the dunning procedure (see Business Transactions > Dunning Notices > Configure Dunning Procedures).

If you set the indicator Print All Items in Customizing for the dunning level (screen area History and Dunning Printing), you can include items that are due in the future (info items) in the printout. The info items are not displayed in the dunning history. To print the total of all items selected, you have to create the total in your dunning form in the Exit-During-Loop of level `OPEN_ITEM`, print it, and then reset it in the Exit-After-Loop.

Calculating Charges

Use

You can automatically charge your customers for the creation of dunning notices.

Activities

In Customizing, assign a charges schedule to the dunning levels in the dunning procedure.

For the correspondence types Dunning and Correspondence Dunning (0003 and 0020), charges schedules defined in a correspondence variant have no effect.

Archiving Dunning Notices

Use

You can archive dunning notices optically.

Activities

In the Implementation Guide for Contract Accounts Receivable and Payable, under Basic Functions > Correspondence > Archiving > Define Archives for Paper Records, you can define which object type is to be used for archiving. Object type BUS4401 is used as standard for dunning notices. If however, you use object type CA_DUNNING for correspondence type 0003, the selected dunning activity creates an entry in the correspondence container, and the print program archives the paper records, you can also store the dunning letters under the dunning key in the archive. If you specify key fields from the dunning header in the Business Document Navigator , you can also find dunning notices, for example, under the class name CA_DUNNING and class type BO . Note that you cannot change the archiving object in Customizing in the meantime.

Reversing Dunning Runs

Use

If a dunning activity run has not been performed correctly (for example, incorrect issue date), or if individual items of the dunning activity run have not been successfully posted, because, for example, individual business partners were locked by a parallel process, you can use the transaction **Mass Reversal of Dunning Notices** to reverse a complete dunning proposal run or the dunning notices not run successfully, and to reset all entries with errors in the dunning activity run.

Features

The system resets either the whole run or the items that were not successfully posted and marks the relevant entries in the dunning history as being reversed. The system determines and reverses the charges and interest posted during the dunning activity run and resets the creditworthiness for the customer in question. To reset additional dunning activities, you have to define a function module for event 0395 for each activity.

The reversed entries in the dunning history are not included in the dunning level determination for the next dunning proposal run.

i Note

Note for the industry component Utilities Industry

The lock document created by the dunning notice is deactivated.

Activities

1. In the SAP menu, choose **Periodic Processing** > **For Contract Accounts** > **Dunning** > **Mass Reversal of Dunning Notices.**
2. Enter a date and an ID that you can use to identify the run later.
3. On the tab page **General Selections** , specify the ID of the dunning proposal run that you want to reverse.
4. Execute the run.

For more information about scheduling the run, see Functions for Scheduling Program Runs .

Dunning by Telephone

Use

You want to contact dunned business partners by telephone.

Features

If you define the function module FKK_SAMPLE_0350_TEL_ITEM as dunning activity in Customizing, the dunning activity run automatically includes business partners that receive a dunning notice in a telephone list. You can then use this list to contact the business partners concerned by telephone.

To process the telephone list, you can use the transaction **Dunning Notices Telephone List** in the SAP menu under **Periodic Processing** → **For Contract Accounts** → **Dunning** . Several clerks can use this transaction simultaneously. If the call to the dunned business partner has been made, the clerk responsible can set the entry in the list to “Completed”. To give a business partner information during the telephone call, you can use the detailed information for an entry in the telephone list, for example, to access the account balance, to access the objects linked to the dunning notice, and to access another function that you call up installation-specific in event 9011. To document the communication with the business partner in the system, the clerk can also create customer contacts manually or automatically – depending on how the system is configured. If a clerk has removed an entry

from the list for processing, this entry is locked for processing for other clerks. Once processing is complete, the clerk can set an entry to “Completed” again, or place it back in the list.

When you reverse a dunning notice or a dunning run, the system can automatically delete entries in the telephone list. To do this, use function module FKK_SAMPLE_0395_TEL_ITEM in event 0395.The entry is deleted regardless of its status at this point.

Using correspondence type 3003 you can use the correspondence recipient control to enter an alternative business partner in the telephone list

Authorizations

The activities in the telephone list are protected by the authorization object F_KKDUTL.

Connection to **mySAP CRM**

If you do not process the list created by the dunning activity run in **Contract Accounts Receivable and Payable** with the transaction **Dunning Notices Telephone List** , but want to forward it to an external system, for example, the call center in **mySAP CRM** , you have to implement events 9010, 9012, and 9013. You can forward the list as follows:

Automatically in the dunning run Define the function module FKK_TRANSFER_CALL_LIST_1799 in event 1799.

Independent of the dunning run Start report RFKKMADUTLTRANF. Make sure you read the report documentation.

Using an installation-specific function module for event 0395, you keep **mySAP CRM** up-to-date after you have transferred the data, for example, if an entry is removed from the telephone list again as the result of a reversal of a dunning notice.

You can asign the entries in the telephone list created in **mySAP CRM** to a clerk automatically. Depending on the settings for the replication, you can enter the clerk in CRM and/or FI-CA. The prerequisite for the automatic assignment is that the clerk in CRM also exists as business partner in the system where FI-CA runs. CRM middleware replicates the business partner **Clerk** and makes the assignment to the contract account.

Maintenance in Contract Accounts Receivable and Payable (FI-CA)

In FI-CA, enter the required clerk in the contract accounts of your business partners on the tab page **General Data** in the field **Clerk Responsible** .

Maintenance in CRM System

mySAP CRM portrays the clerk as a partner function using the business agreement. In Customizing for CRM you define which partner function is to be replicated in the corresponding field in the contract account.

Deleting Data Records No Longer Required

You can delete old entries that are no longer required – this decreases the burden on the system. In the SAP menu, choose **Periodic Processing → Delete Data → Entries in the Dunning Telephone List** . See the report documentation.

Activities

Make the following settings in the Implementation Guide for **Contract Accounts Receivable and Payable** :

Configure the dunning activities under **Business Transactions → Dunning Notices**

Using the component **Customer Contact** , your clerks can document communication with business partners in the system. To enable this, carry out the contact configurations for the program context SAPLFKKDUTL under **Basic Functions → Customer Contacts → Define Configurations**

Under **Technical Settings** → **Prepare Processing of Clarification Worklists** , you can adjust the functions of the clarification worklist. The relevant application object has the key DUTL. In particular, here you can define your own processing status and user commands. SAP delivers the function module FKKDUTL_EVENT_UCOMEXIT_OTHER as an example for user commands.

If you use the function module FKK_SAMPLE_0746_TEL_ITEM as a dunning activity, you can also create a telephone list in **Correspondence Dunning** (compare Dunning Incoming Correspondence).

Functions in the Dunning History

Use

The system records all dunning data for each dunned item in a dunning history. There you can find out about the individual dunning steps. The dunning program uses the dunning history to determine the dunning levels.

Features

In the dunning history, you can see which items have been dunned for a particular area. The functions of the dunning history are protected by the following authorization objects:

- F_KKDU (Dunning in Contract Accounts Receivable and Payable)
- F_KKKO_BUK (Authorization in Company code)
- F_KKKO_GSB (Authorization in Business Area)
- F_KKKO_BEG (Authorization for Account via Authorization Group of Contract Account)

The dunning header contains the field content for the company code and business area that is required for the check. The contract account in the dunning header determines the authorization group. If no contract account is specified in the dunning header (cross-contract account dunning), the system does not check the authorization group. The system issues a message informing you of how many dunning notices are not displayed due to missing authorizations. Using the authorization object F_KKDU, the system checks the dunning history for authorization for the activities **Set Next Dunning Level** and **Reverse Dunning Notice** .

ⓘ Note

In the account balance and the document display, you can only display the dunning history for items that have actually been dunned, that is, items for which you have already carried out dunning activities. Items included in the dunning notice as info items (as described in Creating Printed Records) do not appear here.

For each business partner, the dunning history shows the name and address as standard. With a customer-specific module defined in event 4700, you can change this text to meet your requirements.

You can display additional data fields by enhancing the customer includes of structure FKKMAKO_PLUS for the dunning header and structure FKKMAZE_STRUC for the dunning items. Then fill your additional fields using a customer module for event 0391 for the dunning header or 0392 for the dunning items.

Displaying Dunning Activities

Procedure

1. Choose one of the following paths:

- Role Business Partner Account Information(SAP_FI_CA_PARTNER_ACCOUNT_INFO) Dunning History
- SAP Menu Account More Information Dunning History

2. Enter the parameters that you want to use to select dunning notices. To display dunning notices that have not been executed successfully, in the field Selection by Print Date , enter Only without Print Date as selection parameter. The Print Date is the date for the execution of all dunning activities of the update run of the dunning activity run. If required, enter the display variants for the header and item.
3. Choose Continue.
4. To display the separate line items (dunning items) that make up the dunning notices in the dunning history, place the cursor on the relevant dunning notice and double-click on the column Counter or select the button DisplayDunning Items .

All items in the dunning notice are displayed in the dunning history. For each dunning header and dunning item, you can also display the related documents (see Displaying Documents for Dunned Items). On the detail screen Dunning History: Dunning Items , you can use the object services to display the business objects linked to a dunning notice. If, for example, when you print a dunning letter you have automatically created a customer contact, or you have created a customer contact manually, and this customer contact contains an object link to the dunning notice, you can use the object services to display the linked customer contacts.

You can use display variants to influence the layout of the list containing the dunned items. For example, you can hide the key fields that have the same entries for all dunning items in a dunning notice.

ℹ Note

If you have defined the archiving object BUS4401 or CA_DUNNING in Customizing for correspondence type 0003, and have stored the letters in the optical archive when printing, you can display archived dunning notices from the dunning history.(See the Implementation Guide for Contract Accounts Receivable and Payable , Basic Functions Correspondence Archiving Define Archives for Paper Records).

Editing Dunning Items

Use

In the dunning history, you can assign a dunning level to dunned items. This new dunning level is then considered in the next dunning level. However, you cannot change the current dunning level for an item in this way.

Procedure

1. Display the dunning items as described in Displaying Dunning Activities .
2. Place the cursor on the required dunning grouping (dunning header) and choose Goto Dunning Line Itemsin the menu.
3. Place the cursor on the required dunning line item and choose Edit Dunning Items. The screen for editing the dunning items appears.
4. Enter the new dunning level.
5. Choose Save .

ℹ Note

Note for industry component Insurance You edit the dunning line items from the contract-related dunning history (see: Displaying the Dunning History).

Displaying Documents for Dunned Items

Use

In the dunning history, you can display the documents related to the dunned items, for example, interest or charges documents.

Procedure

1. Display the dunning items as described in Displaying Dunning Activities .
2. For each dunning grouping (dunning header), you can display the documents for interest and charges posted. For each item in a grouping (dunning item), you can display the source document of the item due for dunning.

   To display the documents described above, place the cursor on the relevant document number and choose the button **Display Document** , double-click on the document number, or choose the menu path **Goto** > **Document.**

Result

The system displays the selected document. You can use additional functions in the document display (see also Functions in Document Display and Document Change).

Reversing Dunning Notices

Use

Reversing one or more dunning notices.

Procedure

1. Display the dunning history as described in Displaying Dunning Activities .
2. Place the cursor on the required dunning notice (dunning header) or select the required dunning notices and choose **Reverse Dunning Notice** or, from the menu, **Goto** > **Reverse Dunning Notice.**
3. In the dialog box that appears, confirm the reversal of the dunning notice(s).

   Note

   In event 0395, you can realize additional activities when carrying out reversals.

Result

The reversed dunning notices are no longer used to determine the dunning levels and for calculating creditworthiness. The system automatically reverses the charges and interest posted as a result of the dunning run.

Displaying Dunning Runs

Use

By displaying a dunning run, you can determine which dunning runs processed an item.

Prerequisites

The dunning activity runs to be displayed were successfully executed.

Procedure

1. Display the dunning history as described in Displaying Dunning Activities .
2. Place the cursor on the required dunning grouping (dunning header). In the menu choose **Goto** > **Dunning Items.**
3. Place the cursor on the required dunning item and choose **Display Dunning Runs** or the menu **Goto** > **Display Dunning Runs.**

Result

In an information window, you see a list of the run date and identification of all dunning runs in which the selected item was dunned.

Troubleshooting

The following information will help you analyze problems that occur in dunning runs:

Problem	Cause/Solution
An item is not dunned.	• There are dunning notices for the business partner that have not been executed. • The item is not due yet or has been deferred. • No dunning procedure is assigned to the item/contract account. • The item or the related contract account has a dunning lock or posting lock. • The item is in a workflow. Approval has not yet taken place. • The last dunning level has been reached. • The amount to be dunned is below the amount limit for dunning notices. • The item is an additional receivable whose main or subtransaction has not been configured to trigger dunning. • The dunning notice is not in line with the dunning frequency.
The dunning level of an item is reduced automatically after partial clearing.	As a result of the partial clearing, the amount no longer reaches the amount limit of the previously reached dunning level. The item therefore returns to a lower dunning level.
The dunning level of an item that has already been dunned is not increased.	• The amount limits for the dunning levels are different. This means, for example, that an item can be dunned up to a specific dunning level, but does not reach the amount limit of the next highest dunning level. If an additional receivable

Problem	Cause/Solution
	in the account is overdue, the higher of the dunning levels for both items is used to determine the total dunning level of the dunning notice. The system creates dunning notices at the same dunning level until the dunning balance qualifies for the next dunning level. • An item does not qualify for the next dunning level based on the arrears days reached, but a new receivable is due for dunning. However, no dunning frequency is specified for the dunning level of this receivable, or the dunning frequency has already been exceeded. This means that the dunning run creates another dunning notice at the same dunning level. • The indicator **Always Dun** is set in the dunning level concerned. See the documentation for the indicator in Customizing. • The indicator **Print All Items** is set and the item is only an info item and therefore is not to be dunned. • You have manually set the old dunning level as new dunning level.
A payment lock and an incoming payment method are set in the contract account. Despite this, the message **Incoming Payment Method Exists** appears, and no dunning notice is created.	The items in the contract account are paid from a different contract account where no payment lock is set. SAP note 584562 contains instructions on how you can consider payment locks of both contract accounts involved.
An item reaches a dunning level whose dunning frequency has not been reached.	The dunning run compares the dunning frequency of the dunning level of the item with the dunning frequency of the dunning level of the complete dunning notice. The dunning frequency should either grow with the dunning level, or remain the same; it should not be reduced.
You expect one dunning notice but receive several.	The dunning run splits the dunned items into several groups. Check the dunning grouping fields in Customizing, the dunning procedures of the individual items, and whether an alternative installment plan procedure has been maintained for the dunning procedure.

Valuating the Success of Dunning

Use

With the **Success Valuation of Dunning** mass activity, you can determine whether the dunnings that you executed in Collections Management and the dunning procedure or collection strategy you selected were successful.

Features

The success valuation checks to what extent the dunning items have been paid and whether the payment was so close after the dunning that the dunning can be seen as causing the payment. The result of the analysis is a success percentage rate that the valuation run enters in the dunning history (table FKKMAKO), or the display of another agreement (installment plan, promise to pay) made after dunning.

The determination of the success is not subject to a fixed logic and can be performed by an installation-specific function module for event 0393. SAP provides the sample module FKK_SAMPLE_0393 where, for example, each payment received within 7 days of dunning is seen as a 100% success. Each further day of delay reduces the success percentage rate by 2.5%.

 If EUR 100 is dunned, and a payment of EUR 70 is received after 7 days, and the remaining amount of EUR 30 is paid after 15 days, this results in a success percentage rate of 100% for EUR 70, and 80% for EUR 30. The weighted average is then 94%. The valuation run enters this value in the dunning history.

Activities

1. In the SAP menu, choose **Periodic Processing** > **For Contract Accounts** > **Dunning** > **Success Valuation of Dunning.**
2. Enter a date and an ID that you can use to identify the run later.
3. On the **Selections** tab page, you can restrict the dunnings to be selected by business partner and company code or the run parameters of one or more dunning runs.
4. Schedule the program run. For more information, see Functions for Scheduling Program Runs .

Creditworthiness

Use

The creditworthiness of a business partner provides information on the business partner's payment history and influences the selection of activities for dunning and/or returns and also the calculation of charges. Various different business transactions, such as returns, dunning notices, installment plans, and write-offs update the creditworthiness in the system automatically. You can also transfer a creditworthiness record from external systems or manually. The current status of a business partner's creditworthiness is determined as a weighted total on the basis of the creditworthiness figures recorded over the last 48 months. You define the monthly weightings in Customizing. A creditworthiness of zero means that the business partner has an excellent payment history. The maximum value is 9999.

The level of creditworthiness depends on:

- Initialization in Customizing
- The creditworthiness factor in percent
- Manual creditworthiness
- Number of dunning notices, returns, and write-offs

The creditworthiness figure is adjusted if a dunning notice or return is reversed.

Prerequisites

Time-dependent weighting

To determine the weighted total you have to make a time-dependent creditworthiness weighting in Customizing (see IMG structure **Contract Accounts Receivable and Payable** > **Business Transactions** > **Dunning** and/or **Returns** > **Define Time-Dependent Creditworthiness Weightings).**

Dunning

If you want to use creditworthiness determination, enter the dunning activities and/or dunning charges in conjunction with a creditworthiness figure. The dunning activity run reads the current creditworthiness of a business partner and selects the dunning activity and dunning charge where the creditworthiness determined is greater or the same as the creditworthiness value defined in Customizing.

You can define a creditworthiness weighting in the dunning levels of dunning procedures. Once dunning has taken place, the creditworthiness figure of the current month is increased by this number.

You can define the creditworthiness figure in Customizing in each dunning procedure and dunning level (see IMG structure Contract Accounts Receivable and Payable > Business Transactions > DunningNotices > Configure Dunning Proce > dure and Configure Charge Schedules for Dunning Procedure).

Returns

If you want to use creditworthiness determination, enter the returns activities in conjunction with a creditworthiness figure. During returns processing, the system automatically determines the creditworthiness of a business partner, and, depending on this creditworthiness, the system selects the returns activity where the creditworthiness value determined is greater or the same as the value defined in Customizing.

You can define a creditworthiness weighting in the returns reasons. Once returns processing has taken place, the creditworthiness figure of the current month is increased by this figure.

You can define the creditworthiness weighting with the returns reason in Customizing (see IMG for Contract Accounts Receivable and Payable > Business Transactions > Returns > Configure Returns Reasons). >

Write-offs

Write-offs can also have a negative effect on a customer's creditworthiness. If you want to use creditworthiness determination, enter the write-offs in conjunction with a creditworthiness figure.

You can define the creditworthiness weighting with the write-off reasons in Customizing (see IMG for Contract Accounts Receivable and Payable > Business Transactions > Write-Offs > Configure Write-Off Reasons). >

Installment Plan

In the Implementation Guide for Contract Accounts Receivable and Payable , under Business Transactions > Deferral and Installment Plan > , you can:

- In the Define Categories for Installment Plan activity, define a creditworthiness number for each installment category. On the creation of an installment plan it is assigned to the related business partner.
- In the Define Deactivation Reasons for Installment Plan activity, for each deactivation reason, define whether a creditworthiness entry updated on creation of the installment plan is to be reversed when the installment plan is deactivated.

Features

The system automatically determines the creditworthiness of a business partner in returns processing and in a dunning run. The creditworthiness influences the activities and the charges levied, provided that you have defined the activities and charges dependent on creditworthiness in Customizing. There is a display and change function for creditworthiness. The features are as follows:

- You can display the automatically determined creditworthiness of every business partner in a creditworthiness history.Using the creditworthiness history you can see an overview of when the creditworthiness of a business partner changed (SAP menu: Account > More Information > Creditworthiness >).

- You can enter or change the creditworthiness manually. The manual creditworthiness is added to the value of the automatically determined creditworthiness, and thus forms the overall creditworthiness of a customer.
- You can enter a percentage creditworthiness factor for each business partner. You use this factor to weight the creditworthiness depending on the business partner.
- You can fix the current value of the automatically determined creditworthiness. The creditworthiness value can then only change for reasons relating to creditworthiness, such as dunning or dunning notice reversal, but not for time-dependent reasons.
- You can release this fixed value manually, so that the creditworthiness can change for time-dependent reasons.
- You can enter or reverse a creditworthiness record manually or with a BAPI in the creditworthiness history. The system then determines the new creditworthiness automatically.
- For the creditworthiness of a business partner, SAP delivers the object type **CA_CRDRTNG** and the BAPIs contained therein.

Change documents record any entries or changes that you have made to the manual creditworthiness, as well as changes to the percentage creditworthiness factor. If there is no data record for the current calendar year when you call the **Change Creditworthiness** function, the system automatically creates an initial record. The initial record contains the current calendar year. All other values in the creditworthiness records are blank.

Activities

To display or change the creditworthiness of a business partner, choose one of the following paths:

- **Function**

  Business Partner Account Information(SAP_FI_CA_PARTNER_ACCOUNT_INFO) > Display Business Partner Creditworthiness or **Change Business Partner Creditworthiness** .

- **SAP Menu**

  Master Data > Business Partner > Display/Change Creditworthiness

Collections Management

Purpose

The **Collections Management** component supports you in drawing your customers' attention to overdue payables and requesting payment.

You can print correspondence using the **Correspondence** component or using the application forms of the **Print Workbench** that you have defined.

Integration

Work items created in Contract Accounts Receivable and Payable are processed exclusively by collection specialists in **Customer Relationship Management** (CRM) in **Financial Customer Care**.

Configuration of Dunning by Collection Strategy

Purpose

To map and control the collection processes you require using the dunning programs, you must first make the system settings described in this section.

The determination of the dunning activities in the dunning programs takes place using the **Business Rules Framework** (BRF) or the **Business Rules Framework plus** (BRFplus). For more information about the Business Rules Framework (BRF), see SAP Library for SAP ERP on the SAP Help Portal at **http://help.sap.com/erp** > **SAP ERPEnhancement Packages** > **SAP ERP Cross-Application Functions** > **Cross-Application Services** > **Business Rule Framework (BRF)** and Business Rule Framework plus (BRFplus) .

Process Flow

1. In Customizing for **Contract Accounts Receivable and Payable** , execute the activities under **Business Transactions** > **Dunning** > **Dunning by Collection Strategy** . See also the documentation for the activities, the individual fields, and the indicators.

2. Define the required dunning locks manually in the master records of the contract accounts and/or in the document. On the SAP Easy Access screen, choose **Master Data** > **Contract Account** > **Create/Change** or **Document** > **Post/Change**

   If you define the relevant strategy in Customizing for **Contract Accounts Receivable and Payable** under **Business Transactions** > **Dunning** > **Dunning by Collection Strategy** > **Master Data Grouping** > **Define Default Values for Contract Account Group and Strategy** , in specific business transactions the system can automatically set dunning locks in the contract account and/or document. Using the BAPI BAPI_CTRACCONTRACTACCOUNT_CREA, you can transfer dunning locks.

   For the industry components Public Sector Contract Accounts Receivable and Payable and Utilities, in Customizing for Contract Accounts Receivable and Payable , you can define default values for dunning procedures and dunning locks that the system then enters in the document automatically during posting (see **Basic Functions** > **Postings and Documents** > **Document** > **Maintain Document Assignments** > **Maintain Transactions for Public Sector Contract Accounting/Maintain Transactions for IS-U**).

3. The dunning proposal run evaluates the parameters and derives the actions to be carried out.

Result

If collection grouping is active for a company code, dunning is by collection strategy instead of by dunning procedure.

Collection Strategy

Definition

Defines rules that decide on the sequence of the collection steps in Receivables Management.

Use

You define your strategy in the IMG activity **Define Collection Strategy** .

If you are using BRF, then you assign the appropriate BRF application class to your strategy and you assign the event for the determination of the next collection step.

If you are using BRFplus, then you assign the appropriate BRFplus function to your strategy.

ℹ Note

If you assign both a BRFplus function and a BRF event to a strategy, then the sample module FKK_SAMPLE_0315 executes the BRFplus function.

Collection Step

Definition

The collection step of a dunning defines which dunning activities are executed.

Use

In the **Define Collection Step** IMG activity, for each collection step you define the dunning interval, charges schedule, interest key, and the dunning activities to be executed.

Depending on which rules engine you are using, you make the settings for the derivation of the collection step in the dunning run either for BRF or BRFplus.

Settings for BRF

In Customizing under **Settings in Business Rules Framework,** you make settings for the derivation of the collection step using BRF as follows:

- In the **Create Client-Independent Application Class** activity, you first create the application class on a client-independent basis. In the subsequent **Configure BRF** IMG activity, you create it client-dependent and make the required settings.
- In the **Configure BRF** activity, you maintain the BRF event that you assign to the collection strategy. An event can contain one or more rules that consist of actions and expressions. There must be at least one action of the implementing class 0FICACS001. See the example application class delivered.
- In the **Copy Application Class** activity, you can copy and transport the application classes. Copy the example application class delivered by SAP from client 000. It contains some examples for events, actions, and expressions. Use this application class for test purposes or as a template for your own application class. SAP provides the following industry-specific example application classes:
  - COLLECTIONS_PS (IS-PS-CA)
  - COLLECTIONS_U (IS-U)
  - COLLECTIONS_T (IS-T)
- In the **Copy Implementing Classes** activity, you copy the implementing class of an application class to a new application class. Transfer the implementing classes of the example implementing class to a new application class defined by you. These implementing classes represent a selection of the classes available in the system that is useful in the context of dunning by collection strategy. You create additional implementing classes in transaction BRFIMC01.
- In the **Define Additional Settings for Application Class** activity, you assign all new application classes created to the **Collections Management** application.

The system executes the collection step as an event of the **Business Rules Framework** in event 0315. Note also the settings of the **Business Rules Framework** in the Implementation Guide for **Cross-Application Components** under **General Application Functions** .

Settings for BRFplus

In Customizing under **Settings for BRFplus,** you make settings for the derivation of the collection step with BRFplus. When you choose the activity **Configure BRFplus** , you go directly to the BRFplus workbench. In the next activity, **Example Application for BRFplus** , SAP provides an example application.

→ Recommendation

Copy the example application COLLECTIONS_SAMPLE. The signature for the BRFplus function is defined by the functions of the example application (see Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Dunning** > **Dunning by Collection Strategy** > **Settings for BRFplus**) and is adopted when you copy the example application. In your copy you can exchange rule sets and replace them with your own rules or add additional functions.

Dunning Activities

Definition

Measure when a specific collection step is reached.

Use

You define dunning activities in the **Configure Dunning Activities** Customizing activity by specifying a function module with a predefined interface. For the dunning activity key, specify the name of the dunning activity, the activity type, and the name of the function module that realizes the dunning activity. For activities that support the printing of **Print Workbench** forms, you have to define an application form.

ℹ Note

Note that the function modules that realize the dunning activities for correspondence dunning use a different interface to the function modules for dunning activities for dunning open items.

In the **Define Collection Steps** Customizing activity, you then assign the dunning activities to the collection steps.

When you execute the dunning activity run, the function modules defined for the activities for a dunning level are called up.

Dunning activities are realized industry-specific. However, you can also define installation-specific activities. In addition to the features of the standard delivery, you can realize industry-specific dunning activities.

ℹ Note

Utilities Industry (IS-U)Component

You can dun budget billing requests as well as open items.The dunning run can create lock documents automatically.For more information about lock documents, see the documentation of the industry component **Utilities** under **Contract Accounts Receivable and Payable** > **Locking/Restarting a Utilities Installation** and under **Customer Service** > **Locking/Restarting a Utilities Installation** .You can postprocess the dunning-relevant data manually in the dunning proposal.

Telecommunications(IS-T) component

You can postprocess the dunning-relevant data manually in the dunning proposal.If receivables have reached a specific collection step , you can lock the contract account or the service for a business partner automatically in the dunning activities run.(See **IS-T Telecommunication Services in RM-CA** > **Locking Services via the Dunning Run (IS-T)**).

Example

Possible dunning activities are:

- Creation of work items
- Creation of a dunning letter
- Creation of a note by a clerk
- Submission of items to a collection agency
- Termination of a contract
- Setting a lock
- Creation of a collection work item

Capacity Planning

Definition

Restricts the number of dunning notices of a specific dunning activity created in a dunning run that require postprocessing by a clerk.

Use

To do capacity planning, you must first:

Create at least the collections department in Organizational Management

Set the **Determine Clerk** indicator for all activities in the **Configure Dunning Activities** activity in order to derive the corresponding organization units/clerks.

Then make the required settings in the **Define Capacity Planning for Dunning Activities** activity.Here you can do planning per clerk, per collection unit, or for the whole collections department.If you only enter a collections department, the values apply for all units of the department.

In the **Upper Limit** column, for each organizational unit (collections department, collection group) and clerk, you define how many dunnings with a specific dunning activity these are to process.The system determines the upper limit using the valuation number.The valuation figure prioritizes dunning notices if there is a capacity restriction for dunning activities.If you do not use the valuation figure, the prioritization is by rank.If the valuation figure and rank are initial, the dunning notices with the highest dunning balance are processed first.The BRF or the function module implemented for event 0315 fills the **Rank** and **Valuation Figure** fields.

You can treat all dunnings of the dunning activity concerned that exceed the upper limit as follows:

You set an upper limit without release procedure.As soon as the figure defined in the **Upper Limit** column is reached, the dunning proposal run performs the alternative collection step defined for this collection step instead of the current collection step derived for all dunning notices above the upper limit (see the **Define Collection Step** activity).

The alternative collection step is determined at the end of the dunning proposal run.If no alternative collection step is defined for the collection step, the system reverses the dunning notice automatically.

Alternative collection steps must not contain dunning activities with capacity restriction.

You set an upper limit with release procedure.To do this, in addition to the upper limit, in the **Release From** field, define the number of dunning notices with the relevant dunning activity for which the system should execute the dunning activity run immediately after the dunning proposal run.The dunning proposal run indicates all dunning notices above this figure as **To Be Released** (at the end of processing).The dunning activity run can only execute these dunning notices after the release.You execute the release in a separate step in the SAP menu under **Periodic Processing → For Contract Accounts → Dunning → By Collection Strategy → Release Dunning Notices** Here you can:

Release or reverse dunning notices up to the release date.

Only reverse dunning notices that have exceeded the release date (The **Dunning Reversal of Dunning Notices** mass activity in the SAP menu under **Periodic Processing → For Contract Accounts → Dunning** can also reverse these dunning notices together if you set the **Release Procedure** indicator.)

You then execute the dunning activity run for the dunning notices released.

If you set the **Release Procedure** indicator instead of the run ID of a dunning proposal run, the dunning activity run executes the dunning activities for all dunning notices released (also from several different dunning proposal runs).

Grouping of Master Data

Use

During dunning by collection strategy, you can group the master data of business partners in master data groups. The dunning activity run then considers the group as a whole. This means that the system performs the necessary dunning activities separately for each master data group.

Example

The dunning activity run creates one collection work item for each master data group.

Prerequisites

You have activated master data grouping in Customizing for Contract Accounts Receivable and Payable under **Organizational Units > Set Up Company Codes for Contract Accounts Receivable and Payable**. To do so, you set the indicator in the **Master Data Grouping Level** column.

Features

The properties of a master data group always refer to a business partner.

You can group master data at the level of the contract account or at the level of the contract.

Activities

1. Specify the master data groups you want to use. In Customizing for Contract Accounts Receivable and Payable choose **Business Transactions > Dunning > Dunning by Collection Strategy > Master Data Grouping > Define Master Data Groups**.

   You can also restrict individual master data groups to specific contract account categories there.

   In the **Define Default Values for Contract Account Group and Strategy** IMG activity, you can define default values for the master data group. Event 1044 processes this setting and creates a proposal value. For the migration, you can use report

RFKK_UPDATE_MASTERDATA. In addition to event 1044, it also processes event 1045 to determine a contact person of the business partner.

2. Maintain the master data group, collection strategy, and contact person of the business partner. On the SAP Easy Access screen, choose Master Data > Business Partner > Data for Collections Management > Maintain Master Data Groups.

   The system stores this information in the master data objects. The collection strategy uses the BRF event to define the rules for deriving the next collection step for this group.

3. For an overview of the master data of a business partner, on the SAP Easy Access screen, choose Master Data > Business Partner > Data for Collections Management > Display Master Data Groups.

Dunning Charges

Definition

Charges that are calculated as a result of a payment being outstanding and that are levied when a dunning notice is created.

Structure

The charges are calculated automatically based on a charges schedule defined in Customizing. In this schedule, you define the currency-specific and creditworthiness-specific charges scales.

To define a charges schedule, proceed as follows:

1. In the Define Charge Types for Dunning Customizing activity, define charges types.
2. In the Configure Charges Schedule Customizing activity, define the required amount limits and rounding rules.
3. In the Define Collection Steps IMG activity, assign the required charges schedules to the collection steps.

With each charges schedule you can manage charges data for up to three charges types. For each combination of charges schedule and charges types, you can create charges lots that are amount-specific, currency-specific, and creditworthiness-specific. You can then use these to determine charges. You can also define a main and a subtransaction.

You can levy dunning charges as absolute amounts, or as percentages. Percentages are applied to the dunning balance. In the subtransaction, you can define whether additional receivables should be considered in this balance.

The dunning activity run posts the dunning charges defined in the charges schedule for each charges type of a collection step automatically. From the main and subtransaction, each industry component can derive a statistics indicator that determines whether the charges are posted statistically or relevant to the general ledger.

The charges documents are created in the events 0360, 0361, and 0362. See the documentation for the sample function modules FKK_SAMPLE_0360, FKK_SAMPLE_0361, and FKK_SAMPLE_0362.

Dunning Locks

Definition

Processing lock that causes items due for dunning to be restricted or not dunned by the dunning programs.

Structure

You can lock individual items or entire contract accounts for dunning by specifying the relevant dunning lock reasons at the required level. You can also restrict the validity of a dunning lock to a specific period. If you set a dunning lock for a line item, only that item is excluded from the dunning run. A dunning lock at the business partner-contract account relationship level means that all items posted to this contract account are not dunned until the lock has expired or has been removed. If an item has a deferral date, it is not dunned until the deferral date has been exceeded.

You define dunning locks in the **Define Dunning Lock Reasons** activity. If you designate a dunning lock as dunnable and assign it to an item:

- The item itself does not trigger a dunning notice; it can, however, be dunned with other items
- The item is included in the dunning balance, but is not used for the amount limit check

SAP recommends using this type of dunning lock for interest and charges. If you set such a dunning lock in the contract account, this has no effects. See also the documentation for the indicator.

i Note

Items or contract accounts that have an incoming payment method but no incoming payment lock are excluded from the dunning run. In this case, the system assumes that the item or contract account concerned is to be paid via the payment run.

If the contract account of a business partner has a payment lock, and the payment method is only in the item and not in the account, neither the payment program nor the dunning program take account of the item.

Dunning in Alternative Currencies

Use

During dunning, you can handle documents as if they had been posted in a currency other than the local currency (for example, EUR). This means that when you print dunning letters, you can print the amounts in both the document currency and an alternative currency (for example, EUR).

Activities

To be able to dun receivables in a currency other than the document currency, you have to define the alternative payment currency required in Customizing.You do this in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Business Transactions** > **Define Alternative Currencies** .

Calculation of Interest and Charges According to Fiscal Code

Use

To meet legal requirements of the public legal dunning procedure, you have to make special settings in Cutomizing and define specific events of the dunning program. The following contains instructions for dealing with the different problem issues.

Features

Penalty Surcharge According to Fiscal Code

System Requirements	Procedure
For each item, the system is to post a separate interest document item.	Include the fields OPUPW, OPUPK, and OPUPZ in the structure CI_FKKIV.
Interest is to be calculated on a monthly basis for months started where the key date is in the calendar month.	In the Implementation Guide for **Contract Accounts Receivable and Payable** under **Business Transactions** > **Interest Calculation** > **Item Interest Calculation** > **Define Interest Calculation Rules** , in the **Interval** field enter Month, under **Monthly Interest Calculation** enter Month Started/Key Date in Calendar Month, and for **Scale Type** , enter No Scaled Interest Rates.
Subitems are to be totaled before they are rounding according to the rounding rule in the interest conditions and then subjected to interest calculation.	In the interest key set the **Summarize Subitems before Interest Calculation** indicator.
Summarize documents that belong together	If you require further summarization of documents that belong together, by main/subtransaction for example, you can define a customer-specific function module for event 2085. This module can then summarize by fields of the structure FKK_INT_ITEM_CHOSEN in addition to OPBEL, OPUPW, OPUPK, and OPUPZ. You can use function module FKK_CONDENSE_2085 as a template. Event 2085 is only processed if the **Summarize Subitems before Interest Calculation** indicator is set. Register your installation-specific function module for event 2085 in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Program Enhancements** > **Define Customer-Specific Function Modules** .
Interest is to be calculated on cleared subitems if they were not cleared by the key date for the interest calculation	In the Implementation Guide for **Contract Accounts Receivable and Payable** , under **Business Transactions** > **Interest Calculation** > **Item Interest Calculation** > **Define Interest Key** , set the **Consider All Subitems for Interest Calculation** indicator in the interest key.
The base date for the interest calculation is to be moved to the day after the next working day using the factory calendar (grace period rule)	**Only for industry component Public Sector Contract Accounts Receivable and Payable** In the Implementation Guide for **Contract Accounts Receivable and Payable** , under **Program Enhancements** > **Define Customer-Specific Function Modules** , for event 2090 define function module FMCA_SAMPLE_2090 or use this function module as a template for an installation-specific module that you register using event 2090 (see documentation of function module).
The due date of the interest document item should be on the day after the due date of the item, moved to the next working day	In the standard, the due date of the interest document item is the current system date. You can change the due date of the interest document item in a customer-defined function module for event 0370 that first calls the standard module FKK_SAMPLE_0370. The example coding of the function module ZFKK_SAMPLE_0370 calculates the due date of the interest item from the due date of the item subjected to interest as follows: The due date is moved to the next day. If this is not a working day, using event 3030 (factory calendar), the system determines the next valid day. Register the module in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Program**

System Requirements	Procedure
	Enhancements > Define Customer-Specific Function Modules .

System Requirements	Procedure
Up to a specific base amount, a minimum charge is to be levied. A percentage charge is to be calculated for the portion of the dunning amount that exceeds this base amount.	In the Implementation Guide for Contract Accounts Receivable and Payable , under Business Transactions > Dunning > Configure Charges Schedule , in the Offset Charge column in the charges schedule, define an offset that you calculate according to the following formula: Offset = Minimum charge – (base amount * percentage/100) The base amount is 50 EUR, minimum charge 5 EUR (= 1%) Offset = 5 – 50* 1/100 = 4.5
Charges are to be restricted to a maximum when interest is posted.	Do **not** make an entry in the Maximum Charge field in the charges schedule since this charges restriction refers to the interest calculation (see Business Transactions > Dunning > Configure Charges Schedule).Instead, set the Interest before Charges indicator in the collection step (see Business Transactions > Dunning > Dunning by Collection Strategy > Define Collection Step) and define the function module FKK_SPECIALCHARGE_0360 (or another customer-defined function module with other limit amounts) for event 0360.
A charges document is due with the oldest items	In the standard, the due date of the charges document is the current system date.You can change the due date of the charges document in a customer-defined function module for event 0360 that first calls the function module FKK_SAMPLE_0360 or (for charges restriction) FKK_SPECIALCHARGE_0360.The example coding in function module ZFKK_SAMPLE_0360 calls the module FKK_SPECIALCHARGE_0360 and transfers the due date of the oldest main receivable to the charges document as due date.Define the function module in the Implementation Guide for Contract Accounts Receivable and Payable under Program Enhancements > Define Customer-Specific Function Modules .

System Requirements	Procedure
Interest is not to be calculated on penalty charges and charges	Define a rule for additional receivables where the Subject to Interest indicator is **not** set.To do this, in the Implementation Guide for Contract Accounts Receivable and Payable choose Business Transactions > Additional Receivables > Define Rules for Additional Receivables .
Penalty charges and charges are to be dunned with the main receivables causing the charges and with the same collection step	In the collection step, set the Dun New Documents Immediately indicator.
Penalty charges and charges should not contribute to the dunning balance	Do **not** set the Consider for Calculation of Dunning Balance indicator in the rule for additional receivables.

Dunning Runs

Purpose

Once you have configured the dunning parameters described, the system can identify overdue receivables in the system and dun your business partners.

Prerequisites

To prevent you from dunning receivables that have already been paid, you should keep your postings as up-to-date as possible.This means that you should ensure that all payments received have been posted in the system and cleared with the receivables due (for example, using the automatic clearing program in the SAP menu under Periodic Processing > For Contract Accounts > Automatic Clearing).

Process Flow

In Contract Accounts Receivable and Payable , you dun receivables in a dunning run. Carrying out a dunning run involves two steps:

1. Dunning proposal run (SAP menu: Periodic Processing > For Contract Accounts > Dunning > Dunning Proposal Run)
2. Dunning activity run (SAP menu: Periodic Processing > For Contract Accounts > Dunning > Dunning Activity Run)

In the first step, the dunning proposal run determines

- The contract accounts to be dunned, together with the items due for dunning
- The master data groups in which the items are to be summarized
- The strategy for dunning the master data groups

The result of the dunning proposal is processed further in the dunning activity run. In the second step, the dunning activity run first determines the dunning activities required depending on the collection step and then carries these activities out. You can specify the frequency in which you want to carry out dunning runs. Dunning proposal runs and dunning activity runs can be executed more than once simultaneously and therefore enable you to process large quantities of data.

The dunning proposal run proposes a reconciliation key for the documents posted during dunning. You can change this proposal manually. The dunning activity run only uses this reconciliation key if the run ID agrees with that of the dunning proposal run.

The requirements of the different industries may be very varied, and so Contract Accounts Receivable and Payable offers numerous events with which application-specific and customer-specific requirements can be fulfilled.

Result

In a dunning run, you have created, for example, printed records, clerk notes, charges postings, and interest postings. The system has updated the dunning history.

Dunning Proposal Run

Use

The dunning proposal run groups the overdue items for dunning notices.

Prerequisites

You have maintained master data groups and assigned strategies.

You have defined the required run variants in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Business Transactions** > **Dunning Notices** > **Define Execution Variants for Dunning Proposal Run** and entered an installation-specific function module for event 0300 under **Program Enhancements** > **Define Customer-Specific Function Modules** .

Features

By specifying the corresponding selection criteria in the dunning proposal run, you control which items are dunned. A successfully completed dunning proposal run is therefore the prerequisite for executing dunning activities.

For a technical breakdown of the dunning proposal run, see SAP Note 429810.

Activities

In the SAP menu, choose **Periodic Processing** > **For Contract Accounts** > **Dunning** > **Dunning Proposal Run** .

1. Enter a date and an ID that you can use to identify the run later.
2. On the **General Selections** tab page, restrict the selection of the items to be dunned. You can also use the item fields as selection criteria (table DFKKOP).
3. On the **Dunning Parameters** tab page, specify the following parameters required for the dunning notices:
   - **Net Due Date** of the items to be dunned (optional)
   - **Date of Issue** of the dunning notices

     You should enter the date on which you plan to print the dunning notices as the date of issue. The system proposes the current date. Using the issue date, the system determines the days in arrears for the item due and the interval to the last dunning notice for a business partner.

     Using execution variants, you can postprocess the dunning proposal on the basis of any company-specific criteria in event 300.

     If you set the **Start Activity Run** indicator, when you start the dunning proposal run, the system automatically starts the dunning activity run as well. Note however, that this means that you can no longer edit the collection step or delete the dunning proposal run in the dunning proposal.
4. Execute the program run. For detailed information, see Functions for Scheduling Program Runs .

ℹ Note

The dunning proposal run checks whether there is a dunning notice that has not been executed for a business partner in the system. If this is the case, the dunning proposal run does not create a new dunning notice and issues a warning in the application log.

In postprocessing for the dunning proposal, you can exclude individual dunning notices from the dunning activity run by reversing the dunning notices concerned.

The dunning proposal run considers dunning reductions that result from dispute cases in **SAP Dispute Management** , for example. The system distributes the dunning reductions to the dunning groups in event 0335 and reduces the dunning balance by this amount. SAP provides the sample function module FKK_SAMPLE_0335_DISPUTE for the deduction of amounts from dispute cases. You should define this as an installation-specific function module for event 0335.

Dunning Activity Runs

Use

Once you have executed the dunning proposal run successfully, start the second subprocess of the dunning run the dunning activity run.

Prerequisites

1. You have successfully completed the dunning proposal run.
2. You have carried out the preparations required for creating dunning letters (see Creating Printed Records).

Features

The dunning activity run determines and runs the dunning activities defined in the dunning procedures and dunning levels. A dunning activity run relates only to those overdue items determined in a dunning proposal run.

If the dunning activity run carried out a dunning activity successfully, it sets the print date in the dunning proposal. The print date is the same as the run date.

If errors occurred during the execution of the dunning activities run, the system only sets the print date in some of the dunning headers. If the cause of the error is in the dunning proposal, you have to reverse the dunning notices concerned. If the cause of the error is in the dunning activity run, you have to correct the error and then start the dunning activity run again for this dunning proposal run. In this second run, the dunning activity run only processes the dunning notices that have not been executed yet, that is, dunning notices that have not received a print date (run date). If a long time has elapsed since the error occurred, we recommend that you reverse the dunning notices that have not been executed manually or using the transaction **Mass Reversal of Dunning**, and then start the dunning proposal run again.

If you run the dunning activity run in simulation mode, you can also test the correspondence creation. If you simulate a run again, but print after the first simulation run, in the second simulation the correspondence container is filled again and you can repeat the print. However, if you do not print between two simulation runs, the data in the correspondence container is overwritten and you can only print once at the end.

Activities

You schedule and start a dunning activity run in the same way as for a dunning proposal run. On the tab page **General Selections**, enter the run parameters for the dunning proposal run that you want to execute and then schedule the program run. For detailed information, see Functions for Scheduling Program Runs.

In the dunning activity run, you can revise the dunning activities defined in Customizing. In event 0351, you can add or delete dunning activities dependent on information from the dunning header (for example, business partner).

The program does not process business partners and contract accounts, for which locks exist during the program run due to dialog processing. Depending on whether you choose the Business Partner or Contract Account as the parallelization object, the program records all business partners or contract accounts that could not be processed. The job that processes the last interval (this does not have to be the interval with the highest number) selects the business partners and contract accounts that were not processed during the first attempt. If the reason for the lock no longer exists at that time, these business partners or contract accounts are processed, and therefore there is no need to schedule the run again.

Interest Calculation for Dunning Items

Use

If you want to charge interest on items to be dunned, you can link the interest calculation to a collection step.

Features

If interest is to be calculated on items due for dunning in a collection step, the dunning activity run calculates the interest on the items automatically.

It does this using the **item interest calculation** application component. The interest calculation is based on the interest calculation rule of the interest key defined in the collection step. The interest is posted in accordance with the specifications in the system settings for the collection step.

Activities

To enable item interest calculation in the dunning activities run, you have to make the following settings in the Implementation Guide for **Contract Accounts Receivable and Payable** :

1. If necessary, define the interest key that you want to assign to the collection step under **Business Transactions** > **Interest Calculation** > **Item Interest Calculation** > **Define Interest Keys** .The interest key contains the interest calculation rules to be used for the interest calculation, and you can define these in the same section of the IMG in the **Define Interest Calculation Rules** activity.
2. Activate the interest calculation in the dunning activity run and in the **Define Collection Step** activity, assign the interest key to the required collection step. Here you also make the following settings:
   - Define whether the interest is to be posted statistically or relevant to the general ledger.
   - In addition to interest, you can also levy various charges on your business partner.If you set the **Interest before Charges** indicator, you can define whether the interest is to be calculated before the charges in the dunning activity run.This is necessary, for example, if the amount of the charges is to be dependent on the interest calculated.To create this dependence, define a function module for event 0360 in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Program Enhancements** > **Define Customer-Specific Function Modules** .SAP delivers function module FKK_SPECIALCHARGE_0360 as an example implementation for such a calculation.

     This enables you to restrict the amount of the dunning charges if you levy dunning interest as well as dunning charges.
   - Define the minimum interest amount that can be posted for a dunning notice.

For detailed information, see the documentation for the corresponding fields.

Modifications in the Program Sequence

Use

In the following events you can influence the dunning process:

Event	Function
0350	You should not define any customer-specific function modules in event 0350. Instead, define dunning activities in the Customizing activity **Configure Dunning Activities** , and assign the dunning activities to the required collection step. (See also SAP note 487357.)

Event	Function
0365/0366	With a function module in event 0366, you can also dun items in a payment order. To check how long an item has been in a payment order, define a customer-specific function module for event 0365.
0395	As standard, when you reverse a dunning notice, the interest and charges documents are also reversed. To reset the effect of additional dunning activities for the dunning reversal, you have to define function modules for event 0395. SAP also delivers function modules for the dunning activities delivered. For example, function module FKK_SAMPLE_0395_DELETE_CC for deleting correspondence containers or function module FKK_SAMPLE_0395_UNLOCK_VKONT for deleting a lock set in the contract account by the dunning program.

Activities

Enter a function module in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Program Enhancements** > **Define Customer-Specific Function Modules**.

See also the events in the area between 0300 and 0399.

Creating Printed Records

Use

As part of a dunning run, you want to send dunning letters and payment forms.

Integration

You can prepare application forms using the **Print Workbench** component. You then print the correspondence using the **Correspondence** component. The following form classes are delivered as standard:

- `FI_CA_DUNNING_NEW` (Contract Accounts Receivable and Payable) with the sample application form `FI_CA_DUNNING_SAMPLE_SF` (Smart Form)
- `IS_U_CA_DUNNING` (industry components Utilities, Telecommunications)
- `ISM_CA_DUNNING` (Industry component Media)

Features

Depending on the dunning activity, you can create documents for a dunning notice in two ways:

- The dunning activity run creates the documents using industry-specific or customer-specific dunning activities. SAP does not recommend this method.
- The **Create Correspondence Request** dunning activity creates correspondence container entries that you print using correspondence printing (on the SAP Easy Access screen under **Periodic Processing** > **Correspondence** > **Print**).In that case, you create the dunning letter itself using the print program from the **Correspondence** component. In events 0770 and 0773, you can determine the recipient and address for a dunning letter dependent on the collection step.

Payment Forms

If you use the function modules *DUNNING_PR_CORR_CONT_0350 as a dunning activity, you can also send a payment form for the dunned items and the related interest and charge documents with the dunning letter. If the activity for creating correspondence has not created a payment form number, you can assign the payment form number using the function module FKK_DUNNING_PF_NO_DET_0350. The internal and external payment form numbers are saved in the dunning header and can be used to assign the open items on payment receipt.

You print using the **Print Workbench**. There, certain form classes, such as form class IS_U_CA_DUNNING, provide data in structure PAYMO (**Attached Payment Media Output**). You can print this data on the attached payment form. The application form itself can also trigger a special printout using a separate CALL FUNCTION OPEN_FORM.

Using a collection, you can print the application form and the payment form attached together (see also the documentation for the **Print Workbench**).

For detailed information about creating payment forms, see Payment Forms.

Activities

Configure the application forms you need in Customizing for Contract Accounts Receivable and Payable under **Basic Functions** > **Print Workbench** > **Define Application Forms**). For more information, see Processing Application Forms in the documentation for the **Print Workbench**.

Assign the application form to the required dunning activity in the IMG activity **Configure Dunning Activities** (**Business Transactions** > **Dunning**).

Define the dunning activities in the individual collection steps (see **Business Transactions** > **Dunning** > **Configure Dunning Activities**).

Archiving Dunning Notices

Use

You can archive dunning notices optically.

Activities

In the Implementation Guide for **Contract Accounts Receivable and Payable,** under **Basic Functions** > **Correspondence** > **Archiving** > **Define Archives for Paper Records** , you can define which object type is to be used for archiving. Object type BUS4401 is used as standard for dunning notices. If however, you use object type CA_DUNNING for correspondence type 0003, the selected dunning activity creates an entry in the correspondence container, and the print program archives the paper records, you can also store the dunning letters under the dunning key in the archive. If you specify key fields from the dunning header in the **Business Document Navigator** , you can also find dunning notices, for example, under the class name **CA_DUNNING** and class type **BO** . Note that you cannot change the archiving object in Customizing in the meantime.

Reversing Dunning Runs

Use

If a dunning activity run has not been performed correctly (for example, incorrect issue date), or if individual items of the dunning activity run have not been successfully posted, because, for example, individual business partners were locked by a parallel process, you can use the **Mass Reversal of Dunning Notices** transaction to reverse a complete dunning proposal run or the dunning notices not run successfully, and to reset all entries with errors in the dunning activity run.

Features

The system resets either the whole run or the items that were not successfully posted and marks the relevant entries in the dunning history as being reversed. The system determines and reverses the charges and interest posted during the dunning activity run and resets the creditworthiness for the customer in question. To reset additional dunning activities, you have to define a function module for event 0395 for each activity.

ⓘ Note

Note for the industry component Utilities Industry

The lock document created by the dunning notice is deactivated.

Activities

1. In the SAP menu, choose **Periodic Processing** > **For Contract Accounts** > **Dunning** > **Mass Reversal of Dunning Notices.**
2. Enter a date and an ID that you can use to identify the run later.
3. On the **General Selections** tab page, specify the ID of the dunning proposal run that you want to reverse.
4. Execute the run.

For more information about scheduling the run, see Functions for Scheduling Program Runs .

Functions in the Dunning History

Use

The system records all dunning data for each dunned item in a dunning history. There you can find out about the individual dunning steps.

Features

In the dunning history, you can see which items have been dunned for a particular area. The functions of the dunning history are protected by the following authorization objects:

- F_KKDU (Dunning in Contract Accounts Receivable and Payable)
- F_KKKO_BUK (Authorization in Company code)
- F_KKKO_GSB (Authorization in Business Area)
- F_KKKO_BEG (Authorization for Account via Authorization Group of Contract Account)

The dunning header contains the field content for the **company code** and **business area** that is required for the check. The contract account in the dunning header determines the **authorization group** . If no contract account is specified in the dunning header (cross-contract account dunning), the system does not check the authorization group. The system issues a message

informing you of how many dunning notices are not displayed due to missing authorizations. Using the authorization object F_KKDU, the system checks the dunning history for authorization for the activities **Set Next Dunning Level** and **Reverse Dunning** .

For each business partner, the dunning history shows the name and address as standard. With a customer-specific module defined in event 4700, you can change this text to meet your requirements.

You can display additional data fields by enhancing the customer includes of structure FKKMAKO_PLUS for the dunning header and structure FKKMAZE_STRUC for the dunning items. Then fill your additional fields using a customer module for event 0391 for the dunning header or 0392 for the dunning items.

Displaying Documents for Dunned Items

Use

In the dunning history, you can display the documents related to the dunned items, for example, interest or charges documents.

Procedure

1. Display the dunning items as described in Displaying Dunning Activities .
2. For each dunning grouping (dunning header), you can display the documents for interest and charges posted. For each item in a grouping (dunning item), you can display the source document of the item due for dunning.

   To display the documents described above, place the cursor on the relevant document number and choose the button **Display Document** , double-click on the document number, or choose the menu path **Goto** > **Document.**

Result

The system displays the selected document. You can use additional functions in the document display (see also Functions in Document Display and Document Change).

Reversing Dunning Notices

Use

Reversing one or more dunning notices.

Procedure

1. Display the dunning history as described in Displaying Dunning Activities .
2. Place the cursor on the required dunning notice (dunning header) or select the required dunning notices and choose **Reverse Dunning Notice** .
3. In the dialog box that appears, confirm the reversal of the dunning notice(s).

> **Note**
> In event 0395, you can realize additional activities when carrying out reversals.

Result

The reversed dunning notices are no longer used to determine the collection steps and for calculating creditworthiness. The system automatically reverses the charges and interest posted as a result of the dunning run.

Displaying Dunning Runs

Use

By displaying a dunning run, you can determine which dunning runs processed an item.

Prerequisites

The dunning activity runs to be displayed were successfully executed.

Procedure

1. Display the dunning history as described in Displaying Dunning Activities .
2. Place the cursor on the required dunning grouping (dunning header). In the menu choose **Goto** > **Dunning Items.**
3. Place the cursor on the required dunning item and choose **Display Dunning Runs** or the menu **Goto** > **Display Dunning Runs.**

Result

In an information window, you see a list of the run date and identification of all dunning runs in which the selected item was dunned.

Updating the Creditworthiness

Use

The creditworthiness of a business partner provides information about his payment behavior. Various different business transactions, such as returns, dunning notices, and write-offs update the creditworthiness in the system automatically. You can also transfer a creditworthiness record from external systems or manually.

The current status of a business partner's creditworthiness is determined as a weighted total on the basis of the creditworthiness figures recorded over the last 48 months. You define the monthly weightings in Customizing. A creditworthiness of zero means that the business partner has an excellent payment history. The maximum value is 9999.

The level of creditworthiness depends on:

- Initialization in Customizing
- The creditworthiness factor in percent
- Manual creditworthiness
- Number of dunning notices, returns, and write-offs

The creditworthiness figure is adjusted if a dunning notice or return is reversed.

Prerequisites

Time-dependent weighting

To determine the weighted total you have to make a time-dependent creditworthiness weighting in Customizing (see IMG structure Contract Accounts Receivable and Payable > Business Transactions > Dunning and/or Returns > Define Time-Dependent Creditworthiness Weightings).

Dunning

In Customizing, you can define a creditworthiness weighting for collection steps. After dunning, the creditworthiness figure of the current month is increased by this figure.

Define the creditworthiness figure in the Implementation Guide for Contract Accounts Receivable and Payable under Business Transactions > Dunning > Dunning by Collection Strategy > Define Collection Step .

Returns

If you want to use creditworthiness determination, enter the returns activities dependent on a creditworthiness. During returns processing, the system automatically determines the creditworthiness of a business partner, and, depending on this creditworthiness, the system selects the returns activity where the creditworthiness value determined is greater or the same as the value defined in Customizing.

In Customizing, you can define a creditworthiness weighting in the returns reasons. Once returns processing has taken place, the creditworthiness figure of the current month is increased by this figure.

You can define the creditworthiness weighting with the returns reason in Customizing (see IMG for Contract Accounts Receivable and Payable > Business Transactions > Returns > Configure Returns Reasons).

Write-Offs

Write-offs can also have a negative effect on a customer's creditworthiness. If you want to use creditworthiness determination, enter the write-offs in conjunction with a creditworthiness figure.

You can define the creditworthiness weighting with the write-off reasons in Customizing (see IMG for Contract Accounts Receivable and Payable > Business Transactions > Write-OffsConfigure Write-Off Reasons).

Features

The system automatically determines the creditworthiness of a business partner in returns processing and in a dunning run. The creditworthiness influences the activities and the charges levied, provided that you have defined the activities and charges dependent on creditworthiness in Customizing.

There is a display and change function for creditworthiness. The features are as follows:

- You can display the automatically determined creditworthiness of every business partner in a creditworthiness history.Using the creditworthiness history you can see an overview of when the creditworthiness of a business partner changed (SAP menu: Account > More Information > Creditworthiness).
- You can enter or change the creditworthiness manually. The system adds the manual creditworthiness to the value of the creditworthiness determined automatically. The result is the total creditworthiness of a customer.

- You can enter a percentage creditworthiness factor for each business partner. You use this factor to weight the creditworthiness depending on the business partner.
- You can fix the current value of the automatically determined creditworthiness. The creditworthiness value can then only change for reasons relating to creditworthiness, such as dunning or dunning notice reversal, but not for time-dependent reasons.
- You can release this fixed value manually, so that the creditworthiness can change for time-dependent reasons.
- You can enter or reverse a creditworthiness record manually or with a BAPI in the creditworthiness history. The system then determines the new creditworthiness automatically.
- For the creditworthiness of a business partner, SAP delivers the object type CA_CRDRTNG and the BAPIs contained therein.

Change documents record any entries or changes that you have made to the manual creditworthiness, as well as changes to the percentage creditworthiness factor.

If there is no data record for the current calendar year when you call the **Change Creditworthiness** function, the system automatically creates an initial record. The initial record contains the current calendar year. All other values in the creditworthiness records are blank.

Activities

To display or change the creditworthiness of a business partner, in the SAP menu, choose **Master Data** > **Business Partner** > **Display/Change Creditworthiness** .

Creating Collection Work Items

Use

You create collection work items in the dunning activity run, if you want specialists to contact customers, such as by phone or by e-mail, to remind them of amounts due and request payment.

Integration

Collection work items are processed by collection specialists in the Interaction Center WebClient in SAP Customer Relationship Management (SAP CRM). The communication between the ERP system (Contract Accounts Receivable and Payable) and the CRM system (Financial Customer Care) takes place using API function modules. Collection specialists cannot process collection work items in Contract Accounts Receivable and Payable.

Managers, that is, users in the role of the person responsible for a collections department or collections unit, can perform the following functions in Contract Accounts Receivable and Payable from the SAP Easy Access screen by choosing **Periodic Processing** > **For Contract Accounts** > **Dunning** > **Manage Worklists** :

- Close collection work items
- Reopen collection work items
- Change the responsibility for collection work items

If a collection specialist enters a new contact person for a collection work item in the Interaction Center WebClient, you can adopt the data in the business partner master data in Contract Accounts Receivable and Payable. When a collection specialist enters a

contact person in the Interaction Center WebClient, CRM updates a corresponding trigger in Contract Accounts Receivable and Payable.

You must process these triggers regularly in Contract Accounts Receivable and Payable using the **Update Contact Persons** transaction from the SAP Easy Access screen under **Master Data** > **Business Partners** > **Data for Collections Management**.

Prerequisites

On the SAP Easy Access screen, under **Periodic Processing** > **For Contract Accounts** > **Dunning**, you have maintained the responsibilities for your departments and units. For more information, see Determining Responsibilities for Processing Work Items.

Features

The dunning activity run, as part of a collection strategy or a dunning procedure, executes the dunning activities defined in Customizing. The dunning activity controls which measures are performed when a collection step or a dunning level is reached. If the measure consists of creating a collection work item, then configure the corresponding dunning activities with the function module `FKK_0350_WLI_CREATE_AND_CLOSE`. The module

- Creates collection work items
- Closes existing collection work items
- Assigns collection work items to departments, units, and specialists based on the settings in organizational management

You use the work item category to control the attributes of collection work items, and to control their processing and assignment to worklists. You assign dunning activities to the work item category in Customizing.

Collection work items are managed using the collection worklist. Each dunning activity run can create one worklist for each work item category – dependent on the Customizing settings for work item categories (see point 3 under Activities).

In event 1037, you can define classification criteria for assigning collection work items to worklists. In that way, you can automatically distribute the collection work items of a dunning activity run to several worklists. There is an example program for classification criteria in sample function module `FKK_SAMPLE_1037`. You can implement default settings for certain worklist attributes in event 1036.

If work items are not assigned to a worklist, they remain in their initial status and cannot be processed by a specialist.

Managers, that is users in the role of the person responsible for a collections department or collections unit, access worklists as follows:

- On the SAP Easy Access screen under **Periodic Processing** > **For Contract Accounts** > **Dunning** > **Manage Worklists**
- Using the CRM WebClient user role FICACM

Activities

1. Configure dunning activities for creating collection work items in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Dunning**.
2. If you dun using dunning procedures, assign dunning activities to dunning levels in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Dunning** > **Dunning by Dunning Procedure** > **Configure Dunning Procedure**.
3. If you dun by collection strategy, assign dunning activities to collection steps in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Dunning** > **Dunning by Collection Strategy** > **Define Collection**

Step.

4. Define work item categories in Customizing for Contract Accounts Receivable and Payable under Business Transactions > Dunning > Worklists and Work Items > Define Work Item Categories.

   Using the processing type in the configuration of the work item categories, you can specify if collection work items are to be processed by a specialist or by an automatic dialer. Either the dunning activity run or the manager assigns dialer work items to a dialer worklist. If a manager releases a dialer worklist, the system sends all dialer work items that it contains to an external system (power dialer) by means of a notification message (XI). This external system assigns a specialist, who contacts the customer, to each dialer work item. The external system makes the phone call to the business partner.

   In event 1049, you convert the connection status to the business partner, which was determined using the XI interface, into the substatus of a work item. In the ERP system, the substatus then shows the status of work item at the dialer (such as, business partner not reached, line busy, business partner currently being called).

   Using the creation mode, you specify if the dunning activity run automatically groups the work items into a worklist, adds the work items automatically to a standing worklist, or if the work items are grouped manually in a worklist.

   Once a dunning activity run has created a standing worklist, the system automatically adds new work items to the standing worklist.

   This type of worklist always remains open, it is never ended by the system. If you set the Own WL indicator, the dunning activity run groups the collection items of this category in their own worklist.

   Using the processing deadline, you specify if the work items have to be processed before the next time the dunning activity run is executed. If the Mandatory indicator is set for a work item category, and a work item of this category is still open the next time the dunning activity run is executed, the work item is excepted from further dunning. If the indicator is not set, the dunning activity run closes the work item and creates a new collection work item.

   If you set the Enforcement Work Item indicator, the dunning run automatically assigns the generated work items to an item list. The dunning activity run always assigns collection work items of this category to a separate worklist.

5. Assign dunning activities to the work item categories in Customizing for Contract Accounts Receivable and Payable under Business Transactions > Dunning > Worklists and Work Items > Assign Work Item Categories to Dunning Activities.

6. On the SAP Easy Access screen, under Periodic Processing > For Contract Accounts > Dunning, define the responsibilities for your collections departments, collections units and collection specialists.

Determining Responsibilities for Processing Work Items

Use

To enable the work items created by the dunning run to be processed, the responsible clerks must be assigned.

Prerequisites

To enable the system to automatically assign collection work items created by the dunning activity to a department of a collections department in the dunning run, you performed the following steps starting on the SAP Easy Access screen under Tools > Business Workflow > Organizational Plan > Organizational Plan > Organization and Staffing > Display:

1. Create at least one department with a manager (department manager) and assign the standard task FICA Collections Department to this department.

2. Beneath the department, create the work groups required (across several hierarchies), each with a leader (group leader) and assign the standard task FICA Collections Unit to these groups.

3. Beneath each work group, create a position and assign the standard task **FICA Collection Specialist** to this position.

4. Under each position, create the system user of the clerk who fulfills this position.

For more information about organizational management, see **SAP NetWeaver Library** under **SAP NetWeaver by Key Capability** > **Application Platform by Key Capability** > **Business Services** > **Organizational Management (BC-BMT-OM)**.

Features

The dunning run automatically assigns the work items created to a department.

On the SAP Easy Access screen under **Periodic Processing** > **For Contract Accounts** > **Dunning** > **By Collection Strategy** > **Responsibilities,** you can define responsibilities for departments, work groups, or collection specialists. Using the **Define Additional Department or Group Head** transaction, you can create (external) employees, who are not assigned to a collection department in organizational management, as additional managers of a collections department or collections unit. Using the **Define Additional Collection Specialist** transaction, you can create (external) employees, who are not assigned to a collection department in organizational management, as additional collections specialists.This means that when you create a work item, the system can assign a work group or specialist, in addition to the department.

A department or group manager can change the automatic assignment of work groups and specialists manually (see Worklist).

In Customizing for **Contract Accounts Receivable and Payable** under **Business Transactions** > **Dunning** > **Dunning by Collection Strategy** > **Clerk Determination**, you can also define replacement tasks for determining the collection specialist.

To simulate the assignment of work items generated in the dunning run, on the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Dunning** > **By Collection Strategy** > **Responsibilities** > **Simulate Responsibilities**. Here you can simulate the derivation of the three hierarchy levels in one step using data from dunning. This means that the test directly follows the flow of the dunning program (see SAP Easy Access screen: Periodic Processing -> For Contract Accounts -> Dunning -> Areas of Responsibility).

Managing Worklists (SAP GUI)

Use

Worklists group collection work items for processing.

Prerequisites

You have defined organizational management from the SAP Easy Access screen by choosing **Tools** > **Business Workflow** > **Organizational Plan** > **Organizational Plan** > **Organization and Staffing**.

Features

The work item category controls the assignment of work items to one of the following types of worklist.

The assignment to a worklist specifies the following for a work item:

- Its priority (using a valuation rule)
- How many collection work items a collection specialist is allowed to assign to himself and how many he is allowed to be processing at the same time

Activities

1. To process worklists, from the SAP Easy Access screen choose **Periodic Processing** > **For Contract Accounts** > **Dunning** > **Manage Worklists.**

2. On the following tab pages you can get an overview of all worklists and how complete their processing is:

   - The **New Work Items** tab page shows the manager all departments assigned to him, and the number of work items that are assigned to his departments and units, but are not assigned to a worklist.
   - The **Current Worklists** tab page shows all worklists that are assigned to the departments/units of the manager and which contain at least one not completed work item.
   - The **Completed Worklists** tab page shows all worklists that are assigned to the departments/units of the manager and which contain only completed work items.

     The **Current Distrib.** tab page shows the distribution of work items to the individual organizational units (department, unit, specialist).

     The system considers completed work items in the distribution only if they were finished on the same day the transaction is called.

3. Below each tab page there are pushbuttons you can use to:

   - Create new worklists by grouping items and release them
   - Assign work items to work groups and specialists
   - Process the attributes of worklists
   - Display work items
   - Close work items
   - Reopen work items
   - Query the status of dialer work items from an external system (power dialer)

Managing Worklists (UI Framework)

Use

Worklists group together collection work items for processing.

Prerequisites

- You have defined organizational management on the SAP Easy Access screen under **Tools** > **Business Workflow** > **Organizational Plan** > **Organizational Plan** > **Organization and Staffing**.

  You have assigned the user role "FICACM" in particular to users in the role of person responsible for a collections department or collections unit (manager).

  For more information on organizational management, see SAP NetWeaver Library under **SAP NetWeaver by Key Capability** > **Application Platform by Key Capability** > **Business Services** > **Organizational Management (BC-BMT-OM)**.

- You have made settings for the WebClient UI Framework in Customizing for Contract Accounts Receivable and Payable under **Technical Settings** > **UI Framework**.

Features

A manager (that is, a user with the role of person responsible for a collections department or collections unit) has all the same functions available in the WebClient user role that are available in the SAP GUI transaction. However, here a manager can also:

- Change the assignment of work items to worklists

  That means that a manager can move work items from one worklist to another.

- Temporarily remove work items from processing
- Get an overview of the assignment of work items to units and departments

The authorizations necessary for managing worklists are contained in the role `SAP_WUIF_FICA_COLL_MANAGER`.

For processing, the following pages are available in the navigation bar:

- **Collection Work Items Assignment**
- **Create Worklist**
- **Find Work Item**
- **Find Worklist**

Note

If you host the application in a central Data Center and end users have access using WAN, this has a negative effect on performance. In this case, Accelerated Application Delivery for SAP NetWeaver offers a solution.

Activities

Call transaction "WUI" and then proceed as follows:

To get an overview of the assignment of collection work items to specialists and organizational units:

In the navigation bar, choose **Collection Work Items Assignment**.

In the work area, you can get an overview of all work items and how complete their processing is, related to the organizational unit. In detail, you receive information about:

- How many work items are assigned to an organizational unit
- How many work items there are in each processing status
- What the total amount is for the work items assigned to an organizational unit
- How many work items were closed in the course of the day, and what the total amount of these work items is

To create worklists:

1. In the navigation bar, choose **Create Worklist**.
2. Enter an ID, a processing type for the work items of the worklist, and a department that is responsible for processing the worklist.

   By entering a description and a text, you can also describe the worklist more precisely to enable you to identify it more easily later.

By entering an execution date, you specify the latest end date for a work item of the worklist. You can overwrite this date with a later date. As an attribute of the worklist, the date serves informational purposes only.

If you enter a valuation rule, you can prioritize the work items of the worklist; the work items then receive a certain ranking depending on how important they are.

In the field **Maximum Number Uncompleted Work Items**, you can enter the maximum number of work items a specialist is allowed to have in processing.

In the field **Number of Work Items per Assignment**, you can specify the number of work items that a specialist receives through automatic assignment.

3. Choose **Add Work Items**.
4. In the dialog that appears, select the work items you want by entering appropriate selection criteria.

   To add work items to the work list, choose the **Choose** pushbutton.

   By choosing  , you can remove the selection again. If you have already saved the assignment, this function is no longer available. To remove work items in that case, you have to assign them to another list.
5. Save the worklist and release it if necessary. For this, choose  or  .

   You have to release the worklist in order for specialists to be able to assign themselves the work items. If you assign work items to your worklist that are already released, the system releases the worklist immediately when you save.
6. If you want to change the header data of the worklist afterward, choose  .

To search for collection work items:

1. In the navigation bar, choose **Find Work Items**.
2. Enter your selection criteria and choose **Find**.

In the work area, you can select individual work items and process them.

To search for worklists:

1. In the navigation bar, choose **Find Worklist**.
2. Enter your selection criteria and choose **Find**.

In the work area, you can now select a worklist and close and remove work items.

If you regularly use the same search criteria, you can save these under an ID. Enter the ID in the **Save Search As** field, and choose  . You can then enter this ID in the **Central Search** area in the **Saved Searches** field, and use it by choosing the **Start** pushbutton. Using the  pushbutton, you can delete existing selections.

Additional Information

For information about the UI Framework, see the SAP Help Portal under **SAP Business Suite** > **SAP Customer Relationship Management** > **Customer Relationship Management** > **WebClient UI Framework**.

Collection History

Definition

Brings business transactions in Collections Management into an overall view with reference to the business partners affected.

Use

You call the collection history on the SAP Easy Access screen under Account > More Information. To display the collection history, you can choose between a tabular and a hierarchical view of the events.

Structure

The collection history views business transactions as events that are subdivided using event categories. SAP delivers events of the following categories:

- Dunning
- Correspondence
- Work item
- Payment
- Promise to pay
- Installment plan

You can use a customer enhancement to integrate additional events.

In Customizing you can place these events (business transactions) in context and assign specific transactions to one another. You make the settings in Customizing for Contract Accounts Receivable and Payable under Business Transactions > Dunning > Collection History. For more information, see the documentation for the individual activities.

Example

- The system assigns a correspondence to a specific installment plan if the correspondence is an installment plan notification for this installment plan.
- The system assigns a work item to a specific dunning notice if the work item has arisen from a dunning activity for this dunning notice.
- The system assigns a payment to a specific promise to pay if the promise to pay was closed by this payment.

Valuating the Success of Dunning

Use

With the Success Valuation of Dunning mass activity, you can determine whether the dunnings that you executed in Collections Management and the dunning procedure or collection strategy you selected were successful.

Features

The success valuation checks to what extent the dunning items have been paid and whether the payment was so close after the dunning that the dunning can be seen as causing the payment. The result of the analysis is a success percentage rate that the valuation run enters in the dunning history (table FKKMAKO), or the display of another agreement (installment plan, promise to pay) made after dunning.

The determination of the success is not subject to a fixed logic and can be performed by an installation-specific function module for event 0393. SAP provides the sample module FKK_SAMPLE_0393 where, for example, each payment received within 7 days of dunning is seen as a 100% success. Each further day of delay reduces the success percentage rate by 2.5%.

 If EUR 100 is dunned, and a payment of EUR 70 is received after 7 days, and the remaining amount of EUR 30 is paid after 15 days, this results in a success percentage rate of 100% for EUR 70, and 80% for EUR 30. The weighted average is then 94%. The valuation run enters this value in the dunning history.

Activities

1. In the SAP menu, choose **Periodic Processing** > **For Contract Accounts** > **Dunning** > **Success Valuation of Dunning.**
2. Enter a date and an ID that you can use to identify the run later.
3. On the **Selections** tab page, you can restrict the dunnings to be selected by business partner and company code or the run parameters of one or more dunning runs.
4. Schedule the program run. For more information, see Functions for Scheduling Program Runs .

Determining the Optimum Collection Strategy

Use

You can use test series to determine which collection strategies achieve the highest success rates during dunning.

Features

You define collection strategies in your system and assign these strategies to contract accounts or contracts that you want to dun using the given strategy. To optimize your collection process, you can compare newly designed strategies with existing strategies. To do so, you can juxtapose an existing strategy (called a champion strategy) and a new strategy (called a challenger strategy) in a test series. This means, for a certain period of time you can use the challenger strategy to dun a certain percentage of the master data that is actually subject to the champion strategy. By subsequently analyzing how successful the dunning was, you can determine which strategy is more effective. To compare the strategies, follow these steps:

1. Using test series, you define which champion strategies you want to replace with which challenger strategies. You also specify what percentage of the master data the change is applied to. (On the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Dunning** > **By Collection Strategy** > **Process Test Series for Strategy Replacement**.)

   In doing so, you tailor each challenger strategy to just one champion strategy.

2. You determine the master data, for which you want the system to replace the strategy, and you replace the strategy. (On the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Dunning** > **By Collection Strategy** > **Determine Master Data for Test Series**.)

3. By analyzing the time periods in which a champion or challenger strategy was used, you can form conclusions about the efficiency of the given strategy by means of reporting in Business Intelligence (BI) and by using Success Valuation of Dunning Notices (on the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Dunning**).

The system records which master data is assigned to which challenger strategy. It automatically prevents the master data from being assigned to more than one challenger strategy at the same time.

Both strategies are displayed in the dunning header. The dunning history informs you if the dunning run is currently using the champion strategy or the challenger strategy. (On the SAP Easy Access screen, choose **Account** > **Further Information** >

Dunning History.)

> **Note**
>
> At event 1038, you can exclude certain master data from being assigned to a challenger strategy.

Defining Test Series for Replacing the Strategy

Use

A test series is used to assign challenger strategies to champion strategies. It also specifies the percentage of master data that the strategy is applied to within a given validity period.

You create a new test series in the following situations:

- You want to define one or more test series for the first time.
- A dunning run is scheduled in the near future and your existing test series have expired.
- You want to change a test series that was used in a previous dunning run.

> **Note**
>
> You cannot change a test series once it has been used.

Activities

To create a test series, proceed as follows:

1. On the SAP Easy Access screen, choose Periodic Processing > For Contract Accounts > Dunning > By Collection Strategy > Process Test Series for Strategy Replacement.
2. Enter a technical name for the test series and choose Create.
3. Enter a description and a validity period for the test series. By entering a validity period, you specify how long you want to use the challenger strategy on the master data. When this time period is past, the system automatically uses the champion strategy that was originally entered in Customizing.
4. Enter your assignments. In the table, enter which challenger strategies replace which champion strategies. Also enter the percentage of master data that you want to be affected by the replacement.

   If you want one or more strategies to be replaced by one or more replacement strategies, define multiple assignments for the test series.

   On the screen for creating test series, 20 rows are initially available for entering assignments. To have the system display an additional 20 rows, choose the New Assignments pushbutton.
5. Save the data.

You can change the validity period at a later date; however, the changes do not take effect until you have determined the master data for the test series. It is only possible to make changes to the assignment of challenger strategies to champion strategies, and to the percentages for master data, as long as the master data has not yet been processed using the changed test series. If you want to make these kinds of changes, you have to determine the master data for the test series again, and delete the data of the old test series. If the test series was already used on master data, then you have to create a new test series or limit the validity of the old test series, or both.

ℹ Note

To ensure transparency regarding the effectiveness of your selected strategies in BI reporting, only change test series in exceptional cases.

To display and change test series, on the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Dunning** > **By Collection Strategy** > **Process Test Series for Strategy Replacement**. Changing the percentage rate and the assigned challenger strategy is only possible if you have not used the test series for dunning. If you have not yet used a test series, but have already determined the master data for the test series, then you have to determine the master data again and delete the old data. You delete the old data using the same transaction that you use to determine the master data for the test series.

Determining Master Data for Strategy Replacement

Use

The settings you make for valid test series determine the master data, for which the change of the strategy takes effect.

Activities

1. On the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Dunning** > **By Collection Strategy** > **Determine Master Data for Test Series**.

   ### ℹ Note

   To ensure that the change of collection strategy takes effect as soon as possible, run this program soon after you create the test series.

2. Enter an interval for the business partner. Enter the test series you want to use for replacing champion strategies.

   By setting the appropriate indicators, you can:

   - Run the program as a simulation for test purposes
   - Output a detailed log
   - Delete old test data using the program run

3. Run the program.

The program determines the master data, for which the system is to replace the champion strategy. In table DFKKCCMD, it records which challenger strategies are valid for which master data, and the starting date for this validity.

If you have already assigned master data to a challenger strategy, and if this assignment is still valid, then it remains in effect. If you have already assigned master data to a challenger strategy, but the strategy is no longer valid, then the program assigns the new challenger strategy.

The strategy replacement itself takes place in the dunning proposal run. The dunning proposal run considers the entries in table DFKKCCMD.

The system stores the collection strategy replacement in the dunning history.

ℹ Note

You can also choose to implement your own logic for determining the affected master data. In that case, enter your test series without entering percentages. Instead of the of the transaction for determining the master data, use your own report to fill

database table DFKKCCMD.

Updating Collection Strategies

Use

If you want to replace a collection strategy, for example because you have determined the optimum collection strategy, you can replace it in a program run in the master data of all affected business partners.

Features

You update collection strategies at the master data level (contract account, contract account group, contract, contract group). In doing so, you can:

- Explicitly enter the new collection strategy that you want to replace the collection strategy entered in the master data
- Enter a test series that the program run uses to replace the collection strategy

Activities

From the SAP Easy Access screen, under **Periodic Processing** > **For Contract Accounts** > **Dunning** > **By Collection Strategy** > **Process Update Run for Collection Strategies**, you can:

- Display the log for an update run
- Execute an update run again for one that had errors
- Undo an update run

For more information, see the program documentation.

Recording BRF Traces or BRFplus Traces

Use

Using a BRF or BRFplus trace, you can, in individual cases, interpret decisions of the Business Rules Framework (BRF) or the Business Rules Framework plus (BRFplus), and based on this you can make targeted adjustments to the check rules in BRF or BRFplus.

Features

You trigger the recording of a BRF or BRFplus trace in the dunning proposal run by setting the **Trace Active** indicator on the **Dunning Parameters** tab page. (On the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Dunning** > **Dunning Proposal Run**.)

To reduce the load on your database, enter an amount of time after which the BRF trace or BRFplus trace is released to be deleted. Enter this in the **Days Until Trace Deleted** field. Based on the number of days you enter, the system determines the date the trace expires and stores this date in the trace data record. The system automatically proposes 30 days. However, you can change this value. If you do not enter a value, the system automatically sets the expiration date to December 31, 9999. Once the expiration date has been reached, the system deletes the BRF trace or BRFplus trace automatically the next time the dunning proposal run is

executed. In the case of BRF or BRFplus traces with the expiration date December 31, 9999, the system never deletes them automatically. You delete these traces manually. On the SAP Easy Access screen, choose Periodic Processing > Delete Data > Delete BRF Trace. You can also use the same transaction to directly delete BRF and BRFplus traces that do have an expiration date.

You can display recorded BRF or BRFplus traces using these methods:

- Using the report Collections Management: Display BRF Trace

  You call the report either from the SAP Easy Access screen or in the dunning proposal run. On the SAP Easy Access screen, choose Periodic Processing > For Contract Accounts > Dunning > By Collection Strategy > Display BRF Traces. To call the report in the dunning proposal run, enter the date ID and the run ID of the run you want. On the Dunning Parameters tab page, choose the pushbutton.

  Here you can display BRF or BRFplus traces using different selections. You can select by dunning proposal run using the date ID and run ID. Or you can display for business partners, contract account groups, collection steps, and collection strategies. Displaying for contract accounts and business partners is only possible here if the system has actually generated dunning headers.

  Note

  If the system did not generate any dunning notices, you can access the report only by means of the BRF or BRFplus trace.

- In the dunning history

  You access the dunning history from the menu of the dunning proposal run under Environment > Dunning History. Or on the SAP Easy Access screen, choose Account > Further Information. Then in the history display, choose the pushbutton. Or from the menu, choose Goto > Display BRF Trace.

Returns

Returns can arise after a payment and a subsequent notification from the bank about the unsuccessful collection of payment owing to insufficient funds in the account. Returns can also arise after a payment by check that has not been covered after being deposited at the bank. You can process bank returns that occur during debit memo and collection procedures, check deposits, or outgoing payments. The system carries out the returns data in returns lots.

Features

In the first step, you have to enter the returns data manually by using returns slips or automatically by using a transfer program in returns lots, and post these lots. The system then processes the returns automatically. First the system determines the receivables or payables that are cleared on the basis of incoming or outgoing payments. Then the clearing is reset so that the original receivables or payables are open again, and a returns document is generated with the offsetting items for the items in the payment document. The system also generates further postings that are necessary because of taxes or charges, and executes follow-up activities such as adoption of incoming and outgoing payment methods. Bank charges, as well as any tax amounts contained therein, provided that these were specified, are determined from the return amount and posted to the general ledger. You can forward the bank charges to the business partner (without taxes). By specifying amount-specific scaled charges in Customizing for the return reason, you can invoice additional charges to your business partner. These returns charges can be posted either statistically or to the general ledger.

You can define follow-up activities depending on the return reason, the creditworthiness of the business partner, the tolerance group of the contract account, and the number of returns that have occurred. The follow-on activities include:

- Changes to the item

Setting a deferral date, dunning block and / or a payment block for the reopened receivables

- Changes to the contract account

  Setting a dunning block, incoming payment block, outgoing payment block and / or changing the incoming payment method (for example direct debit on direct payer)

In the contract account, you can also manually set a processing block with a time limit which prevents dunning and debit memos.

You can also carry out the following activities within an industry solution or a customer project:

- Linking processing to a workflow
- Creation and transfer of information for the administrator responsible
- Creation of correspondence for the business partner

The system records all data and activities in a returns history. Here, for example, the number of returns for a business partner can see. The system uses the returns history to determine the creditworthiness of a business partner.

Printing of printed material (for example: Returns notification) uses previously-defined application forms with the Correspondence component. You define application forms using the Print Workbench.

Returns Lots

Definition

The returns lot is a central object in returns processing. It is essentially a grouping of documents that were sent back by the house bank and are settled with the same bank clearing account. Data can be entered in the returns lot both automatically and manually.

Structure

A returns lot consists of a header that describes the lot. It contains administrative data and general specifications that the system uses to post the individual items of the return.

You define the general specifications in Customizing. These include the document type, the clearing reason, the company code, the screen variant, and the selection type. (In Customizing for Contract Accounts Receivable and Payable, choose **Business Transactions** > **Returns** > **Determine Document Type and Clearing Reason for Returns**). At the item level, you can manually change specifications such as the posting date and value date, as well as entries for taxes and charges. However, you are not allowed to change the clearing reason and the currency.

Returns Category

Definition

Specifies the source of a return. The returns defined here are bank and check returns.

Use

Together with automatic account determination, the returns category identifies the G/L accounts for returns charges and the bank clearing account. By assigning returns categories to Returns reasons , you ensure that different returns reasons can be used for

different G/L accounts.

Returns Reason

Definition

A returns reason specifies the cause (from an internal business view) of a return. Examples of possible reasons include "insufficient funds" or "unknown account number."

Use

The returns reason triggers a number of activities. The activities include charge handling, and setting dunning/payment locks and payment methods.

In Customizing you must assign the returns reasons given by banks to your own company-specific returns reasons. This allows you to treat different returns reasons as defined by individual banks in a uniform way.

Structure

Using activity keys in Customizing, you can define multiple activities to be performed in the event of a return. The activity key is made up of the **Company code** , **No. of returns** , **Creditworthiness** , and **Tolerance group** fields.

For each returns reason, you can define lot charges based on currency and maximum permitted differences for the payment and return amount.

Creditworthiness

Use

The creditworthiness of a business partner provides information on the business partner's payment history and influences the selection of activities for dunning and/or returns and also the calculation of charges. Various different business transactions, such as returns, dunning notices, installment plans, and write-offs update the creditworthiness in the system automatically. You can also transfer a creditworthiness record from external systems or manually. The current status of a business partner's creditworthiness is determined as a weighted total on the basis of the creditworthiness figures recorded over the last 48 months. You define the monthly weightings in Customizing. A creditworthiness of zero means that the business partner has an excellent payment history. The maximum value is 9999.

The level of creditworthiness depends on:

- Initialization in Customizing
- The creditworthiness factor in percent
- Manual creditworthiness
- Number of dunning notices, returns, and write-offs

The creditworthiness figure is adjusted if a dunning notice or return is reversed.

Prerequisites

Time-dependent weighting

To determine the weighted total you have to make a time-dependent creditworthiness weighting in Customizing (see IMG structure Contract Accounts Receivable and Payable > Business Transactions > Dunning and/or Returns > Define Time-Dependent Creditworthiness Weightings).

Dunning

If you want to use creditworthiness determination, enter the dunning activities and/or dunning charges in conjunction with a creditworthiness figure. The dunning activity run reads the current creditworthiness of a business partner and selects the dunning activity and dunning charge where the creditworthiness determined is greater or the same as the creditworthiness value defined in Customizing.

You can define a creditworthiness weighting in the dunning levels of dunning procedures. Once dunning has taken place, the creditworthiness figure of the current month is increased by this number.

You can define the creditworthiness figure in Customizing in each dunning procedure and dunning level (see IMG structure Contract Accounts Receivable and Payable > Business Transactions > DunningNotices > Configure Dunning Proce dure and Configure Charge Schedules for Dunning Procedure).

Returns

If you want to use creditworthiness determination, enter the returns activities in conjunction with a creditworthiness figure. During returns processing, the system automatically determines the creditworthiness of a business partner, and, depending on this creditworthiness, the system selects the returns activity where the creditworthiness value determined is greater or the same as the value defined in Customizing.

You can define a creditworthiness weighting in the returns reasons. Once returns processing has taken place, the creditworthiness figure of the current month is increased by this figure.

You can define the creditworthiness weighting with the returns reason in Customizing (see IMG for Contract Accounts Receivable and Payable > Business Transactions > Returns > Configure Returns Reasons).

Write-offs

Write-offs can also have a negative effect on a customer's creditworthiness. If you want to use creditworthiness determination, enter the write-offs in conjunction with a creditworthiness figure.

You can define the creditworthiness weighting with the write-off reasons in Customizing (see IMG for Contract Accounts Receivable and Payable > Business Transactions > Write-Offs > Configure Write-Off Reasons).

Installment Plan

In the Implementation Guide for Contract Accounts Receivable and Payable , under Business Transactions > Deferral and Installment Plan , you can:

- In the Define Categories for Installment Plan activity, define a creditworthiness number for each installment category. On the creation of an installment plan it is assigned to the related business partner.
- In the Define Deactivation Reasons for Installment Plan activity, for each deactivation reason, define whether a creditworthiness entry updated on creation of the installment plan is to be reversed when the installment plan is deactivated.

Features

The system automatically determines the creditworthiness of a business partner in returns processing and in a dunning run. The creditworthiness influences the activities and the charges levied, provided that you have defined the activities and charges dependent on creditworthiness in Customizing. There is a display and change function for creditworthiness. The features are as follows:

- You can display the automatically determined creditworthiness of every business partner in a creditworthiness history.Using the creditworthiness history you can see an overview of when the creditworthiness of a business partner changed (SAP menu: **Account** > **More Information** > **Creditworthiness**).
- You can enter or change the creditworthiness manually. The manual creditworthiness is added to the value of the automatically determined creditworthiness, and thus forms the overall creditworthiness of a customer.
- You can enter a percentage creditworthiness factor for each business partner. You use this factor to weight the creditworthiness depending on the business partner.
- You can fix the current value of the automatically determined creditworthiness. The creditworthiness value can then only change for reasons relating to creditworthiness, such as dunning or dunning notice reversal, but not for time-dependent reasons.
- You can release this fixed value manually, so that the creditworthiness can change for time-dependent reasons.
- You can enter or reverse a creditworthiness record manually or with a BAPI in the creditworthiness history. The system then determines the new creditworthiness automatically.
- For the creditworthiness of a business partner, SAP delivers the object type **CA_CRDRTNG** and the BAPIs contained therein.

Change documents record any entries or changes that you have made to the manual creditworthiness, as well as changes to the percentage creditworthiness factor. If there is no data record for the current calendar year when you call the **Change Creditworthiness** function, the system automatically creates an initial record. The initial record contains the current calendar year. All other values in the creditworthiness records are blank.

Activities

To display or change the creditworthiness of a business partner, choose one of the following paths:

- **Function**

  Business Partner Account Information(SAP_FI_CA_PARTNER_ACCOUNT_INFO) > **Display Business Partner Creditworthiness** or **Change Business Partner Creditworthiness** .

- **SAP Menu**

  Master Data > **Business Partner** > **Display/Change Creditworthiness**

Entering and Posting Returns Manually

Purpose

You must enter returns manually if for instance the bank reports returns in the form of return slips, checks come back uncashed or if payment could not be made (also see Entering and Posting Returns Automatically).

Procedure

You enter a new returns lot or change an existing returns lot (see Entering Returns Lots Manually).

a. Specify data relevant to the returns lot in the header of the payment lot, and determine the Type of Posting . The system requires this data to clear charges and taxes as well as to determine the bank clearing account to be used. You can also define the number of items as well as the amount of the credit or debit total in the header of a returns lot. If you have chosen default values, the returns lot cannot be closed until the corresponding totals of the returns items entered match the default values.

b. Depending on the screen variant you have chosen (see Screen Variants for Processing Returns Lots), enter an item for every return, in which you enter the amount, value date, returns reasons and payment document.

Once you have made all your entries, close the returns lot (see Closing a Returns Lot Manually .)

Post the returns lot (see Posting a Returns Lot Manually).

When you post a return, a new open item is created. The use of this new item is dependent on the type of posting.

b. The activities defined in the system for a returns reason and other activities are carried out (see Executing Returns Activities).

Edit any items shown to be incorrect during posting and post again (see Postprocessing a Returns Lot Manually).

You can display returns lots that you have entered. In this display, the system also shows returns lots that have already been archived.

Result

Depending on the type of posting, the original receivables are re-opened, or new receivables are set. Different activities are executed depending on the system settings.

Any necessary entries were added to the returns history (see Displaying the Returns History).

Entering Returns Lots Manually

Procedure

To create a new returns lot manually or to supplement an already existing returns lot that has not been closed, proceed as follows .

1. Choose one of the following paths:

- **Roles**

Returns Processing > (SAP_FI_CA_RETURNS_PROCESSING) > Process Returns Lot

- **SAP Menu**

Payments > Returns > Returns Lot

The initial screen appears.

1. You can:

1. Choose a returns lot that already exists but has not yet been closed. To do this, specify the returns lot and select **Edit Lot** .
2. Create a new returns lot. To do this, enter a 12-character alphanumeric key and select **Create Lot** .

The screen for entering the return lot header data and the default values for individual items appears.

ℹ Note

To transfer the header data of an existing lot as the default for a new returns lot, choose **Copy Reference** on the header screen.

1. Enter the required data.
2. Select **List** or **New items** to reach the screen for entering individual items. Enter the required data or modify any existing values.

ℹ Note

You can define your own line layout via **Extras - Screen Variant** . This is useful if for example, you do not need the **Value Date** or **Currency** fields but still want to see the **Posting Date** field (see Screen Variants for Processing Returns Lots).

1. Return to the initial screen.

Result

Once you have made all your entries, you can close the returns lot (see Closing Returns Lots Manually).

Closing Returns Lots Manually

Prerequisites

You have entered all the data for a returns lot (see Entering Returns Lots Manually).

⚠ Caution

Once a returns lot has been closed, you can only change it if you have special authorization 012. (Exception when processing errors: See Postprocessing Returns Lots Manually).

Procedure

1. Choose one of the following paths:

- **Roles**

Returns Processing > **(SAP_FI_CA_RETURNS_PROCESSING)** > **Process Returns Lot**

- **SAP Menu**

Payments > **Returns** > **Returns Lot**

The initial screen appears.

1. Choose **Close** .

Result

The returns lot is now closed. This indicates that it is complete and ready to be posted.

You can now post the returns lot (see Posting Returns Lots Manually).

Posting Returns Lots Manually

Prerequisites

You have completely entered the returns lot to be posted (see Entering Returns Lots Manually) and have closed it (see Closing Returns Lots Manually).

Activities

1. To post a returns lot, choose one of the following paths:
   - **Role**: Returns Processing (SAP_FI_CA_RETURNS_PROCESSING) > Process Returns Lot
   - **SAP Easy Access screen**: Payments > Returns > Returns Lot
2. Select the returns lot to be posted and choose **Continue**.
3. Choose **Post**.

   A dialog box for scheduling the program run appears.

   To display an online log after the posting run, set the **Display Online Log** indicator. Use the log file density to select how comprehensive the log should be.
4. Choose **Continue** and enter the required data. If you want to post immediately, set the **Start Immediately** indicator.

You can check the status of the lot at any time by entering the returns lot on the initial screen and choosing **Enter**. If any errors occurred during the posting procedure, you have to process the incorrect items in the returns lot manually (see Postprocessing Returns Lots). Error messages for the corresponding items appear on the detail screen.

If the posting transaction could not be executed because of missing entries in the header of the returns lot, an error message appears on the **Clearing Account and Management** tab.

The job log provides you with full details on how the posting took place, and gives the reason for any errors that occurred. To view the job log, choose **Job Overview** on the header screen and select the item by double-clicking.

If you post a returns lot in the background and want to view the job log, select the returns lot on the selection screen and choose **Job Overview**. Double-click on an item to view the job log.

Screen Variants for Processing Returns Lots

Use

You can use screen variants for processing items in returns lots. Using a screen variant, you can specify:

- Which fields are displayed for processing
- In what sequence and in which intervals the fields are displayed for processing

You can access this function on the screen for entering line items by choosing **Extras** > **Screen Variants** in the menu (see Entering Returns Lots Manually).

Activities

You specify which fields are displayed in the header in Customizing for Contract Accounts Receivable and Payables under **Business Transactions** > **Returns** > **Define Field Selection.** .SAP provides the standard variant SAP01. You cannot modify this variant. However, when you create a new variant the system copies the properties of this standard variant. You can then process these as you require.

In the next activity, **Define Field Selection for Returns** , you can specify which items appear in which order on the overview screen.

To create your own variant, copy the SAP standard variant and modify the attributes of the individual fields to meet your needs.

Entering and Posting Returns Automatically

Purpose

Returns are entered automatically if the bank sends a data medium with returns or if an external system provides a returns file (see also Entering and Posting Returns Manually).

Automatic posting of returns allows background processing (as batch sessions), which in turn results in higher data throughput.

Process Flow

1. Enter the program run parameters for automatic transfer of returns (see Entering Parameters for Automatic Returns Transfer).
2. When the program is run, the data records from the application server file specified are read and checked. If the data records are correct, the system generates one or more returns lots .
3. If you have set the appropriate indicators in the program run, the returns lots generated are closed and posted.
4.
    a. When you post a return, a new open item is created. The use of this new item is dependent on the type of posting .
    b. The activities defined in the system for a returns reason and other activities are carried out (see Executing Returns Activities).
5. Edit any items shown to be incorrect during posting, and post them again (see Postprocessing Returns Lots Manually).

Result

Depending on the type of posting, the original receivables are re-opened, or new receivables are set. Different activities are executed depending on the system settings.

Any necessary entries were added to the returns history (see Displaying the Returns History).

i Note

If the program terminated during the automatic returns transfer, you can continue the transfer with a restart (see Program Termination: Continue Returns Transfer).

Entering Parameters for Automatic Returns Transfers

Prerequisites

The returns data provided by a bank or an external system must be converted to the format accepted by the program for transferring returns data and stored as a file on an application server.

Procedure

1. Choose one of the following paths:

- **Roles**

Transfer Bank Account Statement > (SAP_FI_CA_BANK_ACC_STATMENT) > Payment Lot Transfer

- **SAP Menu**

Periodic Processing > Transfer Data > Returns Lot > Transfer

1. The screen for entering returns transfer data appears.
2. Enter the required data. Change the default values on screen as necessary.

1. Enter a one to twelve character alphanumeric ID for the program run.
2. Choose Edit File as your processing mode. The program imports the file with the returns that is on the application server into the internal tables.
3. Specify the path as though you were going to work directly on the application server.
4. To close the lot, choose Close Returns Lot .
5. If you select Close Returns Lot , the returns lots created by the program run are closed directly. You can only change closed returns lots if you have special authorization 012.
6. To post the lot, set the Post Returns Lot indicator in addition to selecting Close Returns Lot .

1. Choose Continue .

Result

If you have selected Close Returns Lot , the returns lots created by the program run are closed.

If you also selected Post Returns Lot , the returns lots generated by the program run are posted.

The job log provides you with full details on how the posting took place, and you should be able to detect the reason for an incorrect run. To view the job log, choose Job Overview in the header and select the corresponding item by double-clicking on it . If you want to post a returns lot in the background and view a job log, select the corresponding returns lot on the selection screen and choose Job Overview . Double-click on the corresponding item to view the job log.

Program Termination: Continue Returns Lot Transfer

Prerequisites

If the program terminated while the file was being processed on the application server, you can continue processing the file from the last item read.

Procedure

1. Choose one of the following paths:

- **Roles**

Transfer Bank Account Statement > (SAP_FI_CA_BANK_ACC_STATMENT) > Returns Lot Transfer

- **SAP Menu**

Periodic Processing > Transfer Data > Returns Lot > Transfer

The screen for entering returns transfer data appears.

1. Enter the ID for the program run to be processed.
2. Choose **Edit File after Termination** as your processing mode.
3. Choose **Execute** .

Result

Processing is restarted from the last item read.

Posting to Clarification Account

Use

If, when you posted a returns lot, some of the items could not be cleared, you can post the returns to a clarification account to

- Track items with a certain returns reason in clarification processing
- Credit the returns clearing account

Activities

If you want a posting to a clarification account to take place for a certain returns reason, enter an account for the corresponding returns reason in Customizing (see the Implementation Guide for Contract Accounts Receivable and Payable > Business Transactions > Returns > Configure Returns Reasons).

With report RFKKRLCL, you can display clarification items in a returns lot for a key date.

Postprocessing Returns Lots

Prerequisites

Incorrect or unassignable items arose when you posted a returns lot .

Procedure

1. Choose one of the following paths:
   - **Role** Returns Processing(SAP_FI_CA_RETURNS_PROCESSING) Clarification Processing: Returns
   - **SAP Menu** Payments Returns Clarification Cases The selection screen appears.
2. Make your selections.
3. Choose **Continue** .

   The screen for postprocessing line items appears.
4. Edit the items. By double-clicking on individual items, you can display and correct them.
5. In the detail view, you can either post individual returns items directly, or change several items at once, thus allowing you to post the returns lot again.

   Note

   You can also transfer a returns lot that has not been completely posted to the general ledger. You have to create a new reconciliation key, so that the old reconciliation key can be closed and transferred to the general ledger. Use the new reconciliation key to carry out subsequent clarification.

   When you reverse a return, the system opens the return in the returns lot. If the return can be reversed and Funds Management is not activated, the system also opens the related returns lot.

Result

The incorrect returns lot items were corrected and posted.

Special Features in Processing Returns

For commercial reasons, the following special situations can arise when processing returns:

Special Case	Activities
Payment cannot be canceled	See Types of Posting
There are returns postings for documents from a legacy or operational system	See Types of Posting
You have entered increased charges.	See Charges Handling

Type of Posting

Use

The type of posting indicates how the returns document is posted.

For example, if a document has already been cleared by way of a cancellation or a final settlement, you must reverse this clearing before you can post the return.

The value selection offers a list of various types of posting that you can select, depending on the type of clearing.

Features

Type of Posting	Procedure in the System
Cancel payment	The system tries to cancel all clearings made by the payment document.
New receivables, if payment cannot be canceled	The system tries to cancel the clearing. If this is not possible, it creates a new receivable on the basis of the receivables document. You can also use this method if the payment document has already been archived.
New receivables, derived from payment	The system creates new receivables items without canceling the payment. In this case, the data for the new items is derived from the items originally paid, and enhanced by the Customizing settings. In the case of a return for a collective bill, the system creates receivables in the individual accounts and a new collective bill document for the total amount of the receivables. The receivables are then visible in the individual account and in the collective account. You can also use this method if the payment document has already been archived.
New receivables, acc. to explicit specification	With this type of posting you can process documents from a legacy or operational system for which there are no document numbers in the SAP system. In this case, the system does not check the selection value you enter (such as the document number of the operational system), but enters it as the reference value in the posting to be created. Switch to the **Returns Details** screen and enter the required posting data in the **Manual specifications** tab card.

Charge Handling

Use

There are two types of charges for returns: those charged to your organization by your financial institution and the charges for which you make a business partner liable.

Charges from a financial institution

The charges from a financial institution are

- received automatically when a data medium from the bank is transferred (also see Entering and Posting Returns Automatically).

The allocation of charges in a returns lot is automatic. How the charges are allocated depends on the form in which a financial institution provides data: integrated in the returns amount, or as separate information on charges.

- received when a returns lot is entered manually (also see Entering and Posting Returns Manually).

If you activate the **Amounts contain charges** field, you define that the difference between the actual payment amount and the amount entered - within a specified tolerance - is to be interpreted as a charge by the bank.

If you also activate the **Charges contain taxes** field, the system takes the bank charges as being gross charges. To identify which portion of the amount is for taxes, you must select a tax code. If you do not activate the **Charges contain taxes** field, the charges are taken as being net charges, and no calculation of tax takes place. However, if you have set a tax code, the charge is calculated from the net amount.

If you activate the **Accept charges** field, the system accepts bank charges that are above the tolerance limit defined in Customizing.

In Customizing, you can decide whether or not to make a business partner liable for bank charges based on the returns reason, company code, creditworthiness, and tolerance group.

Charges from your organization

The charges for which you make a business partner liable can be defined in Customizing on a scale according to amount limits in the returns reason. In this way, you can decide which charges will be levied for which returns amount based on the returns reason, company code, creditworthiness, and tolerance group, and whether these charges are to be posted statistically or to the general ledger.

Executing Returns Activities

Use

Various activities can be required for returns:

- No more collections are to be attempted from a bank account because the bank account no longer exists.
- No more outgoing payments are to be made because the required incoming payments have not been received.
- The responsible employee is to be informed using workflow.
- Correspondence is to be created and subsequent activities requested (see also Printing Returns Notices).

Integration

Returns activities are based on the Returns Reason.

Features

In Customizing you can make the following settings for a returns reason based on company code, number of returns, creditworthiness, tolerance group, house bank, and so on (see Customizing for Contract Accounts Receivable and Payable under **Business Transactions** ▸ **Returns** ▸ **Configure Returns Reasons** ▸).

- Set up activities for charge handling, such as making business partners liable for charges (see Charge Handling)
- Set a dunning lock at contract account, item, or contract level

- Set a payment lock at contract account, item, or contract level
- Postpone a due date by defining deferral days
- Set up scaled charges and amount differences
- Delete the outgoing payment method in the contract account or contract in the event of credit memo returns
- Delete the payment method in the item on which the return is based
- Change the payment method in the item on which the return is based

  In event 0292, you can set a new payment method in the item dependent on the existing payment method.

You can also define your own function modules for event 0295. These function modules execute other returns activities, or supplement existing activities. (See the documentation for the sample function module FKK_SAMPLE_0295.)

In the different **application areas** (industry components), you can perform further returns activities (see **Executing further Returns Activities**).

Note

If you have defined returns activities dependent on the house bank in the system settings, you must specify the house bank in the returns header lot on the **Clearing Account and Management** tab.

Special Features for Check Returns

You can post outgoing checks that cannot be delivered or that have been returned as returns, instead of reversing the check payment in check management, if you want additional activities, such as changing the payment method in the contract account, to follow automatically.

Printing Returns Notices

Use

When a returns lot is posted, the returns activities defined in the system are executed (see Executing Returns Activities).

Example

You create written documents, such as a returns notification or a payment document.

You create written materials using the application component Correspondence. You define the application forms necessary for this using the **Print Workbench**.

Prerequisites

- The returns were posted manually or automatically (see Posting Returns Lots Manually and Entering Parameters for Automatic Returns Transfer).
- You have made your Customizing settings for correspondence (see Customizing for Contract Accounts Receivable and Payable under **Basic Functions** > **Correspondence**).
- You have defined and assigned the required application forms (see Customizing for Contract Accounts Receivable and Payable under **Basic Functions** > **Print Workbench** > **Define Application Forms**).

Features

When the returns lot is posted, the system uses the returns reasons defined in the contract account master record to determine the data relevant to correspondence, such as the business partner or contract account. It then stores this data in the correspondence container (also see Event-Controlled Correspondence).

To print correspondence, enter and schedule a correspondence printing run (see Printing Correspondence).

In a correspondence printing run, the correspondence data is read from the correspondence container, supplemented with other data where necessary, and output in the printer spooler. The correspondence data is available in the printer spooler either as raw data or in SAPscript format.

You can display the job logs for the correspondence print run (see Displaying Logs for the Correspondence Print Run).

Executing Further Returns Activities (PSCD)

You can execute more returns activities in Public Sector Contract Accounting by using sample function module FMCA_SAMPLE_0295). For more information, see the documentation on the sample function module.

Displaying the Returns History

Prerequisites

At least one returns lot was entered, closed, and posted successfully.

Procedure

1. Choose one of the following paths:

- **Roles**

Business Partner Account Information > (SAP_FI_CA_PARTNER_ACCOUNT_INFO) > Returns History

- **SAP Menu**

Account > Other Information > Returns History

The initial screen for entering selection conditions appears.

1. Enter the data required for selection.

Specify any display variants you wish to use.

You can structure the result list with predefined display variants (see below).

1. Choose **Continue** .

All those returns that match the criteria you entered are displayed.

You can adapt the current display variant to your needs.

1. Choose **Settings > Display Variant > Define** .

2. The dialog box for modifying the display variant appears.

3. Select the fields you require and confirm your selection.

To save the display variant, choose Settings > Display Variant > Save . A dialog box for saving the display variant appears.

1. Enter the required data and save.

The newly-defined display variant has been saved.

Result

The returns history is displayed.

Deferrals and Installment Plans

Purpose

This component enables you to defer payment or arrange payment by installments for business partners who cannot keep up their payment obligations. If a deferral has been agreed, a deferral date is noted in the open item in addition to the due date. The deferral date has the effect that no dunning notices are sent and no payments are collected during the agreed deferral period. Once the deferral date has passed without payment being made, the open item is dunned and bank collection is executed again. If payment by installments has been agreed, you create an installment plan for the amount of the original receivable. The individual installments and their due dates are specified in the installment plan. You can levy charges for the facility of offering an installment plan. To avoid having due dates fall at the weekend or on public holidays, you can refer to the factory calendar when determining these dates. The individual installment, rather than the original receivable, is included in dunning and in the payment run.

Integration

If you are using the Item Interest Calculation component, you can calculate interest on the installment plan.

Features

You can delete installments that have not yet been paid, and change the amount of an installment (repayment and interest) or the due date. You can add installments to an active installment plan. The sum of the installments in an installment plan must always be equal to the sum of the original receivables entered in the installment plan. Provided the installment plan is active, in the account balance display and the installment plan, you can call up the receivables in an installment. The document number of the installment plan is recorded in the original receivables, which ensures there is a link between original receivable and the installment plan. When an installment is paid, the payment is automatically spread over the source receivables. When the final installment of an installment plan is paid, both the installment plan and the original receivable are cleared by the payment program when the incoming payment is posted. Installments can be partially paid. If the agreement for payment in installments is canceled, you can deactivate the installment plan manually. This means that the original receivable becomes active again and the link between the original receivable and the installment plan is deleted. A deactivated installment plan cannot be reactivated, and no further payments can be assigned to the installment plan.

With appropriate Customizing settings for the insallment plan categories, when you create an installment plan, you can update the creditworthiness of the business partner concerned. With appropriate Customizing settings for the deactivation reasons, you can reverse the creditworthiness entries.

Industry ComponentUtilities(IS-U)

An installment plan can be deactivated automatically by the dunning run when a certain dunning level is reached. You define the forms for correspondence with business partners who have arranged to pay in installments with the Print Workbench component.

Installment Plan

Definition

With an installment plan you divide source items to several installment receivables that have a due date in the future. Once an installment plan has been posted, the items of the installment plan and not the source items are referred to when a bank collection is made, or when a dunning run is carried out.

Use

You create an installment plan for business partners wishing to make payment but who are temporarily unable to keep up their payment obligations. One or more source items can form part of an installment plan. However, only receivables and items in the same currency and in one contract account can be included in an installment plan.

Structure

An installment plan consists of a statistical document with several installment receivables. The individual installment receivable is cleared upon payment. The number of the installment plan is saved in the source items. This ensures a connection between the installment plan and the source receivables, and between the source receivables and the installment plan. If interest is payable on an installment plan, the installment plan will also have an interest supplement.

Entering and Editing Deferral Dates

Use

If a business partner is temporarily unable to pay his liabilities, you can enter a deferral date in the item. You can reverse a deferral by deleting the deferral date in the item. You can enter a deferral date in the item when you post or change a document. To cancel a deferral date, use the transaction **Change Document**. If you want to display the deferral date of an item, use the transaction **Display Document**.

ⓘ Note

Entering a deferral date has the same effect as if you had changed the net due date to the deferral date. Since you enter the deferral date in a separate field, the original net due date always remains visible.

Procedure

1. Choose one of the following paths:
   - **Roles**

     Manual Postings (SAP_FI_CA_MANUAL_POSTINGS) > Change Document
   - **SAP Easy Access screen**

     Document > Change
2. Enter the document number.

3. Choose **Goto** > **Business partner item list**.
4. Double-click on the item to be deferred.
5. Enter a deferral date.
6. Save the document.

You can also enter a deferral date directly when you enter a document (see Entering Documents).

Result

When the deferral date is reached, the payment program collects the deferred receivable.

If the deferral date is exceeded, the deferred receivable is included in the dunning run.

Processing an Installment Plan

Use

You can change an installment plan and thus:

- Delete installments or add further installments
- Change the due date and the amount of each individual installment receivable, provided the installment receivable has not yet been paid.

Prerequisites

You can only process an installment plan that has not been deactivated and not been cleared. If you want to change the amounts in an installment plan, you must ensure that the total of the installment receivables always corresponds to the total of the source receivables.

Installment Plan History

Use

You can use the **Installment Plan History** to determine the source items on which an installment plan is based. The installment plan history records the period in which a source item appears in an installment plan.

Prerequisites

You must make the following settings in the Contract Accounts Receivable and Payable Implementation Guide:

- Installment plan categories (see IMG structure **Contract Accounts Receivable and Payable** > **Business Transactions** > **Deferral and Installment Plans** > **Categories for Installment Plan**)
- Deactivation reasons (see IMG structure **Contract Accounts Receivable and Payable** > **Business Transactions** > **Deferral and Installment Plans** > **Deactivation Reasons for Installment Plan)**

Features

An installment plan history is updated automatically in the system for every installment plan. The history is also updated when you deactivate the installment plan. As well as the reference to the source receivables, the following data is stored in the installment plan history:

- Installment plan category
- Deactivation reason
- Deactivation date (to be entered when deactivating)
- Deactivation date and time (time stamp)
- The amount remaining when the plan is deactivated

You can access the installment plan history in the following ways:

- When you create an installment plan (**Role** : Process Outstanding Payments(SAP_FI_CA_OUTSTANDING_PAYMENTS) > Create Installment Plan;SAP Menu: Account > Installment Plan > Create), all the open items that have already been part of an installment plan are flagged by an icon. By double clicking on this icon you can go directly to the corresponding installment plan history for the item. This displays all installment plans that contained this item.
- In the Original Receivables screen (**Role** : Process Outstanding Payments(SAP_FI_CA_OUTSTANDING_PAYMENTS) > Display Installment Plan/Change Installment Plan;SAP Menu: Account > Installment Plan > Display/Change).
- From account balance display (**Role** : Account Information on Business Partner(SAP_FI_CA_PARTNER_ACCOUNT_INFO) > Account Balance); SAP Menu: Account > Account Balance) you can call up the installment plan history for the contract account or for the business partner under Environment > Account > Installment Plan History.
- You can conduct various evaluations of the installment plan history using the following paths:
  - **Role** Process Outstanding Payments(SAP_FI_CA_OUTSTANDING_PAYMENTS) > Display Installment Plan History
  - **SAP Menu** Account > More Information > Installment Plan History

Creating Installment Plans

Use

You create an installment plan when both of the following apply:

- There are one or more open items on the contract account of a business partner.
- The business partner is unable to meet his/her payment obligations in accordance with the usual payment rules.

Prerequisites

To be able to prioritize the clearing of original items when payments are received, you set the Clrg Priority (clearing priority) indicator. You do so in Customizing for Contract Accounts Payable and Receivable under Business Transactions > Deferral and Installment Plan, > Activate Additional Installment Plan Enhancement .

Features

When you calculate interest, the system creates an interest document automatically. When you enter a charge amount, the system posts a document for the installment plan charges. During posting, interest and charges documents are automatically transferred to the installment plan for the original receivables (see Charging Interest and Surcharges for Installment Plans).

ⓘ Note

When you create an installment plan, the system copies the company code, contract, business area, and business place from the original item (in the standard system), as long as these fields have the same value in all original items selected. If you do not want to fill these fields in the installment plan, or want to enter other values, you can do this by defining event 3000 accordingly (see the documentation of the sample function module FKK_SAMPLE_3000).

The system can calculate the first installment as a percentage of the total amount of the installment plan. Enter the percentage in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Deferral and Installment Plans** > **Define Categories for Installment Plan.** Activate the enhancement under **Business Transactions** > **Deferral and Installment Plans** > **Activate Installment Plan Enhancement for Charges/Interest** .

When you use a suitable installment plan category, the system calculates the first installment as a percentage.

Activities

1. Choose one of the following paths:
   - **Role** **Process Outstanding Payments(SAP_FI_CA_OUTSTANDING_PAYMENTS)** > **Create Installment Plan**
   - **SAP Easy Access screen** **Account** > **Installment Plan** > **Create**
2. Enter the selection criteria for open items and posting parameters.
3. Choose **Continue.**
4. Enter the installment plan parameters. You can either copy default values to the initial screen using the **Installment Plan Type** or enter the installment plan parameters manually. You must enter the installment interval and the interval type; you also have the option of entering an amount for the installment plan charges and the installment plan category, and a value for the **Remaining Amount** field.

   The system creates an installment plan proposal based on the parameters set. There are two ways to create an installment plan proposal.

   - Enter an amount in the **Installment Amount** field. The installment amount and the total sum of the source items determine the number of installments.

     You can also add partial amounts to the installment plan.

   - Enter values in the fields **Rounding Amount** and **No. of Installments** . The installment amount is calculated from the total sum of the original receivables, the rounding amount, and the number of installments. If you enter a rounding amount, the system automatically checks whether this amount complies with the rounding rules defined in Customizing.

     Regardless of whether you have the system create an installment plan proposal by entering the installment amount or by entering the rounding amount and number of installments, there may be a remaining amount when the individual installments are calculated. This is because the total of the individual installments must always equal the total of the original receivable (installment amount * number of installments + remaining amount = total of original receivable). In the **Remaining Amount** field, specify whether this remaining amount is to be included in the first or last installment, or in a new installment.

     If you set the **Distribute** indicator, the interest and charges are distributed over all of the due dates.

     A list of selected items appears.

5. Select the open items that you want to include in the installment plan. The start date defines the due date of the first installment.

   You can assign numerical key figures in the **Prio** column. This enables you to influence the clearing priority of the selected original items when payments are received.

6. Choose **Continue.** An **Installment Plan Proposal** appears, in which you can make the following changes:

   - Add installments
   - Delete installments
   - Calculate or delete interest
   - Create or delete an installment plan surcharge and/or an inflation surchargeThe prerequisite in this case is that you activated the enhancement in Customizing under **Business Transactions** > **Deferral and Installment Plans** > **Activate Installment Plan Enhancement for Charges/Interest** .

     In the bottom right hand corner of the screen, a table appears with the most important account balances (such as open amount, due amount, installment plan, credit). If you select a balance, the account balance display appears and you can see the corresponding items.

7. Save the installment plan.

Displaying and Changing Installment Plans

Use

You want to display or change existing installment plans for a business partner.

Procedure

1. Choose one of the following paths:

   - **Role** **Process Outstanding Payments(SAP_FI_CA_OUTSTANDING_PAYMENTS)** > **Display Installment Plan/Change Installment Plan.**
   - **SAP menu** **Account** > **Installment Plan** > **Create/Change**

2. Select **Change** or **Display** .

3. Specify the desired installment plan and choose **Continue.**

> **Note**
> If you use the input help for the **Installment Plan Number** field, for selection using the installment plan history, the system displays only active installment plans as standard. If you also want to display deactivated installment plans, you have to specify a **deactivation reason** on the tab page **Installment Plan History** .

The following table lists the functions you can use when changing or displaying an installment plan:

Functions with Display and Change	Call/function	Procedure/Notes
Print correspondence	**Installment Plan** > **Save + Create Letter**	The letter is written into the correspondence container. For more information on output, see Functions for Scheduling Program Runs , Printing

Functions with Display and Change	Call/function	Procedure/Notes
		Correspondence , and Printing Correspondence with the Print Workbench .
Display source receivables in the account balance display	Environment > Source Receivable(Account Display)	The system calls up the account balance display. You see the documents that have been included in the installment plan.
Display installment plan changes	Goto > Changes	
Display interest supplement	Environment > Interest Supplement	Prerequisite is that interest is charged on the installment plan.
Display/change processing locks	The system displays locks, such as payment, dunning, interest, and clearing locks per installment plan item together. When you place the cursor on the icon , the type of locks that exist are displayed in a quick info. For detailed information, such as the lock reason, double-click on the icon and select the required lock in the following dialog box. The overview also shows a column for each processing lock with the relevant lock reason. If there are several locks of the same type with different lock reasons, a tilde appears (~). By double-clicking on the table field with the lock required, you can display and change the details for this lock.	To set or change a lock, navigate using the icon or by double-clicking on the corresponding table field in the overview to the dialog box for setting/changing the required lock and enter the data required. Alternatively, delete the lock reason or enter it in the required column in the overview. However, the field is only ready for input if there is no lock or only one unconditional lock. In this way you can only set time-based unconditional locks.

Functions only with Change	Call/function	Procedure/Notes
Deactivate installment plan	Installment Plan > Deactivate Installment Plan	If the installment plan has not yet been paid or paid in part, you can carry out an automatic reversal of the interest document and the charge document for this installment plan.
Add installment	Edit > Add Installment	If you add or delete installments, you must then ensure that the total of the installment plan corresponds to the amount of the source receivable.
Delete installment	Select the appropriate installment(s) and choose Edit > Delete Installment	If you add or delete installments, you must then ensure that the total of the installment plan corresponds to the amount of the source receivable.
Display source receivables in the installment plan history	Goto > Display Source Receivables for Installment Plan	This brings you to the installment plan history. It will tell you which receivables are included in the installment plan. This is also possible after the installment plan has been reactivated.

Charging Interest and Surcharges for Installment Plans

If you are using the Item Interest Calculation component, you can calculate interest on the installment plan.

Prerequisites

You have defined the transactions and account assignments for the interest credits arising and the details for calculating interest on installment plans in Customizing for Contract Accounts Receivable and Payable (see Business Transactions > Deferral and Installment Plans).

You also checked which of the following settings you need for your processes, and have made these settings in Customizing.

Interest for Installment Plan Items

You can execute item interest calculation when you create or change an installment plan. In Customizing choose Business Transactions > Deferral and Installment Plan > Define Default Values for Interest on Installment Plans. Using the Only int. on arrears and the Never int. on arrears indicators, you can specify how the system handles interest:

- Calculates interest only for installment payments that are received late
- Calculates interest both for installment payments that are received late and those received early
- Calculates interest regardless of the reciept date of the installment payments

  Using a transaction of your own, you can post interest due as part of installment plan processing statistically or for the G/L. Whether installment plan interest is posted statistically or for the G/L depends on the statistics indicator that you maintain as part of company-code-dependent transaction data.

  Interest for Original Items

  During clearing, the system can check the installment plan items and, if necessary, calculate interest on the original items that it assigns to the cleared installments based on the settings in clearing control.To have this happen, choose Business Transactions > Interest Calculation > Item Interest Calculation > Activate Additional Functions for Interest Calculation and set the Int. Inst. Plan (interest calculation for clearing of installment plan items) indicator. By setting this indicator, you deactivate all interest calculation functions in installment plan processing. In that case, the system then calculates interest solely for the original receivables that are included in the installment plan.

Or you can set up the calculation of interest on original items by choosing Business Transactions > Deferral and Installment Plan > Define Default Values for Interest on Installment Plan.In theInt.fm Orig.Itm (interest from original item) field, you can define the interest calculation as follows:

- Choosing **SPACE** (Interest Not Calculated from Original Items) allows you to overwrite the proposed interest start date, which is also the installment plan start date, when processing the installment plan.
- Choosing **X** (Interest Calculated from Original Items) means that the system calculates interest on the original items that the system assigned to the cleared installments based on the settings in clearing control.
- Choosing Y(Original Interest Calculation or Original Interest Calculation from Start Date) means that, if the start date is initial, you can calculate interest for the original items in installment plan processing, or you can choose a date of your own for the start of interest calcuation. If a start date is entered, depending on the settings you made in the Define Categories for Installment Plan IMG activity, the system can also calculate additional interest on original items up to the start date. In the Define Categories for the Installment Plan activity under Business Transactions > Deferral and Installment Plan, you specify that you do not want to calculate interest for original items, or if you want to start the interest calculation for items automatically or manually before the start of the interest calculation.

  Interest When the Installment Plan Is (Partially) Deactivated

  You can control how the system calculates interest if the installment plan is deactivated or partially deactivated.In Customizing choose Business Transactions > Deferral and Installment Plan > Define Default Values for Installment

Plans. Make your setting in the Interest on Arrears field. See the documentation for the field.

For the deactivation reason, you can also specify how you want the system to handle the interest calculated. You can choose to have the interest credited or refunded, either partially or wholely. Or you can specify that the interest posting remains despite the deactivation. In Customizing, choose Business Transactions > Deferral and Installment Plans > Define Deactivation Reasons for Installment Plan.

Surcharges and Interest on Installment Plans

In addition to interest on installment plans and originial items, you can also:

- Calculate inflation surcharges and/or installment plan surcharges, either manually or automatically
- Calculate interest for original items up the start date of the installment plan (default value) or up to any other point in time (before the start date of the installment plan)

To do so, choose Business Transactions > Deferral and Installment Plans > Activate Installment Plan Enhancement for Surcharges Interest and enter the value Xin the InstPlan Enh. (installment plan enhancement) field. If you make that entry, then the system displays the pushbuttons for using this enhancement (see below).The system derives additional specifications, such as the installment plan category and charge category, from the activity Define Categories for Installment Plan under Business Transactions > Deferral and Installment Plans .

You make settings for posting any charges you make in the Define Charge Categories for Installment Plan Surcharges activity.

In the Exclude Main or Subtransaction from Surcharges activity, you can exclude certain main transactions and subtransactions from being assessed with surcharges.

Features

You can calculate interest for original items and installment plan items, as well as levy charges and surchages on installment plans.

Activities

1. Choose one of the following paths and create an installment plan proposal (see Creating Installment Plans):
   - **Role** Process Outstanding Payments(SAP_FI_CA_OUTSTANDING_PAYMENTS) > Display Installment Plan/Change Installment Plan.
   - **SAP menu** Account > Installment Plan > Create/Change
2. On the Create Installment Plan: Specifiy Installments screen, choose the Calculate Interest pushbutton. A dialog box appears for you to enter the interest parameters.
3. In the toolbar, choose either the pushbutton Calc. Inst.Plan Surcharge (Calculate Installment Plan Surcharge) or Calc. Inflation Surcharge (Calculate Inflation Surcharge) to calculate inflation or installment plan surcharges.
4. Choose the OrigItmIntCalc. (Original Item Interest Calculation) pushbutton in the toolbar to calculate interest for original items up the start date of the installment plan (default value) or up to any point in time you choose.

   Specify the due date for the interest, and whether you want the interest to be treated as one or more separate interest installments.

   To specify the point in time up to which the system should calculate interest on the original items, enter a date in the Orig. Item Interest Calc. To field.
5. Choose Installment Plan > Post . You can use the following options to calculate interest retroactively:
   - Only overdue installments are taken into account (in other words, installments that have been paid too late).

- The interest on the installment plan is recalculated. In this case, the interest calculation takes account of individual installments that were paid too early (before the due date), as well as installments that were paid too late. Recalculation may result in an interest credit or an interest receivable.

Printing Installment Plans

Use

Printing correspondence and payment forms for installment plans

Features

In addition to installment plan correspondence (correspondence type 0005), you can also print installment plan payment forms (correspondence type 0008). In contrast to installment plan correspondence however, you can create payment forms when you create the installment plan; instead, you have to create them later in the mass activity **Installment Plan Printing** . You define whether and in which form payment forms are to be created for an installment plan when you create it. The system prompts you to enter the print type in a dialog box. In the display and change transactions (SAP menu: **Account Installment Plan Display/Change**), you can read the print type in the header data of an installment plan (button  with the quick info **Display Header Data**) in the **Print Data** in the field **Print Type for Payment Forms** . You can choose from the following print types:

Print Type	Function
0 – No printing	The installment plan is not printed.
1 – Print immediately	When you create an installment plan, an installment plan correspondence is created and output immediately.
2 – Delayed: Correspondence only	There is no printout when you create the installment plan. The system creates correspondence. To print the correspondence, you have to create entries in the correspondence container with **Installment Plan Printing** .
3 – Delayed: Correspondence, one payment form	When an installment becomes due, the system creates a payment form for this installment and also creates correspondence when it creates the first payment form. To print the correspondence and payment forms, you have to create entries for each in the correspondence container with **Installment Plan Printing** .
4 – Delayed: Correspondence, all payment forms	The system creates installment plan correspondence and all payment forms, regardless of when the individual installments are due. To print the correspondence and payment forms, you have to create entries in the correspondence container with **Installment Plan Printing** .

For each installment of the installment plan, the **Installment Plan Printing** program creates a separate payment form. You can either create all payment forms together, or each payment form separately as the respective installment becomes due. When you create the installment plan payment forms, the program analyzes the installment plans with print types 2, 3, or 4 and fills the correspondence container with the relevant correspondence. You can then print this correspondence with the Print Workbench.

Activities

To create correspondence container entries for printing correspondence with print types 2, 3, and 4, in the SAP menu choose: **Periodic Processing For Contract Accounts Correspondence Installment Plan Printing**

Select the installment plans to be considered using the business partner, contract account, and/or the company code. Restricting the due date for net payment only has an effect on installment plans with print type 3.

Schedule the program run (see also: Functions for Scheduling Program Runs).

If correspondence is created for an installment plan, the field **Print Date** in the installment plan header is filled. If the field already contains an entry, no further correspondence is created. The program also makes sure that only one payment form is created for any one installment. If you do not restrict the due date for net payment for print type 3, the program creates a payment form for the next installment due – provided no payment form has been created for this yet.

If you enter the date ID and identification of a run and select **Environment Correspondence** in the menu of the transaction, you can display a list of the correspondence created by the run (installment plan correspondence and payment forms).

In the Implementation Guide for **Contract Accounts Receivable and Payable** , under **Business Transactions Deferrals and Installment Plans Define Default Values for Installment Plans** , you can define a default value for the print type. If you set the indicator **Display Dialog** , a user can select a print type when he/she saves an installment plan.

In event 3031, you can also make the default value dependent on the installment plan parameters. See the documentation for the sample function module FKK_SAMPLE_3031.

Promise to Pay

Purpose

You use a promise to pay to record a business partner's agreement to pay receivables that are on his or her account.

Integration

For dialog processing, you can use a user interface in the **Interaction Center Web Client** .

Features

A promise to pay states which amounts are to be paid by what dates.

Example

A promise to pay can specify that the business partner payment is in the form of a debit memo or a direct debit.

Since the payment dates defined in the promise to pay are generally after the due dates of the items covered by it, you can (optionally) add charges and interest on late payments as part of the promise to pay.

You can create , approve , withdraw , change and valuate promises to pay.

These activities are all performed online, with the exception of the valuation, which is a mass activity. Using the functions of valuation of promises to pay , you can:

- Close promises to pay.

  For this you plan mass runs at periodic intervals.

- Determine the extent to which promises to pay were kept.

  If the promise was not kept, then the system can update the credit standing of the business partner.

The system puts currently running dunning procedures for the business partner on hold until the promise to pay is closed.

When you create a promise to pay for overdue items, the system does not open a new dunning procedure for these items – assuming you create the promise to pay before the dunning run.

Approval and Release of Promises to Pay by Workflow

Use

You can set up an approval procedure to ensure that clerks cannot create promises to pay randomly. When a promise to pay is created, the system then automatically starts an approval workflow.

Features

When you create or change a promise to pay, the workflow for check and approval in accordance with the dual control principle can be run.

If the workflow is started, you can enter a comment for the promise to pay in dialog.

The clerk determined in the workflow can then accept or reject the promise to pay.

You cannot change a promise to pay with the status "To be approved" until it has been approved/rejected.

When you change a promise to pay, the system does not write history records. Instead, it creates a nw promise to pay with a reference to the original promise to pay. This gives you a better overiew. The person actually doing the approving also sees which change needs to be approved.

If a promise to pay is accepted, the check indicator is automatically removed from the promise to pay.

If a promise to pay is rejected, the check indicator is automatically removed and the promise to pay receives the status **Not approved** . The reference to the promise to pay is removed from the assigned items.

Activities

You decide whether the creation/change must be approved in event 5516; the relevant business object is CA_P2P, the rule for the clerk determination 21000071, and the workflow sample WS21000104. See the documentation for the sample function module FKK_SAMPLE_5516.

Determination of Interest and Charges

Use

You can calculate interest and charges for overdue payments related to a promise to pay.

Features

When a promise to pay is set up, you and the customer can agree on a charge. The system determines the charge automatically, posts it, and adds the charge to the total amount of the promise to pay. You can define the amount of the charge in event 0186. In the standard system, no charge is calculated. (See the documentation for the sample function module FKK_SAMPLE_0186.)

You can calculate interest on the period between the due date of the receivables and the due dates of the promise to pay. For the interest calculation, the system assumes that the installments of the promise to pay will be paid on time and that payments are assigned to the open items with the oldest due date.

You have to enter the interest key to be used for each category. In Customizing for **Contract Accounts Receivable and Payable** , choose **Business Transactions** > **Promise to Pay** > **Define Categories** .

If a promise to pay is **closed** and not classified as broken at that time, there is no change to the interest and charges.

If the promise to pay is classified as broken, depending on the category, you can

- Retain, reverse, or adjust the interest
- Retain or reverse the charges

Adjusting the interest means that the system reverses the original interest and instead calculates interest on all items again as follows:

- Cleared items up to clearing date
- Open items up to the day of the withdrawal of the promise

If a promise to pay is **withdrawn** , the same options apply. However, in this case, the treatment of charges and interest is dependent on the withdrawal reason and not on the category of the promise.

If a promise to pay is **replaced** , charges and interest for the old promise to pay are handled according to the withdrawal reason; the charges and interest of the new promise to pay are handled according to the category selected.

If the same charges are to be levied for the new promise to pay as for the old one, there is no new posting. The charges receivable already posted is automatically added to the new promise.

A similar rule applies if the interest amounts are the same. Since a new interest calculation is not necessary only if the items subject to interest and the periods remain the same, the interest receivable can only be added to the new promise if both the items and the installments remain the same. However, this is an exception when replacing a promise to pay, since in that case only payment data would have changed, which would not require entering a replacement.

Correspondence Creation

Use

You can send correspondence to the business partner when a promise to pay is created and in the case where a promise to pay is not fulfilled.

Features

The correspondence type for printing a promise to pay is 0045 (**Promise to Pay**).

The correspondence request is created in event 0806. In this event, an entry is created in the correspondence container. This can be printed immediately or in mass printing. Event 0805 prints the correspondence type. In this event, the print parameters are adjusted specific to the correspondence and the Print Workbench is called. In the Print Workbench, the correspondence-specific form class FI_CA_P2P_CORR is used. As an example form, SAP delivers the application form FI_CA_P2P_CORR_SAMPLE, category SAPscript.

The following details are used for printing:

- Amounts with their due dates
- Charges and interest on arrears
- Receivables cleared by payments
- Amounts collected using the debit memo procedure

See the documentation for the sample function modules FKK_SAMPLE 0805 and FKK_SAMPLE 0806.

Editing Promises to Pay

Use

A customer informs you that he will pay an outstanding receivable within a specified timeframe. You can store this information in the system in the form of a promise to pay.

Prerequisites

You entered reasons and categories for promises to pay in Customizing for **Contract Accounts Receivable and Payable** (FI-CA) by choosing **Business Transactions** > **Promise to Pay.**

Reasons could be "Call by customer," "Call by us," "Letter from customer," for example.

The categories contain default values for the number and the frequency of the payment dates of the individual partial payments, specifications for determining and posting interest and charges, and specifications for the effects on creditworthiness, interest, and charges when the promise is not fulfilled.

Features

To process promises to pay, in the SAP Easy Access screen, choose **Promise to Pay** > **Edit** . To display them, choose **Promise to Pay** > **Display** .

You can use events to trigger individual checks on the creation of a promise to pay.

At event 0183, you can restrict the categories permitted dependent on the business partner. If no category is permitted, then no new promise to pay can be created for this business partner.

At event 0187, you can check the promise to pay with all its detailed data. For example, you can use this check to prevent clerks from entering promises to pay with time periods that are too long.

See the documentation for the sample function modules FKK_SAMPLE_0183 and FKK_SAMPLE_0187.

Creating Promises to Pay

Procedure

You create a promise to pay with reference to open items of the business partner. Creating a new promise to pay involves the following steps:

1. Enter the business partner and the company code, and choose the pushbutton Create Promise .
2. Enter a currency, a reason for the creation, a category, and, under the Selection Details , a responsible company code.
3. Choose the pushbutton Assign Open Items to add open items to the promise to pay.
4. Activate the required items and return to the processing screen of the promise to pay.

   You can add an open item to the promise to pay as a complete amount or only a partial amount. You cannot add open items that are already assigned to another promise to pay, a collective bill, or an installment plan to a new promise to pay. The selection options generally correspond to the options given for clearing processing in dialog .

   The selected open items can be posted to different contract accounts of the business partner and can have different currencies. You define the payment currency in the promise to pay itself.
5. Once the open items have been selected, the system automatically determines the total amount of the promise to pay, including charges and interest. Using the category specified, the system also automatically proposes the dates and amounts. You can change this proposal in dialog processing. You can define the starting date (First Payment On), the interval between the due dates (Payments), and either the required number of installments (Number of Dates) or the maximum amount of an installment (Maximum per Installment). Using the pushbuttons Individual Installments or Regular Installments , you can define equal installment amounts or individual installment amounts.

   Using these details, the system determines the new total amount (for example, the interest might change) and creates corresponding partial amounts.

   Details for direct debit or debit memo are only required if the amounts are to be debited automatically when due. Specify a contract account of the business partner that the system can use for payment processing. If no payment method is defined for incoming payments in the contract account specified, you have to specify a payment method in the promise to pay itself.

   Further optional specifications are credit card data (if collection is to be made using a credit card not defined in the contract account) and, if necessary:

   - Alternative payer
   - Alternative bank details
   - Alternative card ID

     For each due date, you can define different details for the direct debit or debit memo.
6. Save the promise to pay.

   When you save, the system automatically assigns a number for the promise to pay. The data of the promise to pay is saved, and a link to the promise to pay is saved in the previously selected open items.

Changing Promises to Pay

Procedure

If only the data required for the direct debit or debit memo is changed in a promise to pay, the promise is retained. The status before the change is documented in a history management. Proceed as follows:

1. From the SAP menu, choose Account > Promise to Pay > Edit .
2. Enter the business partner whose promise to pay you want to change and the company code (where necessary) and choose Continue .
3. Choose the button Change Payment Data.

4. Enter the changed data and save your entries.

If you want to change the installments or the items involved in a promise to pay, you have to create a new promise. The "old" promise has no reference to the new promise. Since the changes can be complicated (include new items or remove items, change due amounts and dates), no change documents are created or displayed that show the old and new data. Instead, the data of the old promise to pay is stored historically so that you can display the old status at any time.

Proceed as follows:

1. From the SAP menu, choose **Account** > **Promise to Pay** > **Edit** .
2. Enter the business partner whose promise to pay you want to change and the company code (where necessary) and choose **Continue** .
3. Choose  Replace Promise.
4. Enter the changed data and save your entries.

The replacement of a promise can be seen as a combination of Withdraw Promise to Pay and Create Promise to Pay. However, when a promise is replaced, the creditworthiness is not updated, even if the withdrawal reason would normally require an update.

Withdrawing Promises to Pay

Prerequisites

You defined withdrawal reasons in Customizing for **Contract Accounts Receivable and Payable** by choosing **Business Transactions** > **Promise to Pay.** These reasons specify whether interest and charges are to be retained, reversed, or – for interest only – adjusted to the payments already made. For a withdrawal reason, you also define whether creditworthiness is updated when a promise to pay is withdrawn. If you require an update, the system automatically determines the level of fulfillment of the promise up to the date of the withdrawal. If this level of fulfillment would lead to the status "Promise broken," the system updates the creditworthiness of the business partner with the value you defined in Customizing for the category for broken promises.

Procedure

A promise to pay can be withdrawn by your business partner or by you. If you want to withdraw a promise to pay:

1. On the SAP Easy Access screen, choose **Account** > **Promise to Pay** > **Edit** .
2. Enter the business partner whose promise to pay you want to withdraw (and the company code, where necessary) and choose **Continue** .
3. Choose the  **Withdraw Promise** pushbutton.
4. Specify who has triggered the withdrawal and select a reason for the withdrawal.
5. Save.

The withdrawal makes the promise to pay inactive; the relevant items can then be included in another promise to pay, for example.

You can still display the data of the withdrawn promise to pay.

Valuation of Promises to Pay

Use

Valuation of the promise to pay determines the level of fulfillment of the promise as a percentage between 0.00% and 100.00%. The system derives a status based on this level of fulfillment and your system settings.

Prerequisites

In Customizing for **Contract Accounts Receivable and Payable** under **Business Transactions** > **Promise to PayDefine Specifications for Valuation of Promise to Pay**, you have defined the level of fulfillment from which the promise is considered fulfilled (or fulfilled with accepted variances).

In the activity **Define Categories**, you have entered a creditworthiness weighting for each category.

Features

Valuation takes place once the promise to pay is closed, normally a few days after the last partial payment is due. Valuation can lead to one of the following statuses:

- **Promise Fulfilled**
- **Promise Fulfilled with Accepted Variances**
- **Promise Not Fulfilled**

Using the valuation data determined, the system decides whether the valuation is saved and the promise to pay closed or whether there should be a further check at a later date.

Upon creation of a promise to pay, the system automatically sets the first check date. The date is specified via event 0184. In the standard version, a date is set that is seven days after the due date of the middle installment.

Example

In the case of five installments, a check is scheduled seven days after the due date of the third installment. If there is an even number of installments, the system uses the earlier of the two middle installments.

During the check, the decision must be taken whether a further check is necessary at a later date, and the promise is open until then, or whether the promise is to be closed in its current status. This decision is taken in event 0189. In the standard version, a new check date is set if the old check date was not after the due date of the last installment; otherwise, the promise is closed. In the standard version, the new check date is seven days after the due date of the last installment. If the date determined in this way is not in the future, the promise to pay is also closed.

Logic for the Valuation

In the valuation, the following is considered: How much of the promised amount has actually been paid, and how late were the payments. With regard to the delay in payment, in Customizing, you can define a number of tolerance days and what reduction in the valuation is made for each day in excess of these tolerance days. You define this for each company code.

Example

In Customizing, you have agreed 2 tolerance days and 1.0% reduction for each further day late. The following promise to pay has been given:

- 100.00 on 3/1/2008
- 100.00 on 4/1/2008

The following payments have been made:

- 80.00 on 3/8/2008
- 100.00 on 4/9/2008

The system always assigns payments to the earliest due dates. Therefore, after the deduction of two tolerance days, the assignments are as follows:

AmountDelay

80.00 EUR 5 days payment from March 8, 2008

20.00 EUR 37 days payment from April 9, 2008

80.00 EUR 6 days payment from April 9, 2008

Each of these assignments contributes to the level of fulfillment that is calculated from the percentage amount portion and the reduction due to the delay:

Amount PortionReduction Factor for Contribution to Level of Fulfillment

40.00% (80/200) 0.95 (5 days) 38.00%

10.00% (20/200) 0.63 (37 days) 6.30%

40.00% (80/200) 0.94 (6 days) 37.60%

Total 81.90%

If items that were included in a promise to pay are cleared in another way (for example, due to a reversal, transfer, clearing of credit memos), the business partner only has to pay a reduced amount to fulfill the promise to pay. In the valuation, these other clearings are used to reduce the oldest due dates of the promise to pay. A valuation is then made as described above using the reduced installments.

Example

The following promise to pay has been given:

- 100.00 on 3/1/2008
- 100.00 on 4/1/2008
- 100.00 on 5/1/2008

Of the receivables due, 120.00 is reversed. In the valuation, the promise to pay is treated as if the following installments had been agreed:

- 80.00 on 4/1/2008
- 100.00 on 5/1/2008

Write-offs are not other clearings, since they are not deemed to be a waiver of the receivable; instead, they reflect the opinion that the receivable will probably not be collected.

Valuation and Creditworthiness

For promises to pay that are not fulfilled, an entry can be made to the creditworthiness of the business partner. In the standard version, the system checks whether a creditworthiness weighting is specified in Customizing in case of non-fulfillment. You can specify the creditworthiness rating for each category of promises to pay. If a creditworthiness weighting is specified, a new creditworthiness record is created with this value and the total creditworthiness of the business partner is reduced. Using event 0188, you can change the creditworthiness weighting determined in the standard system.

Subsequent Changes to Valuation

As soon as a promise to pay is closed, all further payments, withdrawals, or other clearings no longer influence the valuation. Therefore, a promise to pay should not be closed too soon after the last due date; on the other hand, it must be possible to make an adjustment for promises to pay where the valuation is later determined to be incorrect. In particular, this should prevent a business partner receiving a bad creditworthiness where this is not justified.

With a special authorization, you can subsequently change the level of fulfillment and the status of a promise to pay manually. You have to justify the change with a comment. All subsequent changes are recorded. The creditworthiness is adjusted automatically.

Activities

1. To valuate and close promises to pay, on the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Valuation of Promises to Pay**.
2. Enter a date and an ID that you can use to identify the run later.
3. Enter a check date. Limit the selection by business partner, company code, and promise to pay, as needed.

   Promises to pay whose next check date is before or on this check date are valuated.
4. Save your entries and schedule the program run.

For more information about scheduling and executing mass activities, see Functions for Scheduling Program Runs.

Collaborative Liability

Use

Processes are provided in PSCD to support the various types of collaborative liability, such as shared liability and third-party liability in the system. Existing receivables to a contract partner can be replicated to additional contract partners. This ensures that the replicated receivables do not generate a value update in general ledger accounting.

A distinction is made in collaborative liability between the main debtor and co-debtors. A main debtor is usually derived from the original receivable that was posted to the corresponding account. When the original item is distributed, statistical document items are posted to the accounts for the co-debtors. These statistical receivables can be used for additional co-debtor relationships, such as a third-party liability.

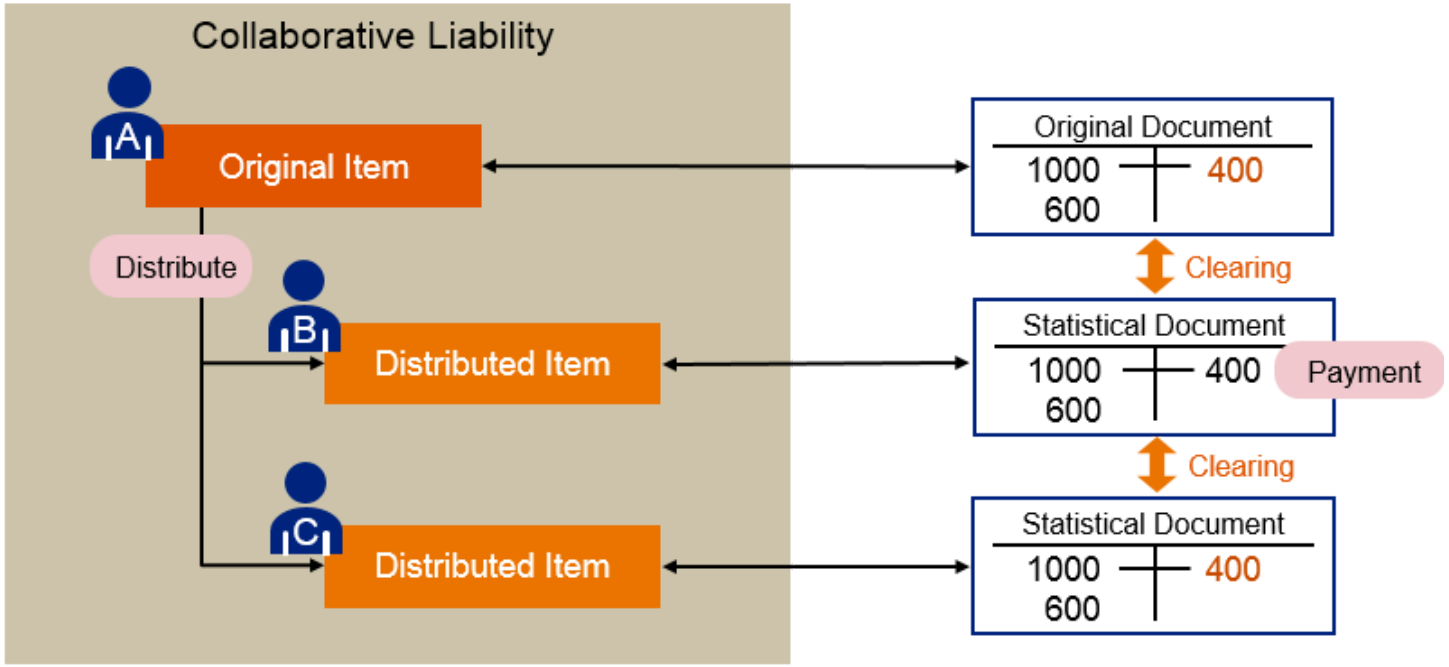


Figure: Collaborative Liability with Complete Distribution and Clearing

Prerequisites

- The business function PSCD, Collaborative Liability (`PSCD_COLIABILITY`) and the business function PSCD, Enhancements for Collaborative Liability (`PSCD_COLIABILITY_2`) have been activated.
- You have selected the checkbox `tfk001b-xcoli` (**Collaborative Liability Active**).
- You have made the necessary Customizing settings under **SAP Customizing Implementation Guide** > **Financial Accounting** > **Contract Accounts Receivable and Payable** > **Business Transactions** > **Collaborative Liability**.
- Collaborative liability is a Web Dynpro application. You have made the settings required in the SAP NetWeaver Business Client for the following user roles:

User Role	Use
`SAP_FICA_COLI_CLERK`	Display and execute the collaborative liability application
`SAP_FICA_COLI_CUST`	Display and execute the collaborative liability application

Features

Collaborative Liability Type

You define the specific features of a collaborative liability in a collaborative liability type in Customizing.

- You use one or more posting groups to define which main and subtransactions are valid for a collaborative liability.
- By assigning a clearing strategy, you define how a payment made by a debtor is cleared in the receivables for additional co-debtors. You can choose clearing of the full amount, proportional clearing with reference to the percentage distribution of receivables, and a customer-specific version (event `0494`) as a strategy.
- You use the user profile to define status management for the collaborative liability and collaborative liability data records.

Collaborative Liability

In the collaborative liability work center, you create the liability group of contract partners for future common receivables in a collaborative liability.

- By selecting a collaborative liability type, you make the default settings for the collaborative liability.
- You define the debtors in the collaborative liability.
- You can define a **distribution percentage rate** of the total receivable for co-debtors. 100% distribution is the default setting.
- You can define a reasonable maximum receivables amount for a debtor in the **maximum debtor amount**. This means that the system displays a warning for a higher receivables amount.
- You can compare the graphical evaluation of balances in the balance overview.

ℹ Note

Various options for creating a collaborative liability can be selected in the collaborative liability work center. For more information, see Processing a Collaborative Liability.

Data Record and Items

You define the features of collaborative liability that are generally valid at the level of the collaborative liability, but represent the specific business transactions in a collaborative liability at the level of the collaborative liability data records and items.

- You can use data records to organize the time sequence of recurring receivables (for each year, month and so on).
- You can override the values defined in a collaborative liability (such as the distribution percentage rate and maximum debtor amount).
- You can change the selection of involved co-debtors in the data record. If you include new co-debtors, these are automatically transferred to the associated collaborative liability.

Generate Collaborative Liability Items

You perform operational distribution of a receivable in the **Items** screen area of a data record. You can search for open receivables, assign the respective collaborative liability data record and post the distributed collaborative liability items. Distributed receivables are posted as statistical document items in PSCD (statistics indicator M = (collaborative liability) and are not relevant to the update.

ℹ Note

In the **Define Document Type for Co-Debtor Postings** Customizing activity (posting area P321), you define the document type for the statistical posting documents to be generated for a collaborative liability type.

More Information

Processing a Collaborative Liability

Including Third-Party Debtors

Posting Examples for Clearing Strategies

Status Management and Deletion of Collaborative Liability Data

Correspondence for Collaborative Liabilities

APIs and Worklist for Collaborative Liability

Collaborative Liability Events

Processing a Collaborative Liability

Use

This section describes the steps to be performed for a collaborative liability. It also contains information about the associated Customizing settings.

Procedure

Create a Collaborative Liability

Various accesses for creating a collaborative liability are available in the collaborative liability work center according to your respective requirements:

- **Create Collaborative Liability**

  Choose this access if you want to create a collaborative liability in advance in the system without there being a specific receivable for this liability group.

  By entering the debtors involved in a collaborative liability in the system, you make it easier to process future or recurring receivables.

- **Create Collaborative Liability Data Record**

  Choose this access if you want to distribute an open item between several debtors, regardless of whether this debtor group already exists as a liability group.

  You make the assignment to a collaborative liability when you create the collaborative liability data record. If this does not exist yet, the system creates the collaborative liability automatically in the background when it creates the collaborative liability data record. The debtors selected in the collaborative liability data record are transferred to the new collaborative liability.

- **Search For and Create Open Items**

  Choose this access if you want to search for open items in the system and assign an existing collaborative liability in the system.

Distribute a Receivable Between Co-Debtors

1. Choose an open receivable in a collaborative liability or at the level of a collaborative liability data record item by choosing **Assign Open Item**.

   Once you have selected a receivable and assigned a collaborative liability data record, the receivable is displayed as an item with the description **Original Item** under **Data Record Item**.

2. To distribute the open receivable between the other co-debtors, you must select the original item and perform the distribution of all items or the selected items under **Distribute Item**.

   The distribution function **Distribute Selected Items Again** ensures that a receivable is redistributed between the co-debtors and replaces the previous distribution. Previously created statistical postings are cleared here and replaced by statistical postings from the new distribution.

ℹ Note

You can define the distribution of a receivable between co-debtors as a percentage distribution in the header data of a collaborative liability. Alternatively, you can define this for each collaborative liability type in the event `0494`.

The receivables to be distributed are defined as additional data record items with the description **Initial Item** in the **Data Record Items** screen section. Initial means that the associated PSCD postings have not been executed yet.

3. To complete the PSCD postings for the receivables to be distributed with the status **Initial Item**, you must perform the following consecutive steps:

   - Select the items to be posted under **Select Item for Posting**.

     The initial items selected are assigned the status **Item for Posting**.

   - You post the selected items by saving the collaborative liability data record.

     The items posted in PSCD are assigned the status **Distributed Item**.

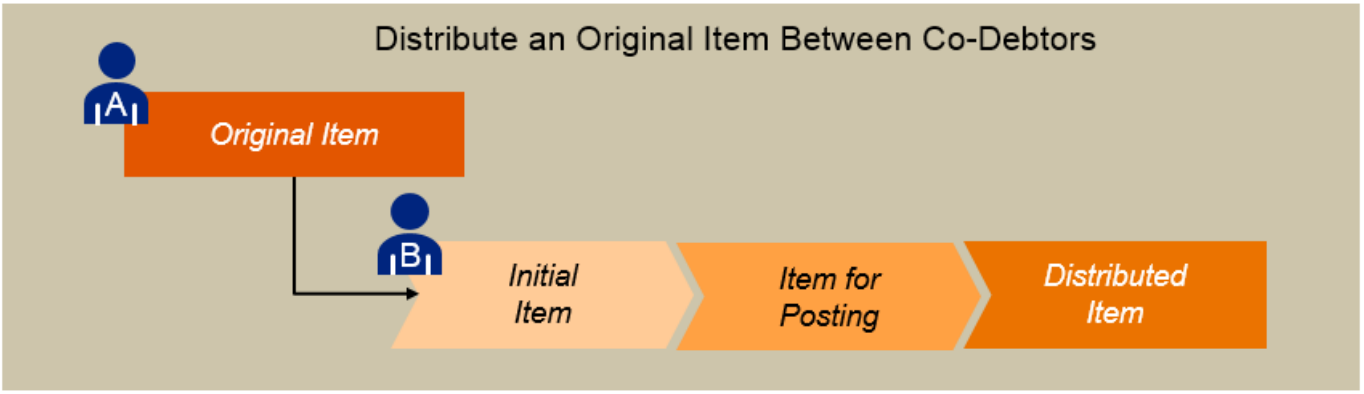


Figure: Processing Status of Collaborative Liability Items

Overview of Receivables and Clearing Payments

In the screen section **Data Record Items**, you see an overview of the original item and the distributed items, and a comparison of the open amounts, original amounts, paid amounts and cleared amounts for each item.

You can switch from the **Standard View** to the **Expert View** and see the associated sub-items with the partial clearing postings and resulting remaining receivable for a data record item.

Paid and open amounts	Use
Open amount	Remaining receivable for the respective debtor.
Original amount	Original receivable that was calculated for the respective debtor in the collaborative liability.
Paid amount	Clearing as a result of payments made by the respective debtor.
Cleared amount	Total of all clearing payments made by all debtors in a collaborative liability.

ℹ Note

You can define the distribution of clearing payments between the remaining receivables for a co-debtor in Customizing for the collaborative liability type as a clearing strategy or specify this in event `0495`.

Other Processing Functions

Function	Use
Move item	You can move an original item selected with the distributed items to a different data record in the collaborative liability. • If you choose **Move to New Record**, you can create a new data record when you move the item. • If you choose **Move to Existing Data Record**, you can select an existing data record as a target when you move the item.
Remove item	You can delete a selected item from a collaborative liability data record in the following circumstances: • An original item can be deleted if it is not yet been distributed. • A distributed receivable has not yet been posted and has the status **Initial Item** or **Item for Posting**.
Synchronize data record	This function is only displayed in the toolbar for the collaborative liability and the data record if clearing payments exist in FI-CA, but have not yet been updated in the respective collaborative liability.

More Information

Collaborative Liability

Including Third-Party Debtors

Posting Examples for Clearing Strategies

Including Third-Party Debtors

Use

If a co-debtor in a collaborative liability cannot make payment for their liabilities, and as a result a third-party debtor is used (such as the employer as part of a wage garnishment), you can represent the new debtor group in an additional collaborative liability. In this case, the new collaborative liability performs the function of a third-party liability.

A collaborative liability and the associated third-party liability interact with each other because they are assigned the same receivable. If an incoming payment generates a clearing/partial clearing, this clearing applies to both collaborative liabilities.

Example

The following example illustrates and explains the content of collaborative liabilities that interact with each other because they are assigned the same receivable.

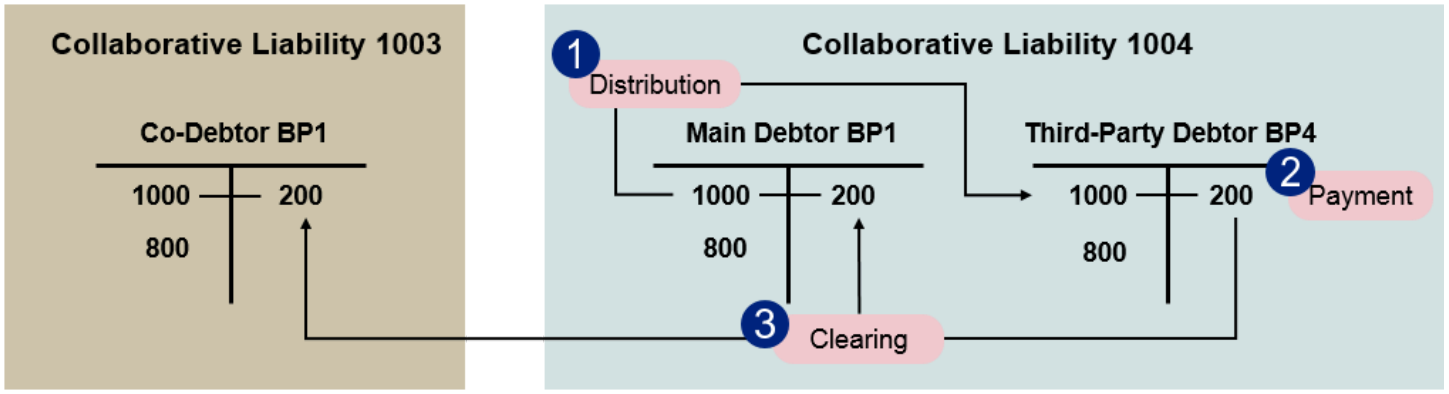


Figure: Two Associated Collaborative Liabilities

Initial situation:

The co-debtor BP1 cannot make payment for their liabilities (amount 1000) in the original collaborative liability 1003. Including a third-party debtor (BP4) is to clear the receivables with partial payments (an amount of 200 in each case).

1. The new collaborative liability 1004 is created. The debtor group is made up of BP1, who is unable to make payment and is now in the role of the main debtor, and third-party debtor BP4. The statistical open document item (identical to the receivable in collaborative liability 1003) is assigned and distributed between the third-party debtor BP4.
2. The third-party debtor makes the first partial payment of 200.
3. The partial payment by the third-party debtor is distributed to debtor BP1 and at the same time to the collaborative liability 1004 (in the function of a third-party liability here) and the original collaborative liability 1003. The same statistical document item is partially cleared for debtor BP1 in both liabilities, leaving an outstanding receivable of 800.

More Information

Collaborative Liability

Processing a Collaborative Liability

Posting Examples for Clearing Strategies

Use

The following T-account displays show examples of the difference between the clearing strategies supplied by SAP and those that can be selected in Customizing:

- **Clear Full Amount**
- **Clear on a Percentage Basis (according to the distribution value)**

ℹ Note

You can replace the clearing strategies supplied by SAP in the event `0495` with customer-specific clearing strategies.

The following postings show a distribution percentage rate of 100% (step 1), in combination with a clearing of the full amount. Both payments (steps 2 and 3) are also cleared in full for the other debtors.

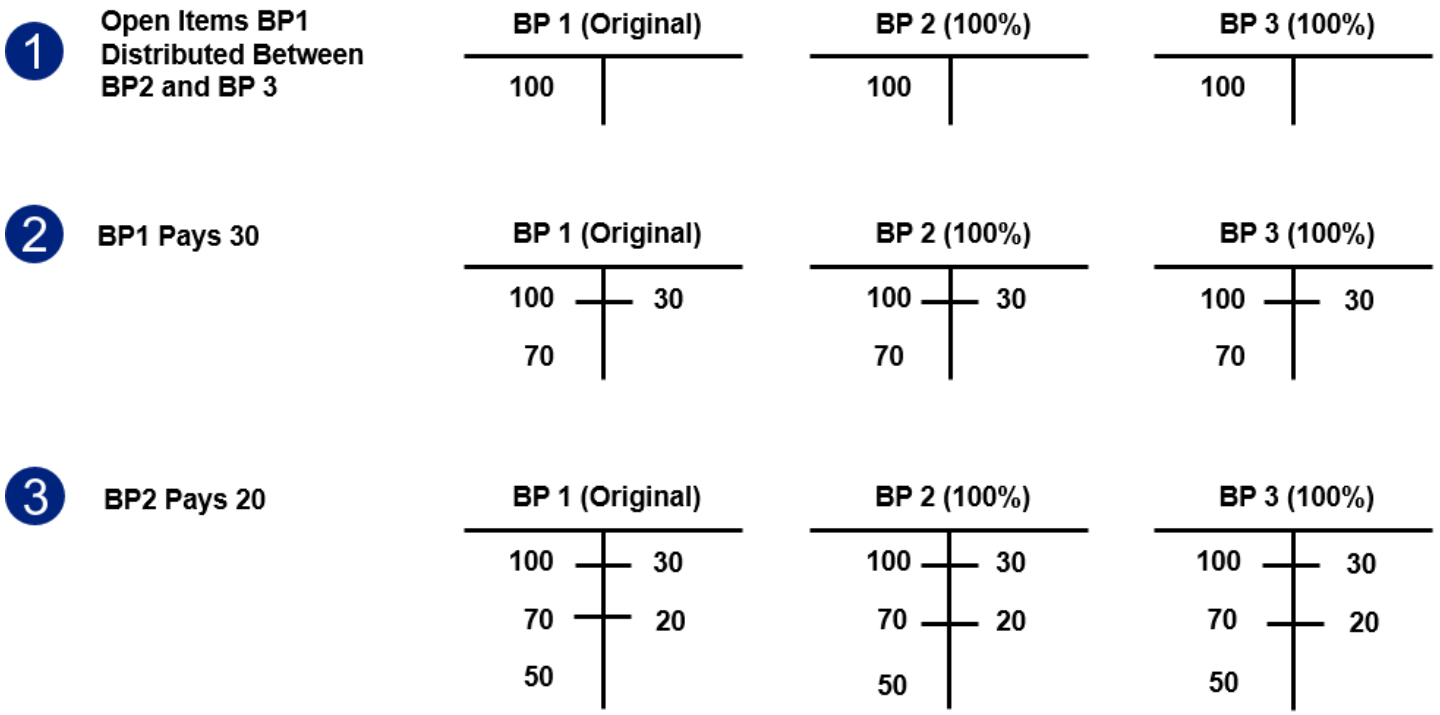


Figure: Clear Full Amount

The following postings show a distribution percentage rate of 60% and 40% (step 1), in combination with a clearing on a percentage basis. This means that the same percentage rates are used as those for distribution for incoming payments. This strategy also specifies that payments made by the main debtor trigger a clearing in the accounts for the co-debtors (step 2 BP2, BP3), but payments made by co-debtors only clear the original document for the main debtor (step 3 BP1).

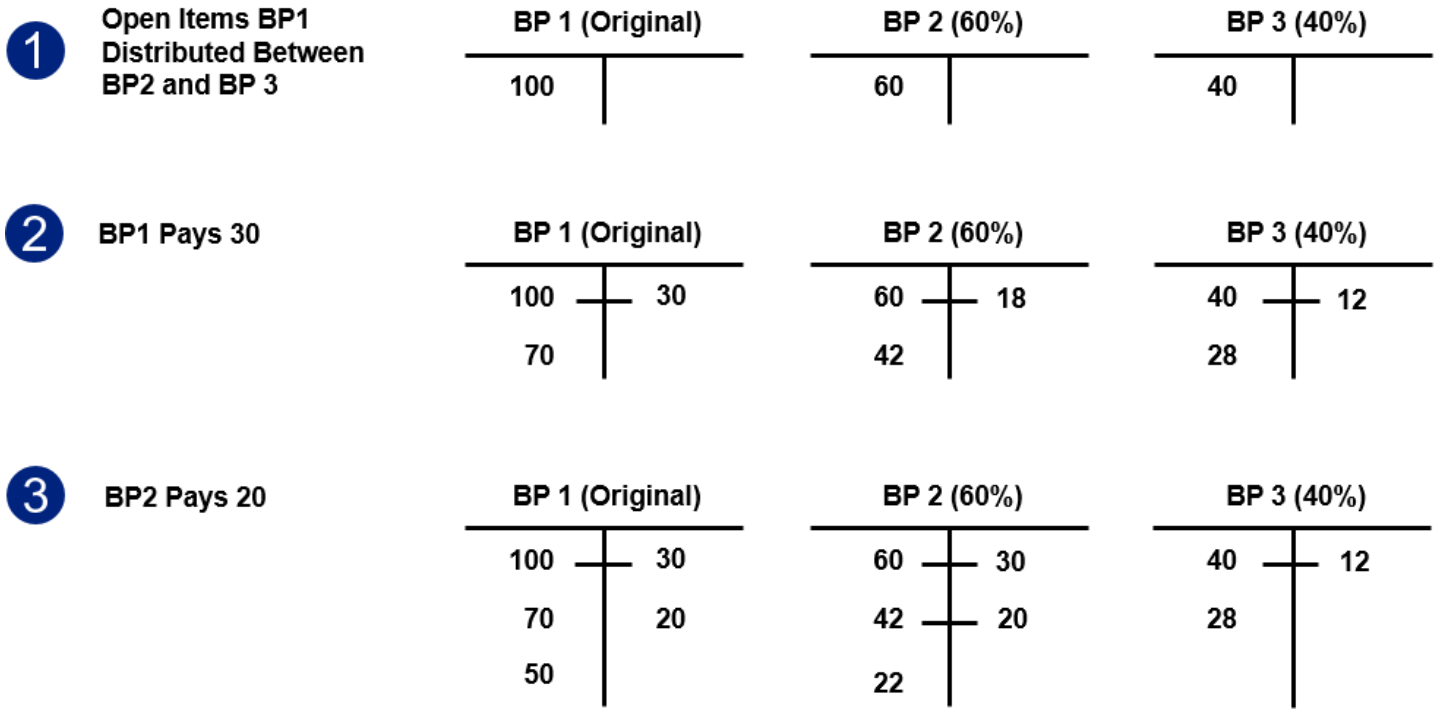


Figure: Clearing on a Percentage Basis

More Information

Collaborative Liability

Correspondence for Collaborative Liabilities

Use

SAP provides the correspondence type `COL1` for the collaborative liability to generate co-liability invoices. You can use this correspondence to inform all debtors in a collaborative liability about the current status of their open items.

Co-liability invoices can for example be executed as a mass run or can also be generated manually for individual co-debtors in the respective co-liability data record. Correspondence for the collaborative liability is completely supported by the correspondence tool in Contract Accounts Receivable and Payable.

Prerequisites

- The business function PSCD, Enhancements for Collaborative Liability has been activated.
- You have made the necessary Customizing settings under **Contract Accounts Receivable and Payable** > **Business Transactions** > **Collaborative Liability** > **Correspondence**.

Features

Mass Run

During the mass run, you can trigger or restrict the generation of co-liability invoices in the Customizing activity **Define Reasons for Co-Liability Invoices**:

Reason	Trigger a Correspondence
New data record item posted	An invoice is generated for every new co-liability data record item.
Always	An invoice is generated for every mass run. Existing correspondence containers are overwritten.
Increase total debt	An invoice is generated if the total open items for a co-debtor have increased since the last correspondence and a definable threshold value has been exceeded.
Reduce total debt	An invoice is generated if the total open items for a co-debtor have decreased since the last correspondence and a definable threshold value has not been reached.

You perform the mass run from the SAP Easy Access menu under **Accounting** > **Financial Accounting** > **Contract Accounts Receivable and Payable** > **Account** > **Collaborative Liability** > **Generate Co-Debtor Invoices** (transaction code `FKK_COL_CORR_COL1`).

Manual co-liability invoice

You can define the following for a collaborative liability type for the manual generation of a co-liability invoice in the Customizing activity **Configure Correspondence for Co-Liability Invoices**:

- Which debtors (main debtor or main and co-debtors) are to be available for selection and
- Whether it is to be possible to select individual data record items for the co-liability invoice.

The correspondence functions and manual generation of co-liability invoices are available to you in the co-liability work center in the data record header data for a co-debtor under **Correspondences**. You can generate a co-liability invoice in a guided activity in four steps.

Form Class

To enable you to define your own forms, fields in the co-liability are made available to you in the form class `FI_CA_COLI_INVOICE`. SAP supports the definition of forms of the PDF type and smart forms for co-liability correspondence.

Events for Customer-Specific Enhancements

The following events are available for defining customer-specific enhancements to co-liability invoices:

Event	Use
`0890`	Printing Co-Liability Invoice (Print correspondence for co-liability invoices)
`0891`	Creating Co-Liability Invoice (Correspondence request for co-liability invoices)
`0892`	Mass Process for Creating Co-Liability Invoice

More Information

Correspondence

Collaborative Liability

Status Management of Collaborative Liability Data

Use

The collaborative liability supports a sequence of system statuses to represent its business processes. The system status for collaborative liabilities and collaborative liability data records are handled separately. You can define an approval process for processing steps in the data record. In addition to the system status delivered by SAP, you can define your own customer-specific user status.

You can delete collaborative liability data that is no longer required using the deletion program `FKK_COLI_DELETION`.

Features

Status Management for Collaborative Liability

The status object type `COL` is available for the following status sequence for the collaborative liability:

Open (or) Locked > Closed > Flagged for Deletion > Deleted

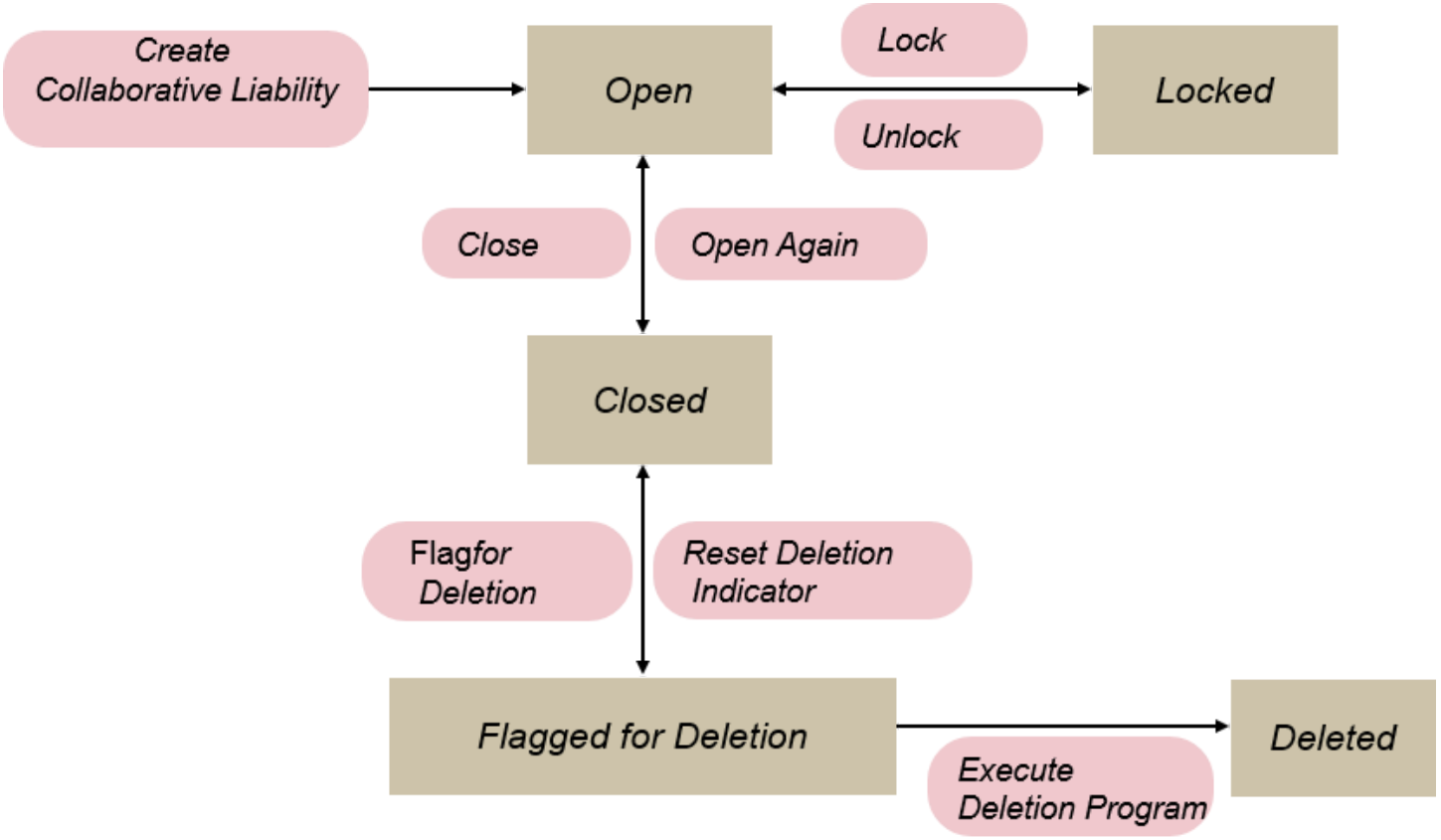


Figure: System Status in Collaborative Liability

Create Collaborative Liability Data Record

The status object type CLR is available for the following status sequence for the collaborative liability data record:

Open (or) Locked > For Approval (Optional) > Active > Closed > Flagged for Deletion > Deleted

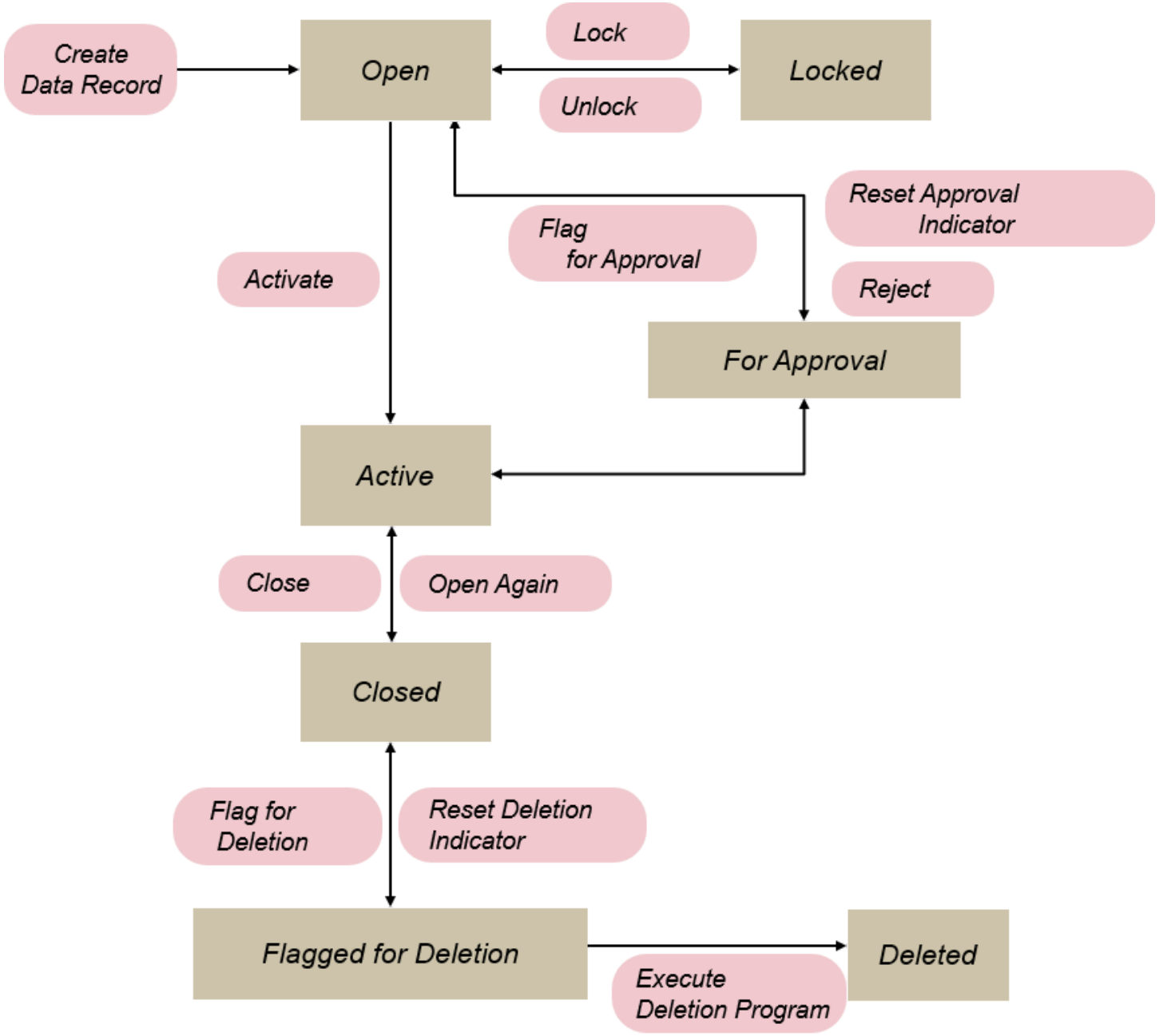


Figure: System Status in Collaborative Liability Data Record

More Information

Collaborative Liability

APIs and Worklist for Collaborative Liability

Use

Programming interfaces (APIs) are provided for the collaborative liability, which you can use during the processing of other FI-CA business transactions (such as invoicing and dunning), to integrate the search for and processing of collaborative liability data.

If errors occur when these collaborative liabilities, which are processed in the background, are created or changed, or manual processing is required, these collaborative liabilities are included as tasks in a collaborative liability worklist . You access the worklist in the collaborative liability work center, where you can create a personal worklist from the overall worklist.

Prerequisites

The business function PSCD, Enhancements for Collaborative Liability (PSCD_COLIABILITY_2) has been activated.

Features

APIs for Collaborative Liabilities

The classes CL_FICA_MODIFY_COLI and CL_FICA_SEARCH_COLI contain methods that support the following functions when they are combined:

- Create, change and process collaborative liabilities and data records.
- Add debtors to collaborative liabilities and data records
- Add and process open items for collaborative liabilities and data records.
- Find collaborative liabilities, data records and debtors.

For more information about these methods, see the respective class documentation.

Collaborative Liability Worklist

You open the worklist that contains the incorrect collaborative liabilities in the collaborative liability work center in the **Automatic Processes** screen area by choosing **Worklist**. The system displays the overall worklist as a default setting. You can generate a personalized worklist (POWL = personal object worklist) from this.

Each worklist task is assigned a problem rating, such as **Not Posted** or **Not Distributed**. As soon as you click on a task, the system displays additional information (such as the co-debtors and items) for the respective collaborative liability. You can use the collaborative liability ID or data record ID that is displayed as a link here to navigate to processing here.

The following additional functions are available to you in the collaborative liability worklist:

Function	Use
New Worklist	You can create a personalized worklist using a guided activity.
Change Worklist	You can restrict the worklist tasks that are currently visible using selection criteria.
Set Status	You can set one of the following statuses for each task: • **Open** • **In Process** • **Completed** • **Flagged for Deletion**
Complete Key	You can use this function to subsequently generate missing information (such as the collaborative liability ID), which can be derived from existing information, in the overall worklist.
Print Version	You can print the tasks listed as a PDF version.
Export	You can export the tasks listed to an Excel list.

More Information

Collaborative Liability Events

Use

You can define the collaborative liability using customer-specific events. You can list these events in the transaction FQEVENTS using the search term **Co-Liability**.

Prerequisites

The business function PSCD, Collaborative Liability (PSCD_COLIABILITY) and the business function PSCD, Enhancements for Collaborative Liability (PSCD_COLIABILITY_2) have been activated.

Features

Overview of Collaborative Liability Events:

Collaborative Liability Event	Use
Event 0490	Document Assignment to Co-Liability Records
Event 0491	Posting Group Determination (Assign open document item to a collaborative liability posting group (SAP event))
Event 0492	Document Type Determination (Identify document type for open (original) document item (SAP event))
Event 0493	Document Validation (Check open document item)
Event 0494	Amount Determination for Distributed Documents (Determine receivables amount for distributed document items)
Event 0495	Clearing Amount Determination for Distributed Documents (Determine clearing amount for distributed document items)
Event 0496	Determination of Debtors for Documents (Determine co-debtors from open document item)
Event 0497	Mass Trigger Posting (Mass run for clearing postings from trigger table)
Event 0498	Trigger Table Handling (Processing trigger table entries)
Event 0880	Find Matching Co-Liability or Record (Find suitable collaborative liability or suitable data record)
Event 0881	Finding Co-Debtors
Event 0890	Printing Co-Liability Invoice (Print correspondence for co-liability invoices)
Event 0891	Creating Co-Liability Invoice (Correspondence request for co-liability invoices)
Event 0892	Mass Process for Creating Co-Liability Invoice

For more information about the individual events, see the Customizing settings for collaborative liability under **Events for Collaborative Liability** or the documentation for the respective event in transaction FQEVENT.

More Information

Collaborative Liability

Write-Offs

Use

Using this component, you can write off open receivables and credits of business partners. Write-offs are required if receivables are uncollectible or payables cannot be paid, for example when the payment recipient cannot be identified.

Features

You can write off open receivables completely, or, if you want to waive partial amounts of open receivables for your customers, you can also write off open items partially. You have to allow partial write-offs explicitly in Customizing. You are free to specify the partial amount to be written off in the transaction **Write Off Items**.

When you write off an amount, the system clears the item written off, generates a write-off document, and automatically posts to the expense or revenue accounts defined in Customizing.

In Customizing, you can define rules for adjusting the tax for a write-off. If the expense account posted to is relevant for tax, the system also corrects the posted tax when you write off.

When writing off, you can also:

- Inherit the G/L account assignment characteristic **Profitability Segment Number (CO-PA)** (PAOBJNR) from the document being written off to the write-off document

  The prerequisite for this inheritance is that you entered the value 1 (**Inherit Item to Be Written Off**) for the derivation of the CO account assignment in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Write-Offs** in the activities **Define Specifications and Default Values for Write-Off** and **Define Specs and Default Values for Mass Write-Offs**.

  > **Note**
  > Since SAP enhancement package 2 for SAP ERP 6.0, it is already possible to inherit the G/L account assignment characteristic **Profitability Segment Number (CO-PA)** (PAOBJNR) as a modification in event 5030. This modification is not affected by an upgrade to SAP enhancement package 6 for SAP ERP 6.0. That means, that if you have implemented logic in the installation-specific event 5030, the system continues to run through this logic when you write off.

- Using a function module, specify check rules in Customizing that the system uses to decide whether open items of a business partner can be written off and which these are

  For example, you can specify that receivables can only be written off if there are no credit items on the contract account and the receivables are more than six months overdue. If a user has the appropriate authorization, the system offers all open items to be written off. This means that the check rules are not applied. The system always applies check rules at a check level (business partner, contract account, contract, document), groups the open items to be written off at the check level, and applies the check rules to each group.

- Update the creditworthiness of customers

You can reverse write-off documents, meaning that the receivables or payables become open again.

Write Off Items

Prerequisites

For the write-off, the following settings are required in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Write-Offs**:

- You have defined write-off reasons that are saved for your information in the posted line items.
- The required specifications (selection of the check level) and default values, such as the clearing reason, are stored for posting the write-off document.
- The G/L accounts for the write-off of receivables and payables are created and stored in Customizing for automatic account determination.
- If you also want to allow partial write-offs, set the **Partial W-Off** (Partial W-Off Active) indicator under **Define Write-Off Reasons** for the required write-off reasons.

  If you also want to allow partial write-offs, set the **Partial W-Off** (Partial W-Off Active) indicator under **Define Write-Off Reasons** for the required write-off reasons.

In addition, under **Basic Functions** → **Special Features of Tax Processing** → **Tax Calculation Types for Write-Off and IVA,** you select a rule according to which the tax adjustment is to be calculated during write-off.

If you program the corresponding function modules and define them in Customizing under **Program Enhancements** → **Customer-Specific Function Modules**, you can do the following:

- Audit open items at event 5010

  The module should contain the required check rules. You have specified the check level on which these rules apply in Customizing under. You can only post items that can be cleared according to the check rules.
- Preset and check the specifications for the write-off at event 5006
- Apply industry-specific check rules at event 5008

  In this event, you can also apply check rules that are independent of whether the **Do Not Use Write-Off Rules** indicator is set. This event is always processed.

To make sure that some employees are offered all open items for write-off despite implemented check rules (by means of industry-specific component or customer-defined), you can grant these employees special authorization for activity 020 of the authorization object F_KK_SOND (FI-CA special function). To define authorizations, see **Basic Functions**→**Authorization Management**.

Procedure

1. In the SAP Menu, choose **Account** > **Write Off Items** and enter the selection details for the open items and the details for posting the write-offs.
2. Choose **Continue**, or, if you have authorization to write off without check rules, **Process** > **Select Without Rules**.

   The items that can be written off are displayed. If necessary, the number of items not corresponding to the check rules is displayed.

3. Select the open items that you want to write off. Select and activate the items required or select the items using the amount field in the corresponding row.

   The system transfers the full amount of the item (column **Gross Clearing**) for the write-off. If wish to only write off a partial amount, enter the partial amount that you want to write off in the column **Gross Clearing**.

4. Choose **Post**.

By choosing **More** > **Display Document**, you can display the write-off document.

By choosing **More** > **Account Balance**, you can display the account balance of the business partner.

By choosing **More** > **Notes** > **Enter Notes**, you can enter notes generated for a write-off document.

Result

The selected open items were cleared or partially cleared and a write-off document was created. The document number of the document created is displayed in the status line. In the event of partial clearing, the remaining amount of the document is still open.

Writing Off Items in Mass Runs

Use

It is useful to write off items in a mass run if there are a large number of receivables that are uncollectible, or payables that cannot be disbursed.

Integration

The system updates the write-off history and the business partner's creditworthiness when you post a write-off document. You can set an indicator to release the written-off items for submission to external collection agencies; however, you need the special authorization F_KK_SOND for this.

Prerequisites

You have authorization for authorization object F_KKWOFFM.

You processed the following activities in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Write-Offs**:

- **Define Specs and Default Values for Mass Write-Offs**
- **Automatic G/L Account Determination for Write-Offs**

If you want to use write-off variants, you processed the following IMG activities:

- **Maintain Write-Off Variants**
- **Maintain Age and Amount Grid for Write-Off Variants**

Features

Using the mass write-off function, you can write off open receivables and open credits. These can be written off statistically or posted to the general ledger. You can select the documents to be written off according to various parameters that you maintain on the tab pages. This allows you to select according to the type of business transaction (for example, dunning charges). You can also conduct a simulation run before the update run for monitoring purposes.

In event 5008, which is always processed, you can apply industry-specific check rules. In this event, you can also apply check rules that are independent of whether the indicator **Do Not Apply Write-Off Rules** is set.

Using a write-off variant, you can automatically write off or prevent the write-off of individual items based on age and amount grids. For each age and amount structure, the write-off variant defines whether the current receivable can be written off. You can display the procedure as needed in the application log for information purposes.

The system determines the write-off variant in event 2957; you can define this event to best suit your needs.

200 days ago, you posted document 4711 with an amount of 1000. There is a write-off variant VARI with the following settings:

Days after Due Date	Sequential Number	Amount	Automatic Write-Off	Log
50	1	500	X	
100	1	500	X	
100	2	1000	X	X
100	3	5000	X	

From these settings, the system derives the following procedure:

1. The document is older than 50 and 100 days. The system therefore checks all four entries, but it first checks the specification where the number of days after due date is the highest and then the specification where the amount is the lowest.
2. The system checks line 2 first. The amount of EUR 1,000 is more than EUR 500 and, therefore, does not qualify.
3. The system then checks line 3. The amount of EUR 1,000 is within the range up to EUR 1,000 and therefore qualifies for the write-off.
4. The system writes off the item automatically and makes a note in the log.

Activities

1. Choose one of the following paths:
   - **Role** ▶ **Receivables Administration(SAP_FI_CA_RECEIVABLES_ADMINIST)** > **Start Write-Off Run** ◀
   - **SAP Easy Access screen** ▶ **Periodic Processing** > **For Contract Accounts** > **Write-Off Run** ◀ .
2. Enter the required selection and posting parameters and the technical settings. Save your entries and choose ▶ **Program Run** > **Schedule.** ◀ For runtime reasons you must enter the business partner.If you select the indicator **Release Receivables for Submission to Collection Agency** on the tab page **Posting Parameters** , the items selected by the write-off run are automatically released to a collection agency.The collection agency is determined in event 5060 (see Automatic Release).

For more information, see Functions for Scheduling Program Runs .

If you want to use the events mentioned, define an installation-specific function module in Customizing for Contract Accounts Receivable and Payable under ▶ **Program Enhancements** > **Define Customer-Specific Function Modules** ◀ .

Using Petty Amount Limits in Write-Off Runs

Use

In order to avoid uneconomic enforced collection procedures, an organization can do without entitlements which are under or over a particular amount limit.

Prerequisites

If you want to use this function, you must define the amounts you require in Customizing of **Contract Accounting** in the IMG activity **Define Petty Amount Limits for Mass Write-Off** .

Features

If you have defined petty amount limits in Customizing of **Contract Accounting** , you prevent items that have open amounts above or below the petty amount limits from being written off by mistake in the mass write-off run.

The program determines the lowest petty amount limit of all items which enter a check level (for example, contract object) and compares them with the total of the items of this check level. All items of this check level are only written off in the mass run if the total (underpayment or overpayment) is lower or the same as the corresponding petty amount limit. Otherwise, none of the items of this check level are written off.

Example

A petty amount limit of 4.99 EUR is defined for dunning level 00 and a limit of 19.99 EUR for dunning level 01.

A contract object has two open items. An amount of 8.00 EUR was due on March 15, which was dunned once.A further 8.00 EUR was due on June 15, which has not yet been dunned. The program determines the petty amount limit of 4.99 EUR during the check in the mass write-off because one of the items is still at dunning level 00. Neither of the items are written off, as the total of the two items is larger than 4.99 EUR. The petty amount 19.99 EUR is only used and the items written off when the second item is at dunning level 01. However, if the business partner has paid the total amount of 16.00 EUR because of the dunning of the second item, the petty amount rule is not applied.

You can find more information in the implementation guide (IMG) of **Contract Accounting** in the documentation in the IMG activity **Define Petty Amount Limits for Mass Write-Off** .

Writing Off Items in External Systems

Use

You can perform write-offs in external systems.

Prerequisites

You have planned write-offs in external systems and made the relevant setting in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Business Transactions** > **Write-Offs** > **Activate Write-Offs in External Systems** .

You have made the settings for the derivation of the FM account assignment for the write-off document in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Business Transactions** > **Write-Offs** > **Write-Off: Define**

Specifications for Enhanced Account Assignment Derivation and Mass Write-Off: Define Specifications for Enhanced Account Assignment Derivation .

Features

If you perform write-offs in an external system, line items that are posted in Contract Accounts Receivable and Payable via this external system are forwarded to the relevant external system via the Outbound Interface for Business Partner Items . The SAP system (Contract Accounts Receivable and Payable) holds the items to be written off with clearing restriction T . This means that these items cannot be cleared using other transactions or business transactions. The tax calculation takes place in the external system.

Using the Bill Line ItemInterface , the general ledger items determined for the write-off document by the external system are posted in the SAP system (Contract Accounts Receivable and Payable) again. The preselected items to be written off are cleared and the clearing restriction T is deleted. For detailed information about transferring data from external systems, see the documentation for the IDoc interfaces of Contract Accounts Receivable and Payable , section Process Flow of Document Transfer with Revenue Item .

Write-Off History

Use

Write-off data provides information about a business partner's payment behavior. In the write-off history, you can quickly access a business partner's or a contract account's write-off data.

Integration

The system automatically updates the write-off history when an amount is written off. It can also be updated automatically during mass write-off, depending on your authorization.

Any write-off documents that are reversed are also noted in the write-off history.

Features

The write-off history is updated automatically in the system. It provides the following information:

- Write-off document number
- Write-off date
- Write-off reason
- Write-off amount and currency
- Statistical indicator of document that has been written off
- Origin of write-off document
- Reversal indicator for write-off document

Using a prepared enhancement, you can also display contract fields in the write-off history. When you post a write-off document for items with contract account assignment, the system saves the new entries in the write-off history with the data of the contract. After you have activated the enhancement, you can also select the Displaying the Returns History by contract.

You can add the appropriate contract data to history entries that already existed at the time you activated the enhancement.

Activities

You can access the write-off history by choosing the following paths:

Role

- Information about Business Partner Account (SAP_FI_CA_PARTNER_ACCOUNT_INFO) ▶ Account Balance > Environment > Account > Write-Offs
- ▶ Information about Business Partner Account (SAP_FI_CA_PARTNER_ACCOUNT_INFO) > Write-Offs

SAP Easy Access screen

- ▶ Account > Account Balance > Environment > Account > Write-Offs
- ▶ Account > Further Information > Write-Off History

You activate contract fields in the write-off history in Customizing for Contract Accounts Receivable and Payable under ▶ Program Enhancements > Prepared Enhancements > Add Contract to Write-Off History and Receivable Adjustment.

To add contract data to existing history entries, on the SAP Easy Access screen, choose ▶ Changeovers in Live System > Set Contract in Write-Off History.

Public Sector Write-Off History

Use

The Public Sector write-off history lists the individual documents which were written off and entered in the write-off history with the function Write Off Item . In addition to the information from the write-off history, the data of the written off documents, the write-off document and the resubmission is issued.They are sorted according to currency, write-off date, and document number.

If you have defined a separate write-off reason for waivers in Customizing of Contract Accounting , you can use the write-off history to generate a waiver directory.

Features

You can find detailed information on the features in the program documentation on the Public Sector Write-Off History .

You can find basic information on the write-off history under write-off history .

Activities

You can find the Public Sector Write-Off History in the Contract Accounting menu under ▶ Account > Further Information > Public Sector Write-Off History.

Printing Write-Off Data

Use

This function enables you to print information on write-off documents and the items written off.

Integration

For general information on write-offs, see Write-Offs .

> ⚠ **Caution**
>
> Printing does not work when you have activated the approval procedure for write-offs.

Prerequisites

You must have entered function module FMCA_EVENT_PRNT_5040 in IMG activity **Define Customer-Specific Function Modules** with event in the Customizing of **Contract Accounts Receivable and Payable.**

Features

For the following data is available for the printout: data on the write-off document, cleared items and data entered with the write-off with additional information on the business partner. This data is generated and printed with events P730 and P731.

SAP delivers a sample form for printing data which you can use as a template for your own application form. You copy sample form FMCA_WRITEOFF_DOC_SAMPLE_SF for this, save it under a new name and program the changes you want. Then you assign this form to correspondence type P034 in the Customizing of **Contract Accounts Receivable and Payable** in IMG activity **Define Application Forms for Correspondence** . Form class FMCA_WRITEOFF_DOC is assigned to this correspondence type by default.

Activities

To print the write-off data you must go to the function **Write Off Item** . When you save the write-off, a dialog box appears where you can specify you want to print the data.

Checking and Approving Write-Offs

Use

You can hold write-offs in a status that has to be confirmed. A workflow is triggered for the confirmation; the last step in the workflow is an approval or rejection.

Prerequisites

You have entered the required check reasons in the Implementation Guide for **Contract Accounts Receivable and Payable** > **Basic Functions** > **Postings and Documents** > **Workflows for Postings and Approvals** > **Define Check Reasons.** You have entered the installation-specific function modules described below in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Program Enhancements** > **Define Customer-Specific Function Modules** .

Features

For each write-off, an installation-specific function module is processed in event 5512. It checks whether the write-off has to be confirmed and released by other clerks in a workflow. If a check is required, the module returns the number of checks required. You can also issue a check reason and additional parameters for role determination.

If the write-off is accepted, the document is written off and the workflow completed.

If the write-off is rejected, the workflow is stopped.

SAP delivers the workflow sample WS21000102 FICA_WRTOFF for write-offs. The role 21000067 is used for the role resolution.

Activities

Define an installation-specific function module for event 5512.

If you want the information for line items to be output in open item processing or in the account balance display for approval, you can define installation-specific modules for events 0105 and 1205. For example, you can use function modules FKK_WF_TEXT_1205 and FKK_WF_TEXT_0105.

To execute active application-specific standard modules, call these directly from the customer-specific module.

Submitting Receivables to Collection Agencies

Purpose

If a customer does not pay his receivables, and all measures have been taken to collect the receivables, many companies use collection agencies to prevent losing the receivable.

In the case of receivables for which court cases have been initiated or where a court order has been issued for collection (legal dunning proceedings), these receivables are managed in some instances using third-party applications.

Contract Accounts Receivable and Payable enables you to manage postings connected to submitting receivables to a collection agency and the exchange of information with those collection agencies.

For managing receivables for which legal dunning proceedings have been initiated, it is necessary to set up collection agencies in **Contract Accounts Receivable and Payable** for the third-party applications that are used.

Submission of Receivables to Collection Agency

Purpose

You can use the following functions to submit receivables, make required postings, and process the exchange of information with collection agencies:

- Releasing Receivables for Collection
- Submission of Receivables to Collection Agency
- Processing and Managing Collection Items
- Recalling Submitted Receivables
- Forwarding Information to Collection Agencies
- Processing of Incoming Information from Collection Agencies

Process Flow

In the system receivables are submitted in two steps. First you have to release the items for collection. Then you can submit the released items. The collection items created are recorded in the system. You can carry out the release and submission of the items manually, automatically as a mass run, or automatically in other business transactions. The system can determine the collection agency to which the receivables are to be submitted automatically during release or you can specify a collection agency when you submit. For the submission, the system checks whether the items entered manually or selected by the release run have a status that permits submission. For each collection agency, it creates a list and/or a submission file with all information relevant for collecting the receivables. Or, if you use the service-oriented interface, the system calls the enterprise service needed for the submission. You are generally allowed to submit all items with the status **Receivable Released for Submission** (**01**) or **Receivable Called Back** (**09**).

Communicating with Collection Agencies Using Enterprise Services

Use

You can communicate with your collection agencies using files (creation of submission and information files, import of collection agency files) or you can use enterprise services. SAP provides the necessary enterprise services and a service-oriented interface. If you activate the service-oriented interface, it replaces the file interface and offers the following additional functions:

- Groupings of collection items for submission, along with external grouping information (external collection cases or court cases), are supported by the application in the form of collection units.
- External status information on the progress of processing is integrated in the submitting company's own status information by using the collection history (SAP menu: **Account** > **More Information** > **Collection History**).
- Payments reported by the collection agency result in the posting of receivables which are credited to the collection agency. This means that the system posts these receivables to the contract account of the collection agency in FI-CA.

Activities

1. To be able to use the service-oriented interface for submissions to collection agencies, you have to activate it in Customizing for Contract Accounts Receivable and Payable, under **Integration** > **Enterprise Services** > **Make Central Settings for Enterprise Services** .

   ### ℹ Note

   For more information about the dependencies related to activating the service-oriented interface, see the documentation for the indicator you use to activate the service-oriented interface.

   ### ⚠ Caution

   If you previously communicated with collection agencies by file, do not activate communication via Enterprise Service until you have processed all the information that you received by file and stored in the system.

   After you have activated communication using Enterprise Services, you can no longer process information that you have received by file and stored in the system.

2. Then you make the necessary settings for collection agency postings in Customizing for Contract Accounts Receivable and Payable in the activities **Define Specifications for Processing Collection Agency Information** and **Define Specifications for Collection Agency Postings**, under **Business Transactions** > **Submit to Collection Agency** .
3. You then enter the allowed status information on the progress of processing at external collection agencies in Customizing for Contract Accounts Receivable and Payable, under **Business Transactions** > **Submit to Collection Agency** > **Define Categories of Collection Units** .

4. You can classify collection units when you submit to collections; you enter the allowed categories in Customizing for Contract Accounts Receivable and Payable, under Business Transactions > Submit to Collection Agency > Define Categories of Collection Units.

5. To display status information in the collection history, select the Coll. Hist. column in Customizing for Contract Accounts Receivable and Payable, under Business Transactions > Submit to Collection Agency > Define Submission Status and under Maintain Status of Collection Units.

6. In addition, define a variant for the collection history with the event 0007 Submit for Collection in Customizing for Contract Accounts receivable and Payable, under Business Transactions > Dunning > Collection History > Define Variants.

Releasing Receivables for Collection

Use

The release of open (statistical and normal) items is supported, including also partially paid items, credit memos and discounts.

You cannot release installment plan items for collection. To release receivables integrated in an installment plan, you first have to deactivate the installment plan. You can then release the original receivables that are open. The system can automatically determine the collection agency to which the receivables are to be submitted for items released both manually and automatically. As a result of the release, the released items receive the submission status 01 (Receivable Released for Submission). The document receives the collection item number 001.

Prerequisites

You have authorization to submit receivables to collection agencies (authorization object `F_KKINK`).

Activities

1. For the system to determine the collection agency automatically, specify the collection agencies you work with in Customizing for Contract Accounts Receivable and Payable under Business Transactions > Submit to Collection Agency > Define Collection Agencies, or on the SAP Easy Access screen, choose Settings > Current Settings > Define Collection Agencies.

2. Program an installation-specific function module and enter it for event 5060 in the Customizing for Contract Accounts Receivable and Payable under Program Enhancements > Define Customer-Specific Function Modules. (See the documentation for function module `FKK_SAMPLE_5060`.)

   At event 5060, you can determine the collection agency, for example, using the following criteria:

   - Total amount of the receivables of a business partner to be released
   - Business partner type (private/business customer)
   - Business partner address (postal code)

   In event 5060, you can also implement the determination of collection agencies from external systems and define the order in which receivables are to be submitted to the collection agencies that you work with.

3. If, in your organization, you release receivables to different collection agencies based on specific rules, you can define these derivation rules in Customizing for Contract Accounts Receivable and Payable under Business Transactions > Submit to Collection Agency > Define Derivation Rules for Collection Agencies Responsible.

The derivation rules defined in Customizing are evaluated by the derivation tool. The derivation tool is always called in function module FKK_COLL_AG_SAMPLE_5060, if items are released for collection individually or in a mass release. The derivation tool determines the responsible collection agency in one or more derivation steps from a number of source fields of the extendable structure FKKCOLLAG. The number of derivation steps corresponds to the number of derivation rules that you define in Customizing.

4. In event 5059, which is processed when you release receivables, you can exclude items from being released. To do this, define exclusion criteria in an installation-specific function module and enter this module for event 5059 in Customizing for Contract Accounts Receivable and Payable under **Program Enhancements** > **Define Customer-Specific Function Modules**. (See the documentation for sample function module FKK_SAMPLE_5059.)

Manual Release

Use

Releasing individual uncollectible receivables for collection and resetting the release

Features

Using the function **Release Items for Collection** , you can select individual unpaid items by business partner, contract account, document, or net due date and hold them manually for a collection request. You can also reset the release of individual items of a business partner for collection manually.

Activities

To release items for collection:

1. In the SAP menu, choose **Account** > **Submissions for Collection** > **Release Items for Collection.**
2. Enter the criteria that you want to use to select the items to be released.

   If you select the indicator **Only Items to be Submitted** , only the items that you have not yet submitted to a collection agency are displayed. If you set the indicator **Items Written Off** , items that you have already written off for a business partner are displayed for release for collection.
3. Choose **Continue** .
4. Select the items that you want to release for collection and choose **Edit** > **Hold for Collection Order.**

You have now released items for submission. Via **Items** > **Refresh** you can update the display.This means that the released receivables are no longer displayed. Via **Items** > **Other Receivables** you can select new items.

To reset the release:

1. In the transaction **Release Items for Collection** , select the required items.
2. In the menu choose **Edit** > **Reset Release** .
3. Save your entries.

Automatic Release

Use

Using the mass run **Release for Collection** is recommended if you are processing large volumes of data.

Activities

1. In the SAP menu, choose **Periodic Processing** > **For Contract Accounts** > **Submission for Collection** > **Release Run.**
2. Assign a date ID and an identification that you can use to identify the run later and on the tab page **General Selections** , restrict the selection of the receivables to be released. On the tab page **Additional Selection** , you can refine this search using additional criteria and also include statistical and written off items in the selection. You can also restrict the selection using a run variant according to your company-specific requirements (see also the documentation for the field **Run variant** and the section Releasing Receivables for Collection).
3. Choose whether you want to start a simulation run or actually release the receivables.
4. Schedule the program run. For more information about the functions of mass processing, see Functions for Scheduling Program Runs .

Automatic Release

Use

You want to release receivables for collection in other business transactions.

Integration

The release of receivables for collection is integrated in the following business processes:

- Dunning
- Write-off
- Write-off in mass run

Features

If you make the relevant system settings, items that have reached a specific dunning level are automatically released for collection.

If, in manual write-off or in the write-off run, you select the indicator **Release Receivables for Submission to Collection Agency** , the receivables written off are automatically released for collection.

During the release, the programs determine the items to be released, release them, and set the submission status **01 (Receivable released for submission).** The document receives collection item number **001** . The collection agency is determined in event 5060.

Activities

Dunning

If you want to release items automatically in the dunning run, in the Implementation Guide for **Contract Accounts Receivable and Payable** , under **Business Transactions** > **Dunning Notices** > **Configure Dunning Activities** , define a relevant dunning activity and enter the function module FKK_COLL_AGENCY_RELEASE_0350 for this activity. The function module is processed in the

dunning run.If the dunning level is reached, the module selects the items and releases them automatically. See also the documentation for the Customizing activity.

Write-offs

1. From the SAP menu, choose **Account** > **Write Off Items.**
2. Then proceed as described in the section Writing Off Items .

Mass write-off

1. In the SAP menu, choose **Periodic Processing** > **For Contract Accounts** > **Write-Off Run** .
2. Then proceed as described in the section Writing Off Items in Mass Runs .

Submission of Receivables to Collection Agency

Use

After you have released items, you have to submit them.

Prerequisites

You must have authorization to submit receivables to collection agencies (authorization object F_KKINK). In Customizing for Contract Accounts Receivable and Payable, under **Business Transactions** → **Submit to Collection Agency** → **Define Submission Status**, you have defined the status for which an item may be submitted. In the standard system, you can submit items that have one of the following submission statuses:

- **Receivable released for submission** (01)
- **Receivable recalled** (09)
- **Receivable partially cleared** (13)
- **Receivable released and partially not collectible** (14)
- **Receivable recalled and partially not collectible** (16)

Key Features

For the submission, the system carries out the following steps:

1. Selects released items

   Holds the date of submission, the submission status 02 (**Receivable submitted**)), and the submitted amount, if this is different to the amount of the open item, in the collection item

   Enters a payment lock, dunning lock, and, if it exists, the alternative payer in the document

   Generates a list for each collection agency containing all receivables that are being submitted. The system can process collection items for different collection agencies in one submission run and creates a list when doing so. You can process the list with the standard functions for lists. From the list, you can branch to the master data of the business partner, the business partner's contract account, the master data of the collection agency, and the posted document.

2. **Transfer of the Submission Data**

- Submitting Using Files

  In the standard system, the system can create a separate file containing the receivables being submitted for each collection agency in a submission run. You can forward the file directly to the collection agency. For your own information purposes, you can store the file on an application server.

- **Submitting Using Enterprise Services**

  If you use this option, the data on submission is sent using enterprise service Request Commissioned Outstanding Collections as Bulk. A service call relates to only one collection agency. The message of a service can contain receivables that are submitted to the given collection agency for multiple business partners. However, for each service call, there is a maximum number allowed for business partners. Therefore, several service calls can sometimes be necessary during a submission run for a collection agency.

  The items are submitted either to the collection agency determined in event 5060 during release, or to the collection agency that you specify in the submission parameters. If you specify a collection agency on submission, the system ignores the collection agency determined in event 5060.

Activities

The Customizing delivered contains all required submission statuses. If you also want to implement a company-specific status for submitted items, you have to enter this in Customizing for Contract Accounts Receivable and Payable under **Business Transactions → Submit to Collection Agency → Define Submission Status**.

If, in the manual or automatic submission of a receivable, in addition to the items of a business partner already released for submission, you also want to submit all items or due items for this business partner to a collection agency without first releasing them, writing them off, or dunning them:

Program an installation-specific function module using the sample function module FKK_SAMPLE_5069. See the documentation for the function module.

Define this function module for event 5069 in Customizing for Contract Accounts Receivable and Payable under **Program Enhancements → Define Customer-Specific Function Modules**.

In the transaction **Submit Receivables to Collection Agencies** (SAP Easy Access screen: **Account → Submit for Collection → Submit Items for Collection**) or in the mass run **Periodic Processing → For Contract Accounts → Submit to Collection Agency**), set the **Submit Additional Items** indicator.

If you want the system to set payment locks, dunning locks, or alternative payers in the document, set the indicator for the required action in Customizing for Contract Accounts Receivable and Payable under **Business Transactions → Submit to Collection Agency → Define Specs for Submission to External Collection Agency**.

In event 5058, you have the option of running additional checks before submitting items to a collection agency. You can also exclude items from being submitted. If you use debt recovery scores, you can implement different check variants for the debt recovery score.

At event 5057 you can perform follow-on activities after submission. You can use the sample function module FKK_SAMPLE_5057 for this.

At event 6251, you can initiate follow-on activities for items that were not submitted due to checks before submission (event 5058). You can use the sample function module FKK_SAMPLE_6251 for this.

When you submit using files and you want to add data to the submission file, you can do this in the events below in the areas of the submission file stated after the event name:

- Event 5062: Header

- Event 5064: Footer
- Event 5063: Items

To add data to the submission file, write function modules and define them for the specified events in Customizing for Contract Accounts Receivable and Payable under **Program Enhancements → Define Customer-Specific Function Modules**. SAP provides the sample function modules FKK_SAMPLE_5062, FKK_SAMPLE_5063, and FKK_SAMPLE_5064. See also the documentation for the sample function modules.

For submitting using enterprise services, enhancement options are available. You can add information to outgoing messages in the following events.

- At event 6262, you can determine additional business partner data that is sent with the submission. The sample function module FKK_SAMPLE_6262 determines the standard address, along with telephone and fax numbers, e-mail address, and URI address.
- At event 6263, you can determine documents that are sent as attachments with the submission. For instance, you can determine the original invoices in the form of PDF documents for the submitted collection items. Sample function module FKK_SAMPLE_6263 is provided for this.
- At event 6265, you can fill more detailed customer-specific data in the outgoing message of the enterprise service. Sample function module FKK_SAMPLE_6265 is provided for this.
- At event 6260 (sample function module FKK_SAMPLE_6260), you can group the collection items being submitted before the actual submission. This allows the collection agency to treat the items as a group during collection. For instance, you could assign interest and charge items to the appropriate main receivable item, thereby grouping them together in a submission group.

Manual Submission

Use

Using the **Submit Items for Collection** transaction, you can select individual receivables for submission to a collection agency.

Activities

1. On the SAP Easy Access screen, choose **Account > Submit for Collection > Submit Items for Collection**.
2. Enter the criteria that you want to use to select the items to be submitted. If you select the indicators for it, you can also include statistical and written-off items in the selection. If you set the **Submit Additional Items** indicator, in addition to the items released for collection, you can also automatically submit all additional open items of the business partner (see Submitting Receivables to Collection Agencies).

   If you work with debt recovery scores, you can enter a variant for checking the debt recovery score when you submit items.
3. Assign a collection agency to the receivables being submitted. The input help offers all collection agencies that are entered in the system. If you do not make an entry in the **Submission to Collection Agency** field, then the program determines the collection agency using the function module processed at event 5060, or it submits the items to the collection agency that was already determined when the items were released. For more information, see Releasing Receivables for Collection.
4. Choose whether you want to simulate the submission or actually submit the receivables.

   For **submitting using files**, if you set the **Write File** indicator and enter a path, you can create a file for your own information and store it on an application server. If you set the indicator **Payment Form ID for Collection Agency**, all items submitted

for a business partner are grouped under a payment form ID that the collection agency can specify as a payment reference in its report.

For **submitting using enterprise services**, during an update run, the system automatically sends the data relevant for submission to the collection agency using enterprise services.

5. Choose whether you want the list of submitted items to be output as a standard list or in ALV format. Enter a list variant, if applicable.
6. Choose .

Automatic Submission

Use

Using the submission run is recommended if you are processing large volumes of data.

Activities

1. On the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Submit for Collection** > **Submission Run**.
2. Enter a date and an ID that you can use to identify the run later.
3. Restrict the selection of items to be submitted on the **General Selections** tab page by business partner, contract account, and/or company code. On the tab page **Additional Selection**, you can refine the selection of the items to be submitted.
4. If you set the relevant indicators on the **Submission Parameters** tab page, you can also submit items that have been written off and items that have been posted statistically. If you set the indicator **Submit Additional Items**, in addition to the items released for collection, you can also submit all additional items of the business partner (see Submitting Receivables to Collection Agencies).

   If you work with debt recovery scores, you can enter a variant for checking the debt recovery score when you submit items.
5. Choose the collection agency that you want to submit the receivables to.

   For **submitting using files**, to create a submission file, select the corresponding indicator and define a path under which the file is saved. If you set the indicator **Payment Form ID for Collection Agency**, all items submitted for a business partner are grouped under a payment form ID that the collection agency can specify as a payment reference in its report. If you set the indicator **Total Receivables to be Submitted**, the items in the file are totaled by contract account, business partner, or payment form.

   For **submitting using enterprise services**, during an update run, the system automatically sends the data relevant for submission to the collection agency using enterprise services.
6. Schedule the program run. For more information, see Functions for Scheduling Program Runs.

The submission run records all submissions in logs. To ease the load on your system, you can delete these logs. On the SAP Easy Access screen, choose **Periodic Processing** > **Delete Data** > **Logs of Submissions for Collection**.

Collection Functions for Public Sector Contract Accounting

When overdue receivables are submitted, the collections agency requires detailed information for the enforced collection. For this purpose, SAP provides an XML file in addition to the interface file of Contract Accounting (PSCD), which is generated for each

submission run and collections agency. The customer can then enhance the scope of this XML file. You can find detailed information on this in the IMG of **Contract Accounting** in the activity **Define Senders of XML File to Collections Agencies.**

If you want to ensure that the responsible processor is informed about incoming payments on collection items, you can define that the system automatically sends a message when a payment is posted. You can find detailed information on this in the IMG of **Contract Accounting** in the IMG activity **Exclude Notification for Certain Origin Keys** .

For information on the process of submitting receivables, see Submitting Receivables to Collection Agencies .

Processing Submitted Receivables

Use

You can display and change receivables that you have submitted to collection agencies in the transaction **Process Submissions for Collection** .

Features

You can select submitted receivables according to the following criteria:

- Business partner whose receivable(s) you have submitted
- Contract account for which you have submitted items
- Contract for which you have submitted items
- Collection agency to which you have submitted the items
- Document number of the submitted items
- Reference number of the submitted items
- Submission reason, status, date

  External case number at collection agency or of court case (only if you submit receivables using enterprise services; see Communicating with Collection Agencies Using Enterprise Services)

  Debt recovery score (only if you work with debt recovery scores)

In the display, the following information appears for the submitted receivables:

- Posting status of the document/document number/reference document number
- Key and name of the collection agency
- Status and date of the submission as well as the reason
- Submitted amount/payment amount/uncollected amount/currency
- Business partner, contract account
- Payment form ID that the system has assigned to collection items
- External case number at collection agency or of court case (only if you submit receivables using enterprise services; see Communicating with Collection Agencies Using Enterprise Services)
- Debt recovery score, including request and answer date (only if you work with debt recovery scores)

- If an item has been called back from a collection agency, the corresponding callback date and the reason

  You can also see whether the item was sold to a collection agency.

  ⚠ Note that you cannot transfer items submitted for collection.

Processing Collection Items

1. On the SAP Easy Access screen, choose **Account** > **Submit for Collection** > **Process Collection Items**.
2. Enter the selection criteria for the collection items that you want to process. If you select the indicator **Only Current Collection Items**, only collection items that are currently submitted to a collection agency, that is, that have not been reversed or recalled in the past, are displayed.
3. Choose **Continue**.

   The items that correspond to the selection criteria are displayed in the table control.
4. To process individual items, select them and then choose the required processing function. You can use the following functions:

You want to	Activities
Change the submission status of an item manually	If, for example, a customer makes a (partial) payment directly to you for an item that you have submitted, you can change the submission status of this item: To do this, choose **Receivables** > **Display <-> Change** and, using the input help in the **SubSt** column, choose the new status. Save your entry. The system generates a change document. Since the manual change of the submission status of a collection item does not trigger any automatic system activities, you also have to perform any follow-on activities arising from the status change manually. This enables you to prevent data inconsistencies.
Note a reference document number for a submitted item	Choose **Receivables** > **Display <> Change**. Enter the number in the **Reference** column. Save your entry.
Note that an item was sold to a collection agency	Choose **Receivables** > **Display<>Change** and select the **SId** indicator. Save your entry. Setting the **SId** indicator does not trigger any further system activities. It is merely stored in the collection item file for evaluation purposes. If you sell open items of a customer to a collection agency, you should write off these items.
Submit an item released for collection to a collection agency	Choose **Edit** > **Submit Items**. If you use debt recovery scores, you can select the **Ignore DR Score at Submission** indicator. As a result, the debt recovery score does not influence the submission of items. Proceed as described in the section Manual Submission.
Recall an item from a collection agency	Choose **Edit** > **Call Back Items** and follow the procedure described in Manual Callback.
Display an overview of the actions performed for a collection item in the past	Choose **Goto** > **Display History**.

You want to	Activities
Track changes to a collection item submitted	Choose **Extras** → **Change Documents**.
Output selected items in the form of a list	Select the items you want and choose the pushbutton. On the subsequent screen you can use functions for printing, sending, and exporting lists.
Request the debt recovery score of a business partner in SAP Credit Management (provided you are using debt recovery scores)	Select an item of the business partner and choose **Edit** > **Request Debt Recovery Score**.
Display information for an external case number (collection case or court case) for a collection item (assuming you submit for collections using enterprise services; see Communicating with Collection Agencies Using Enterprise Services)	In the collection item display, double click on the number in the **External Case Number** column. The system displays the current processing status of the external case as reported by the collection agency. You can add your own fields to the display for a collection case or court case in event 6264 (sample function module FKK_SAMPLE_6264).

From this transaction you can also call up the mass run for releasing items for collection (see **Environment** > **Release Run**). For more information about the release run, see Automatic Release.

Recalling Submitted Receivables

Use

You can callback receivables that you have already submitted to a collection agency or transfer them to another collection agency if

- The collection agency charged with collecting the receivable(s) has not been able to collect payment within a specific period
- The business partner has paid the receivables directly to you

Prerequisites

In the Implementation Guide for **Contract Accounts Receivable and Payable** under **Business Transactions** > **Submissions to Collection Agencies** you have:

- Defined reasons for callback
- Entered default values for callback reasons

Features

You can call back receivables with the status **Receivable Submitted** (02), **Receivable Partially Paid and Residual Receivable Submitted** (04), **Receivable Partially Paid by Customer** (11), and **Receivable Partially Cleared** (13) as follows:

- Manually
- Automatically
- Automatically during dunning, write-offs, and release

When you call back receivables, the following details are retained in the collection items in the management data:

- Submission status

  Items called back receive the submission status 09 (**Receivable Called Back**). The collection items remain in the system as historical data. Items that you transfer from one collection agency to another receive submission status 01.

- Callback reason

  The system derives the possible callback reasons from the specifications defined in the system settings.

- Callback date

Manual Callback

Use

You want to reset the submission of individual items.

Prerequisites

The items that you want to call back have the submission status **02 (Receivable submitted), 04 (Receivable partially paid and residual receivable submitted), 11 (Receivable partially paid by customer)** , or **13 (Receivable partially cleared).**

Features

In the transaction **Process Submissions to Collection Agency** in the SAP menu under **Account** > **Submission for Collection** > **Process Collection items** , you can call back receivables submitted for a business partner from a collection agency.

Activities

1. Select the required items as described under Processing Collection Items .
2. Select the items that you want to call back and choose **Edit** > **Call Back Items** .
3. In the dialog box that appears, enter the date on which the callback is to apply, and using the input help, choose a callback reason.
4. Save your entries.

Automatic Callback

Use

Using the transaction **Recall Items from Collection Agencies** , you can call back a large number of submitted receivables.

Prerequisite

You have programmed a function module and entered it for event 5065 in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Program Enhancements** > **Define Customer-Specific Function Modules** . This function module

contains the rules for calling back receivables and submitting them to other collection agencies. See the documentation for the sample function module FKK_SAMPLE_5065.

Features

With the program for calling back receivables from collection agencies you can

- Call back all items submitted for a business partner from one or more collection agencies
- Call back all items submitted to a specific collection agency
- Call back all receivables submitted on a specific day from one or more collection agencies

Activities

1. Restrict the selection of the items that you want to call back by contract account, business partner, collection agency, or submission date.
2. Choose  .

You can also run the program in test mode.

Automatic Callback

Use

You want to call back items from a collection agency automatically in other business transactions.

Features

You can call back items automatically in the following business transactions

- Dunning
- Release of items for collection

Activities

Callback during dunning

If you want to call back items automatically in the dunning run, in the Implementation Guide for **Contract Accounts Receivable and Payable** , under **Business Transactions** > **Dunning Notices** > **Configure Dunning Activities** , define a relevant dunning activity and enter the function module FKK_RECALL_FROM_AGENCY_0350 for this activity. The function module is processed in the dunning run and when this dunning level has been reached, calls back items automatically. The module determines the items for the callback and sets submission status **09 (Receivable called back)** . Event 5065 is processed in the module FKK_RECALL_FROM_AGENCY_0350. There you have to implement the rules for the callback and submission to a different collection agency.See also the documentation for the Customizing activity.

Callback during release

In all processes for releasing receivables, that is, also for release during write-off, the moduleFKK_RELEASE_FOR_COLLECT_AGENCY is processed.In this module event 5065 is processed. Here you have to implement

rules for calling back receivables and submitting them to another collection agency. To do this, program a relevant function module and define it in event 5065 in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Program Enhancements** **Define Customer-Specific Function Modules** . If you submit a receivable to a collection agency, in event 5065 you check the effectiveness of this collection agency in collecting receivables and – depending on the result of the check – submit the receivables to an alternative collection agency.

Information for Collection Agencies

Use

You want to inform a collection agency about the recall of items or provide the collection agency with information about items already submitted.

Prerequisites

In Customizing for Contract Accounts Receivable and Payable, under **Business Transactions** → **Submit to Collection Agency** → **Specifications for Forwarding Information to Collection Agencies**, you can define which information is sent to the collection agency.

Features

Using the mass run **Information for Collection Agency**, you can create files for the collection agencies that you use, or send information to them using enterprise services (see Creating Information Files for Collection Agencies). You can thereby inform collection agencies about the following situations:

A business partner has paid the whole or part of the outstanding amount to you directly. The program selects items that have these submission statuses:

- **10 (Receivable Paid Directly by Customer)**
- **11** (**Receivable Partially Paid Directly by Customer**)

You want to call back one or more items because the collection agency was unable to collect them within a specified time limit. The program selects items that have submission status **09** (**Receivable Recalled**).

The master data of one or more business partners has changed. If you make changes to the master data of a business partner, the transaction **Change Contract Partner** records the changes to the business partner data. Based on this recorded data, the mass run transfers this information.

You have reversed the direct payment of a customer for a previously submitted item.

Subsequent to direct payment by a customer you have partially or completely reset the clearing for a previously submitted item.

The direct payment of a customer for a previously submitted item led to a return, so that the receivable is open again.

In the event of a reversal, return, or (partial) reset of clearing, the items concerned receive the status **02** (**Receivable Submitted**) again. In the information file or enterprise service, you can inform the collection agency about the renewed submission of the items - provided you had informed the collection agency about the direct payment from the customer.

You can also create a list with collection items and send this to the collection agency by mail or fax (see Creating Lists with Collection Items).

⚠ You cannot subsequently report the clearing of items in account maintenance.

Activities

Information for Collection Agencies Provided Using Files

You can add data to the areas specified in the information file for the following events:

- Event 5051 Add Header Data to Information File
- Event 5052 Add Item Data to Information File
- Add Event 5053 End Record to Info File

Program the installation-specific function modules using the sample function modules FKK_SAMPLE_5050, FKK_SAMPLE_5052, and FKK_SAMPLE_5053 as references and enter these for the relevant events in Customizing for **Contract Accounts Receivable and Payable** under **Program Enhancements → Define Customer-Specific Function Modules**. See also the documentation for the sample function modules. If you enter an appropriate installation-specific module for event 1799, the information file is created as soon as the mass activity **Information for Collection Agencies** has processed the last interval.

Information for Collection Agencies Provided Using Enterprise Services

In the following events, you can enrich outbound messages in Enterprise Service Request Commissioned Outstanding Collections as Bulk with additional data:

At event 6261 (sample function module FKK_SAMPLE_6261), you can change or add to outbound information for collection payments. Also you can change the distribution of outbound payment amount information (assignment between collection payments and collection units).

At event 6269 (sample function module FKK_SAMPLE_6269), you can distribute outbound amount information from individual collection items to already existing groupings.

At event 6265 (sample function module FKK_SAMPLE_6265), you can fill more detailed customer-specific data in the outgoing message of the enterprise service.

Informing Collection Agencies of Changes After Submission

Use

After you have submitted receivables to a collection agency, you have to inform the collection agency if any of the changes listed below occur:

- The master data of a business partner whose items you submitted has changed.
- A customer has (partially) cleared a submitted item by making a payment.
- A submitted receivable was recalled.
- The clearing of a receivable submitted for collection was reversed.
- The clearing of a receivable submitted for collection was reset.
- A return was posted for a customer payment.

- A submitted receivable was reversed and released by means of dunning, or a submitted receivable was reversed in the dunning history.
- A submitted receivable was written off.

You can use the mass run **Information for Collection Agencies** to gather and send the data related to these changes.

If you use **files** to inform your collection agencies, the system generates an information file for each collection agency.

If you use **enterprise services** to inform your collection agencies, the system sends the information to the collection agencies using enterprise services.

Prerequisites

In Customizing for **Contract Accounts Receivable and Payable** , under **Business Transactions** > **Submit to Collection Agency** > **Specifications for Forwarding Information to Collection Agencies** , you have defined the default values for the selection of the information to be submitted to a collection agency.

Procedure

1. On the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Submit for Collection** > **Information for Collection Agencies.**
2. Assign a date ID and run ID that you can use later to identify the program run.
3. Restrict the selection of the collection items that you want to inform the collection agency about on the tab page **General Selections** . You can restrict the selection by business partner, contract account, company code and/or collection agency.
4. On the **Additional Selection** tab page, you can also restrict which information is to be sent.

   If you are using the file interface, specify the path here for the information file that is to be generated.

   If you are using the service-oriented interface, the system automatically sends the information using enterprise services.
5. Schedule the program run. For more information, see Functions for Scheduling Program Runs .

Creating Lists with Collection Items

Procedure

1. In the SAP menu, choose **Periodic Processing** > **Data for Externals** > **Collection Agencies** > **List of Collection Items** .
2. Restrict the collection items that you want to output in the list according to the required selection parameters. You can use a list view variant to control the preparation of the list.
3. Choose .

Result

The system creates a list that you can process with the standard functions for printing, sending, and exporting ALV lists.

Processing Incoming Information

Use

A collection agency has completed a collection request and informed you either by electronic data media, by letter, by phone, or by enterprise services about the money it was able to collect (fully,partially, or not at all).

Features

You can transfer the incoming information from the collection agency to your system and process it according to the incoming method.

Transferring Information from a File

Use

A collection agency that you are responsible for transfers information about collection items by file.

Prerequisites

If you want to post processing charges from collection agencies automatically, you need to have entered the collection agencies you have requested as business partners in the system.

To enable the system to create payment, check, or credit card lots and thus enable an automatic assignment of the payments reported by the collection agency, the collection agency should make at least one of the following specifications in the report file for each collected item:

- Business partners
- Contract account
- Collected document item
- Payable amount
- Payment form ID that the system generates as an additional payment reference during submission for the collection item

Key Features

Transfer of Data

To transfer the data from the file to your system, on the **SAP Easy Access screen**, choose **Read Collection Agency File** under **Periodic Processing** > **Transfer Data**. The program imports the payment information and checks which collection items are contained in the reported amount:

- Collected/uncollected payments
- Interest and charges that you have debited to your business partners

If the file contains interest and charges, these are automatically posted as interest and charge requests. You can change the specifications required for the posting directly by choosing the **Data for Posting Interest and Charge Requests** pushbutton.

To post the collected payments, the program automatically generates payment lots, check lots, or credit card lots. You can start the lots directly with the transfer run or schedule them as a job. To do so, choose the **Schedule Payment Lot Posting** pushbutton. You can update the status of the collection items when you process the incoming payment in event 0020. See the documentation

for sample function module FKK_SAMPLE_0020. If a submitted item is cleared by direct payment from the customer or during account maintenance (also partial clearing), the system updates the submission status in event 0020 as follows:

- 10: Receivable Paid Directly by Customer
- 11: Receivable Partially Paid Directly by Customer
- 12: Receivable Cleared
- 13: Receivable Partially Cleared

You can write off uncollected and therefore write off uncollectible receivables directly. To do this, choose Write-Off Parameters, set the indicator Write Off Items Directly, and enter the specifications for the posting. The system automatically writes off items that the collection agency reports as not collected in the file.

The program can automatically post the charge that you pay to the collection agency business partner for each collected payment, that is, each data record in the file. To do this, choose the Data for Posting Collection Agency Charges pushbutton and set the Post Collection Agency Charges indicator. Using a function module called at event 5068, you can add the charges items (fixed amount or percentage).

For more information, see the program documentation.

Update of Additional Data During Transfer

If you program your own function modules using the sample function modules mentioned below as a template and enter these in Customizing for Contract Accounts Receivable and Payable under Program Extensions > Define Customer-Specific Function Modules > for the corresponding events, you can extend the following data during the transfer:

- Event 5066: FKK_SAMPLE_5066 – Payment lot header
- Event 5067: FKK_SAMPLE_5067 – Payment lot item
- Event 5068: FKK_SAMPLE_5068 – Processing charges to be paid to the collection agency

See also the documentation for the named sample function modules.

If you enter function module FKK_COLL_AGENCY_PAYMENT in event 0020, the transfer run updates the payment amounts, uncollectible amounts, and the submission status in the management data for collections. The following submission statuses are considered:

- 03 (Receivable Paid)
- 04 Receivable Partially Paid and Outstanding Receivable Submitted)
- 06 Submission of Receivable Failed)

To be able to post the incoming payments transferred by the collection agencies automatically in the system, you must define a separate document type for the posting in Customizing for Contract Accounts Receivable and Payable under Business Transactions > Submit to Collection Agency > Define Specs for Submission to External Collection Agencies >.

Transfer of Information from Enterprise Services

Use

You receive the information below from a collection agency that is working for you. The information is received using enterprise services, and you want to transfer this information to your SAP system.

- Information for assigning collection items to external collection cases/court cases
- Status information about the progress of collection item processing
- Payment information
- Information on uncollectible amounts
- Information on interest and charges that the collection agency collected on your behalf

Prerequisites

You created a business partner and a contract account in the system for each collection agency that works on your behalf. You need the business partner and contract account to be able to post the receivables due from the collection agency that arise from the collected payments. You also have the option of calculating processing charges for the collected amounts, and posting them as credits for the collection agency.

If you create multiple contract accounts for a collection agency, you can specify the contract account that is to be used for posting. In Customizing for Contract Accounts Receivable and Payable, choose **Business Transactions** > **Submit to Collection Agency** > **Define Collection Agencies**.

To post the incoming payments presented by the collection agencies automatically in the system, you must define a separate document type for the posting in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Submit to Collection Agency** > **Define Specs for Submission to External Collection Agencies**.

You defined a clearing account in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Submit to Collection Agency** > **Define Specifications for Processing Collection Agency Information**. When an external collection agency reports payments that it collected from customers, the system uses the clearing account as follows:

- The system clears the affected open receivables on the contract account of the customer. The offsetting entry is made to the clearing account on the debit side.
- The system posts the corresponding receivables to the contract account of the collection agency. The offsetting entry is made to the clearing account on the credit side.

You made specifications for writing off uncollectible receivables. In Customizing for Contract Accounts Receivable and Payable, choose **Business Transactions** > **Submit to Collection Agency** > **Define Specifications for Processing Collection Agency Information**. If you do not make any specifications, then the system uses the standard specifications for write-offs.

Features

If the system receives information about collection items by means of enterprise services, the system does not post the information completely and directly during inbound processing. First the system checks the formal correctness of the inbound data, and then it stores the data in database tables for further processing. The system directly adopts only status changes and hierarchy changes to collection items.

The following transactions are available for further processing the inbound collection agency information.

- Process Collection Agency Information

  To process and post inbound collection agency information, on the SAP Easy Access screen, choose **Account** > **Submit for Collection** > **Process Collection Agency Information**. The collection agency transfers information about outstanding amounts using the enterprise service Change Commissioned Outstanding Collections based on Bulk Confirmation.

The collection agency reports the total payment of the payments collected successfully with a reference ID and also the assignments to the individual items of the end customer receivables. For the total payment, a receivable with this reference ID (XBLNR) is posted to the contract account of the collection agency. If the collection agency later transfers the money with this reference ID in the note to payee, the incoming payment can be assigned using bank statement processing and payment lot processing.

At event 6268, you can distribute inbound amount information, which was reported at the level of external collection cases or court cases (or other groupings), to the individual collection items. This is necessary because further processing of the amounts in Contract Accounts Receivable and Payable is only possible at the level of the collection item. For more information, see the documentation for the sample function module FKK_SAMPLE_6268.

So that the collected payments can be assigned to the correct collection items, the program generates a payment lot, which the system posts directly. The system uses the clearing account of the collection agency as the offsetting account for the clearing payments. You can update the status of the collection items when you process the incoming payment in event 0020. To do this, see the documentation for sample function module FKK_SAMPLE_0020. If a submitted item is cleared by direct payment from the customer or during account maintenance (also partial clearing), the system updates the submission status in event 0020 as follows:

- 10: **Receivable Paid Directly by Customer**
- 11: **Receivable Partially Paid Directly by Customer**
- 12: **Receivable Cleared**
- 13: **Receivable Partially Cleared**

If the collection agency reports interest and charges that it successfully collected from customers on your behalf, the system posts them as statistical interest requests and charges requests on the contract account of the customer. The system immediately clears these interest requests and charges requests using a payment lot.

You can write off uncollected and therefore uncollectible receivables directly by setting the **Write Off Items Directly** indicator. The system then automatically writes off items that the collection agency reports as not collected.

In some cases you pay the collection agency a charge for each collected payment (either a fixed amount or a percentage). You can have the system post these charges automatically. If you set the **Post Collection Agency Charges** indicator, the system automatically posts these charges as credits to the collection agency partner. You can supplement the charges items using a function module (sample function module FKK_SAMPLE_5058) called in event 5068.

If you enter function module FKK_COLL_AGENCY_PAYMENT in event 0020, the transfer run updates the payment amounts, uncollectible amounts, and the submission status in the management data for collections. The following submission statuses are considered:

- 03 (**Receivable Paid**)
- 04 **Receivable Partially Paid and Outstanding Receivable Submitted**)
- 06 **Submission of Receivable Failed**)

For more information, see the program documentation.

- Post Collection Agency Receivables

  You post collected payments reported by collection agencies as summarized receivables to the contract account of the collection agency. On the SAP Easy Access screen, choose **Account** > **Submit for Collection** > **Post Receivable for Collection Agency**. The system uses the clearing account of the collection agency for the offsetting posting. The system summarizes the receivables based on the grouping key for collection payments and the currency key. The grouping key groups together a package of collection payments that were collected by an external collection agency and transferred by them to your bank account. The grouping key is used for the reconciliation of collection payments between the SAP system and the external collection agencies. The collection agency is always required to enter a grouping key for a collection payment.

Update of Additional Data During Transfer

If you program your own function modules using the sample function modules mentioned below as a template and enter these in Customizing for Contract Accounts Receivable and Payable under Program Extensions > Define Customer-Specific Function Modules for the corresponding events, you can do the following during the transfer:

- At event 6255 (`FKK_SAMPLE_6255`), perform additional activities
- At event 6270 (`FKK_SAMPLE_6270`), extend the payment lot header
- At event 6271 (`FKK_SAMPLE_6271`), extend the payment lot item

See also the documentation for the named sample function modules.

Transferring Verbal/Written Data

Use

A collection agency that you use gives you information about collection items by mail, letter, or telephone.

Activities

If the collection agency provides information either in writing or by telephone, you post the incoming payments, interest, and charges contained in the collected payments manually. To do this, enter a payment advice note in the transaction Payment Advice Note from Collection Agency (SAP menu: Payments > Process Payment Advice Note > From Collection Agency).When you receive the payment, the payment lot selects the items to be cleared using the payment advice number.

Monitor for Collection Services

Use

There is a transaction monitor for collection services for the outbound and inbound information that you send or receive using enterprise services (see SAP Easy Access screen: Account > Submit for Collection > Collection Services Monitor).

Features

You can limit the selection to one collection agency on the individual tab pages, with the exception of the Monitor XML Msg tab page. To limit to one collection agency, click on the collection agency you want on the left side of the screen. Then the functions described below are available on the individual tab pages:

Tab Page	Functions
Overview	For the selected time period, the overview shows the total number for each individual status of the data, as follows: • Outbound - Sent displays the data sent using enterprise services. • Outbound - Not Sent displays the data not sent using enterprise services. This number does not represent errors. What it actually means is that the sending of the data was deliberately suppressed in event 6260. However, the data should be saved in FI-CA so that it is available for other processes. When submission groups are created at

	event 6260, it could, for example, be your wish that information is sent only at the level of submission groups (consisting of multiple collection items). You do not want information to be sent at the level of collection items. Nonetheless, for other processes, the system needs the information about which collection items belong to which submission groups. • **Inbound - Open** shows the data that was received using enterprise services, but which was not yet posted in the system (see Transfer of Information from Enterprise Services). • **Inbound - Processed** shows the data that was received using enterprise services, and which was successfully posted in the system (see Transfer of Information from Enterprise Services). • **Inbound - Error** shows the data that was received using enterprise services where errors occurred during the update to the system. You can trigger posting again for this data using the appropriate transaction (see Transfer of Information from Enterprise Services). • **Inbound - Discarded** shows the data that was received using enterprise services that you do not want to post in the system because the information contained about the amounts is not correct. You can set the status in the monitor for collection services (see below). The tab page for the selected period shows the status of the grouping keys for collection payments. The grouping key groups together a package of collection payments that were collected by an external collection agency and transferred by them to your bank account. For each grouping key, the system shows what amount was already posted as a receivable due from the given collection agency (see Transfer of Information from Enterprise Services) and what amount was not yet posted. You can jump directly to the posted receivable documents.
Monitor XML Messages	Here you can jump to the monitor for processed XML messages. You can limit the display of XML messages to one enterprise service for collections and to one time period. You can also jump to the Postprocessing Desktop. The system checks the XML messages of inbound enterprise services for errors during processing. The system transfers incorrect XML messages to the Forward Error Handling Framework. These messages can be displayed and processed in the Postprocessing Desktop.
Collection Units	A collection unit groups collection items into a unit that can be handled collectively during collection of overdue receivables by external collection agencies or in the course of legal dunning proceedings. The following grouping levels are allowed for collection units in Contract Accounts Receivable and Payable: • Collection item in Contract Accounts Receivable and Payable In the standard system, the system sends information at the level of collection item managed in FI-CA using enterprise services. In addition, the system can directly process information that it received at the level of this collection item using enterprise services. • Collections Submission Group Collections submission groups can be formed at event 6260 when items are submitted to collections. For instance, you could assign interest and charge items to the appropriate main receivable item, thereby grouping them together in a submission group. (For more information, see Submitting Receivables to Collection Agencies.) • External Collection Case/Court Case The external collection agency can group submitted collection units into external collection cases. In the case of legal dunning proceedings, submitted items can be grouped into court cases. An external case related to just one business partner from

	whom the outstanding payment is to be collected. However, one business partner can have more than one external case. On the **Collection Items** tab page, you can track the status of the data that was sent or received for the individual collection units. You can limit the selection by the individual status, business partner, date, and ID of the collection unit. You can jump to the XML message that contains the sent or received data. In addition, for incorrect data with the status **Inbound - Open** or **Inbound - Error**, you can set the status **Inbound - Discarded**. The system then excludes this data the next time processing takes place. For data with the status **Inbound - Discarded**, you can reset the status **Inbound - Open** at any time.
Collection Payments	A collection payment is a payment for which collection was requested outside of the company by submitting to an external collection agency or to legal dunning proceedings. If the customer pays your company directly for a receivable you already submitted to collections, then this payment is also considered a collection payment. Clearing processes that affect payments (such as account maintenance) are also included under collection payments. The following collection unit categories are possible: • Inhouse Collection Payment An inhouse collection payment is a collection payment that is received directly by the company where the receivable originated. • External Collection Payment An external collection payment is a collection payment that is collected by an external collection agency on behalf of the originating company, and this payment is transferred to the originating company. On the **Collection Payments** tab page, you can track the status of the data that was sent or received for the individual collection payments. You can limit the selection by the individual status, business partner, date, and ID of the collection payment. You can jump to the XML message that contains the sent or received data. In addition, for incorrect data with the status **Inbound - Open** or **Inbound - Error**, you can set the status **Inbound - Discarded**. The system then excludes this data the next time processing takes place. For data with the status **Inbound - Discarded**, you can reset the status **Inbound - Open** at any time.
Collection Assignments	A collection assignment specifies the collection units to which a collection payment refers. On the **Collection Assignments** tab page, you can track the status of the data that was sent or received for the individual collection assignments. You can limit the selection by the individual status, business partner, date, and ID of the collection payment. You can jump to the XML message that contains the sent or received data. In addition, for incorrect data with the status **Inbound - Open** or **Inbound - Error**, you can set the status **Inbound - Discarded**. The system then excludes this data the next time processing takes place. For data with the status **Inbound - Discarded**, you can reset the status **Inbound - Open** at any time.
Collection Hierarchy	Collection units can form a hierarchy. For instance, a collection submission group can be assigned to an external collection case. The **Collection Hierarchy** tab page displays the hierarchy for collection units of a business partner. Since the collection unit is always assigned to only one business partner, you always access the hierarchy by entering a business partner. (Collection units cannot apply to more than one business partner.) If you limit the selection to IDs of certain collection units, the system displays all collection units that have a direct relationship in the hierarchy to the selected collection units.

Debt Recovery Score

The debt recovery score provides an assessment of the probability that overdue payments for a collection case assigned to a collection agency can be collected.

The debt recovery score is thereby a representation of the likelihood that open items will be paid by the business partner. It is therefore an alternative to using the credit standing score from external credit agencies as an assessment value. The debt recovery score assists you in making decisions about submitting items of business partners to an external collection agency or an external dunning system.

Determining the Debt Recovery Score

Use

You want to refer to the debt recovery score when you submit receivables to external collection agencies or to an external dunning system.

Prerequisites

You activated the use of the debt recovery score. To do so, in Customizing of Contract Accounts Receivable and Payable, choose **Business Transactions** > **Submit to Collection Agency** > **Define Specifications for Debt Recovery Score**.

Activities

The debt recovery score is determined by SAP Credit Management (FIN-FSCM-CR) by means of enterprise services.

You can **manually determine** the debt recovery score of a business partner:

- When manually releasing items for collection

  On the SAP Easy Access screen, choose **Account** > **Submit for Collection** > **Release Items for Collection**. In the **DRS** (debt recovery score) column, select the indicator for the collection items for which you want to determine the debt recovery score of the business partner. Select the collection items and release them by choosing the pushbutton **Flag for collection order**. At event 6250, you can set a default value for the indicator in the **DRS** (debt recovery score) column. Sample function module FKK_SAMPLE_6250 sets the indicator for all business partners.

- When you process collection items

  On the SAP Easy Access screen, choose **Account** > **Submit for Collection** > **Process Collection Items**. Select the collection items, for which you want to determine the debt recovery score for the business partner. In the menu, choose **Edit** > **Request Debt Recovery Score**.

You can have the system **automatically determine** the debt recovery score in a two-step procedure.

- During automatic release of items

  On the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Submit for Collection** > **Release Run**. (For more information, see Automatic Release). At event 6250, you can determine if the debt recovery score should be requested for a given business partner. In the standard system, the sample function module FKK_SAMPLE_6250 specifies that the debt recovery score is determined for every business partner.

- During dunning

  If you want to determine the debt recovery score for business partners during the dunning run, define a relevant dunning activity and enter the function module FKK_COLL_AGENCY_RELEASE_0350 for this activity. In Customizing for Contract Accounts Receivable and Payable, choose **Business Transactions** > **Dunning** > **Configure Dunning Activities**.

The system notes the request for the debt recovery score during dunning and automatic release.

In the second step, the system determines the debt recovery score using enterprise services. Execute the mass run to prepare for master data changes from external systems using the selection parameters Source CR (Credit Management) and type 006 (Request Debt Recovery Score). On the SAP Easy Access screen, choose Periodic Processing > Forward Data to SAP Credit Management > Prepare Master Data Changes from External System.

Displaying the Debt Recovery Score

Use

You want to see the debt recovery score of a business partner.

Features

You can display the debt recovery score in the following transactions:

- Release Items for Collection (SAP Easy Access screen: Account > Submit for Collection > Process Collection Items)
- Management of Submitted Items (SAP Easy Access screen: Account > Submit for Collection > Release Items for Collection)
- Write Off Items (SAP Easy Access screen: Account > Write Off Items)

Considering Debt Recovery Score in Submission of Receivables

Use

You want to refer to the debt recovery score when you submit receivables to external collection agencies or to an external dunning system.

Prerequisites

You activated the function for the evaluation of the debt recovery score. To do so, in Customizing for Contract Accounts Receivable and Payable, choose Business Transactions > Submit to Collection Agency > Define Specifications for Debt Recovery Score. In the activity following that, you can define variants for checking the debt recovery score.

Activities

At event 5058, you can can use the debt recovery score for additional checks, before you submit items to collections manually or in a mass run using the following transactions:

- Submit Items for Collection (on the SAP Easy Access screen under Account > Submit for Collection)
- Release Run (on the SAP Easy Access screen under Periodic Processing > For Contract Accounts > Submit for Collection)

You can define variants for checking the debt recovery score in Customizing for Contract Accounts Receivable and Payable under Business Transactions > Submit to Collection Agency > Define Variants for Check of Debt Recovery Score. You can use these variants when you submit receivables; they control how the debt recovery score is used. Read the documentation for this Customizing activity.

At event 6251, you can define postprocessing for items that were not submitted to collections (for instance, due to the debt recovery score).

At event 6252, you can fill customer-specific fields in the outbound message of the enterprise service for requesting the debt recovery score. These are fields which were included in the message type using a data type enhancement.

At event 6253, you can transfer data to your application from customer-specific fields (that were included in the message type using a data type enhancement) from the inbound message of the enterprise service for the debt recovery score response.

Transferring Open Business Partner Items

Purpose

Transferring receivables or credits is necessary if a business partner assumes the rights and obligations of another business partner, such as in the case of inheritance or taking on liabilities. From time to time it might also be necessary to transfer receivables or credits within different contracts or contract accounts of the same business partner. This is the case, for example, if a customer terminates a contract, but the remaining receivables are to be collected together with the receivables for the new contract.

Features

During the transfer, the system clears the selected items and posts them to the target account. Most of the posting information is transferred. The new items only differ from the original items in their origin and posting date. The receivables account, due date, transaction name, and dunning and interest information remain the same for these items. You maintain transactions for the transferred items in Customizing for Contract Accounts Receivable and Payable under **Business Transactions → Transfers → Define Transactions for Transferring Items** . During the transfer, the system does not perform account determination again for the new items. However, this makes it easier to read the account balance display, since you can recognize the transferred items directly from the transaction and transaction text. In event 5110, you can define whether existing payment and dunning locks are retained. If the target account for the transfer posting is a contract account that belongs to a collective bill account, the collective bill is updated automatically.

You can transfer:

Individual items – receivables and credits (see also the explanations for transfer postings in Clarifying Credits)

All items of a business partner

All items of a contract account

All items of a contract

Items from an installment plan In this case, existing installment plans are deactivated automatically and a new installment plan is created for the amount of the remaining open, original receivables.

Items that belong to a collective bill The collective bill is updated automatically.

You can also reverse the transfer document.

For more information about transferring, see SAP Note 616098.

Constraints

You can only transfer open receivables or credits. When the transfer is made, the system does not determine any new G/L accounts for the posting. This means that no new postings are made to receivables and revenue accounts. If the original contract account also contains items assigned to contracts, you have to enter a target contract for each of the contracts determined by the transaction. You can only carry out the transfer without specifying a target contract if the target contract account is not based on contracts. If the original contract account has postings that are only assigned to contract accounts, then the system also posts them in this way in the transfer document. In this case, specifying a target contract is irrelevant.

In event 5100 you can override the stipulation that you have to enter a target contract for items that were originally posted to a contract.

Transferring Business Partner Items

Prerequisites

The items that you want to transfer must be open.

You have to define transfer reasons, specifications, and proposal values in the Implementation Guide for **Contract Accounts Receivable and Payable** under **Business Transactions** > **Transfers** .

Procedure

1. Choose **Account** > **Transfer Items** .
2. Under **Selections** enter the business partner and the contract account or the contract for which you want to make the transfer.

   Alternatively you can enter the document number or the reference document number of the document that you want to transfer post directly.
3. Under **Transfer Target,** enter the business partner and the contract account or contract to which you want to make the transfer.
4. Under **Transfer Specifications** check the posting specifications. Make any corrections, if necessary, and enter the transfer reason.
5. Choose **Select Items** in the application toolbar.
6. On the processing screen that follows, activate the items you want to transfer.
7. Save your entry.

Result

The transfer document is created, and you return to the initial screen. The number of the transfer document is displayed in the status line.

Deferred Revenue Postings

Purpose

When a receivables document is posted, the system automatically posts revenues. These revenues become effective in the posting period in which they are actually posted. This means that these revenues are assigned to the posting period in which they were posted.

The regulations in some countries require that revenue accruals/deferrals have to be entered in the general ledger for revenues that do not become effective until some date in the future. Revenues become effective in the future, if the service upon which the revenue is based is actually performed in the future. Recognition of revenues is therefore independent of invoicing. Revenues and accrued/deferred revenues must be posted to separate general ledger accounts. Accrual/deferral is performed using deferred revenue accounts.

There are three types of revenue recognition:

- Standard revenue recognition
- Time-based revenue recognition
- Event-based (service-oriented) revenue recognition

In the case of **standard revenue recognition** , posting to the revenue account takes place at the same time the receivable document is posted.

In the case of **time-based revenue recognition** , when the receivable document is posted, the dates on which the corresponding partial revenues are to be transferred from the deferred revenue account to the revenue account are already set.

In contrast to this procedure, in the case of **event-based revenue recognition** , it is the rendering of the actual service that leads to recognition of the partial revenues.

The following example serves to clarify the difference between time-based and event-based revenue recognition:

 On 12/31/08 a business partner signs a maintenance contract amounting to 2,400. The machine is to be serviced regularly on the 15 th of every month during the year 2009. The business partner receives the invoice on 12/31/08.

In the case of **time-based revenue recognition** , the partial amounts become revenue-effective on the following dates:

1/15 revenue-effective 200

2/15 revenue-effective 200

: : :

12/15 revenue-effective 200

In the case of **event-based revenue recognition** , revenue recognition is determined by the service being provided. If the service engineer services the machine on 02/01 instead of on 01/15, in the case of event-based revenue recognition, revenue would not become effective until 02/01. This means that the partial revenue of 200.-- would not be transferred from the deferred revenue account to the revenue account until 02/01/09.

Posting Time-Based Deferred Revenues

Use

You post time-based deferred revenues when: you are required to differentiate between revenue and deferred revenue in the general ledger, and the service from which the revenue arises will not be provided until some time in the future, and the dates for the revenue recognition are already known.

Integration

You can display the data records that were included in a transfer run for deferred revenue. You can create totals for these records according to different attributes and thereby account for the totals posted in the general ledger. On the SAP Easy Access screen, choose Periodic Processing > Closing Preparation > Receivable/Revenue Adjustment > Display Transferred Deferred Revenues. For more information, see the program documentation.

As an alternative, you can reach the function from the menu of the transfer run for deferred revenue under Environment > Line Items.

Prerequisites

You have carried out the following activities in Customizing for Contract Accounts Receivable and Payable under Business Transactions > Deferred Revenue Postings:

- Maintain Account Determination for Time-Based Deferred Revenue Postings
- Maintain Default Values for Transfer Posting Run Here it is especially important that you entered the document type for the documents to be generated by the transfer run.
- Exchange of No Longer Valid Account Assignments In case the account assignments are already closed, you entered a replacement profit center or replacement cost center in the activities Assign New Cost Center and Assign New Profit Center.

Features

When you post a document involving time-based deferred revenues, the system creates a trigger for the future transfer posting dates, in addition to the document itself. The system also updates a trigger for the total amount. This trigger transfers the total amount from the revenue account to the deferred revenue account when the document is posted. The document itself contains the account assignment of the revenue account.

For the example described in the previous section, in which a business partner signs a maintenance contract amounting to 2,400 and involving service on the 15th of each month, the system would make the following postings:

Posting Data

Date	Posting	Amount	Time
31.12.2008	Debit receivables, credit revenue	2400,-	Posting of Document
31.12.2008	Debit revenue, credit deferred revenue	2400,-	Transfer Posting (Mass Activity)
15.01.2009	Debit deferred revenue, credit revenue	200,-	Transfer Posting (Mass Activity)
15.02.2009	Debit deferred revenue, credit revenue	200,-	Transfer Posting (Mass Activity)
...	...	...	...

If you reverse a document with deferred revenues, the system automatically reverses the trigger records also. For any postings already made in the general ledger, the system creates new trigger records with reversed accounts (revenue account/balance sheet account).

You can display the triggers for deferred revenues in the document display. To do so, in the menu of the document display, choose Extras > Deferred revenues. There you can display the following attributes for deferred revenue postings:

- Transfer posting dates
- Account assignment characteristics
- Reconciliation keys
- Indicator specifying whether the trigger record was reversed
- Indicator specifying whether the trigger record was posted

ℹ Note

Note for the industry component Insurance

At event V800, you can have the system distribute the total amount based on revenue recognition considerations. The system executes the actual deferred revenue posting using the mass activity for transfer posting of deferred revenues.

Activities

1. To transfer revenue from the deferred revenues account to the revenue account in the general ledger, you execute the mass activity **Transfer Posting Run for Deferred Revenue** at periodic intervals. On the SAP Easy Access screen, choose **Periodic Processing** > **Closing Preparation** > **Receivable/Revenue Adjustment** > **Transfer Deferred Revenues**.
2. Enter a date and an ID that you can use to identify the run later.
3. On the **General Selections** tab page, restrict the selection of the documents to be transferred. To run a simulation transfer first, set the indicator for it.
4. If you want to reverse the postings made by a transfer posting run, enter the parameters of the run on the **Reversal Parameters** tab page.
5. Schedule the program run. For more information, see Functions for Scheduling Program Runs.

ℹ Note

For accounting reasons, it can be necessary to already post certain deferred revenues in the current period despite a posting date in the future. To do so, set the **Use Fixed Alternative Posting Date in FPDR** indicator in even 1142. The system then displays the **Always Use Alternative Posting Date** indicator in the transaction for transferring deferred revenue FPDR. If you set this indicator and enter a transfer date, the system uses this alternative posting date not only for the triggers for deferred revenue with a posting date in a closed posting period, but also for all transfers.

Posting Event-Based Deferred Revenues

Use

You post time-based deferred revenues when: you are required to differentiate between revenue and deferred revenue in the general ledger, and the service from which the revenue arises will not be provided until some time in the future, and the dates for the revenue recognition are already known.

For event-based deferred revenues, neither the time nor amount for revenue recognition is known at the time of invoicing. This means that each event revenue recognition must be reported to the SAP system, along with the date and amount.

Prerequisites

You have carried out the following activities in Customizing for Contract Accounts Receivable and Payable under Business Transactions > Deferred Revenue Postings >:

- Maintain Account Determination for Event-Based Deferred Revenue Postings
- Maintain Default Values for Transfer Posting Run

  Here you can enter the document type for the documents generated by the transfer run.
- Exchange of No Longer Valid Account Assignments

  In case the account assignment is already closed, you can enter a replacement profit center or replacement cost center in the Assign New Cost Center or Assign New Profit Center IMG activities.

Features

The functions for event-based deferred revenue use the following database tables, belonging to three different categories:

- The header table DFKKDEFREV_HEAD contains an entry for each G/L posting for which the functions for event-based deferred revenue should be used.
- The item table DFKKDEFREV_POS contains the information for the initial transfer from the revenue account to the G/L account for deferred revenue.
- The trigger tables DFKKDEFREV_TRIG and DFKKDEFREV_TRIGE contain the information about the reported events (revenue recognition (DFKKDEFREV_TRIG) check date (DFKKDEFREV_TRIGE)) that is processed by the transfer run for deferred revenues.

SAP provides the following function modules that you can use to implement the functions for event-based deferred revenues:

- FKK_DEFREV_BY_EVENT_CREATE

  The module registers the desired G/L items when an FI-CA document is posted, and thereby activates further processing of these G/L items in the context of event-based deferred revenues.
- FKK_DEFREV_BY_EVENT_RAISE

  The module reports the events (with date and amount).

In the standard system, the system calls up the function modules from the invoicing. Invoicing documents arise from billing documents, which in turn can be created using event detail records (EDRs). When an event is reported to the SAP system, the system generates a trigger table entry (DFKKDEFREV_TRIG/DFKKDEFREV_TRIGE). The transfer run for deferred revenues processes these entries.

ⓘ Note

It is possible that an event could be reported for an assignment key, although no related assignment key exists in the associated header entry (DFKKDEFREV_HEAD) in the SAP system. In this case, the transfer posting run processes the relevant event only when the associated header entry exists.

If you reverse a document with deferred revenues (DFKKDEFREV_POS), the system automatically reverses the trigger records also. For any postings already made in the general ledger, the system creates new trigger records with reversed +/- signs.

Test of Function

Use the report TEST_DEFREV_TABLE_ENTRIES to test the processing of event-based deferred revenues. Using this report, you can create a list of all DFKKDEFREV* table entries for an assignment key. To test the reporting of an event (revenue recognition),

you can use report TEST_DEFREV_RAISE_EVENT.

Data Display

In the document display transaction, you can display the most important attributes of deferred revenue postings by choosing Extras > Deferred Revenues.

Proof of Posting totals in the General Ledger

You can display the data records that were included in a transfer run for events-based deferred revenue. You can create totals for these records according to different attributes and thereby account for the totals posted in the general ledger. To do this, in the SAP Menu, choose Periodic Processing > Closing Preparation > Receivable/Revenue Adjustment > Display Deferred Revenues. For more information, see the program documentation.

As an alternative, you can reach the function from the menu of the transfer run for deferred revenue under Environment > Line Items.

Transferring Event-Based Deferred Revenue

Use

Using a mass activity that you execute regularly, you can transfer from the deferred revenue account to the revenue account in the general ledger.

Features

The mass activity executes the following steps:

1. The system converts the reported events (entries in tables DFKKDEFREV_TRIG and DFKKDEFREV_TRIGE) into item entries (DFKKDEFREV_POS).

   At the same time, the system adjusts the relevant fields in the table containing the header entries (BETRA, BETRO, ENDIN, CHCKD in table DFKKDEFREV_HEAD).

2. Then the system processes the entries in the item table (DFKKDEFREV_POS) and generates transfer documents. The following transfers are possible:

   - Posting from the revenue account to the account for deferred revenues (for example, initial transfer, which transfers the entire revenue from the revenue account to the account for deferred revenues)
   - Posting from the account for deferred revenues to the revenue account (for example, at revenue recognition)

Activities

1. On the SAP Easy Access screen, choose Closing Preparation > Receivable/Revenue Adjustment > Event-Based Deferred Revenues > Transfer Run.
2. Enter a date and an ID that you can use to identify the run later.
3. On the General Selections tab page, restrict the selection of the documents to be transferred. To run a simulation transfer first, set the indicator for it.
4. Schedule the program run.

   For more information, see Functions for Scheduling Program Runs.

Adjustment Run

Use

You want to report already recognized revenues.

Features

You report already recognized revenues using the adjustment run - assuming the feeder system did not already do so. On the SAP Easy Access screen, choose Periodic Processing > Closing Preparation > Receivable/Revenue Adjustment > Event-Based Deferred Revenues > Adjustment Run.

Example

- The end of a header entry for an assignment key (DFKKDEFREV_HEAD-ENDIN = 'X') is reached or the check date (DFKKDEFREV_HEAD-CHCKD) is past.
- The remaining amount that is still to be transferred (DFKKDEFREV_HEAD-BETRA) is not zero.

The adjustment run offers the following options at event 1146 for each selected header entry:

- Report the amount that is still to be transferred

  The system creates an entry in table DFKKDEFREV_TRIG.

- Adjust the check date

  The system creates an entry in table DFKKDEFREV_TRIGE.

- Process manually

  The user decides, for each header entry, if a new check date is set or if the amount still to be transferred is reported.

  You should use this function only for test purposes, since it is not suitable for processing mass data.

The adjustment run generates the events that are processed by the next transfer posting run. We recommend that you execute the adjustment run immediately after processing the transfer posting run.

Write-Offs and Event-Based Deferred Revenue

Use

You want to write off documents for which the system has posted event-based deferred revenues.

Activities

To take the event-based deferred revenue into account when you write off documents for which you posted event-based deferred revenue, proceed as follows:

- Register function module FKK_DEFREV_BY_EVENT_WOFF_0020 at event 0020.
- Register function module FKK_DEFREV_BY_EVENT_WOFF_0030 at event 0030 in Customizing under Contract Accounts Receivable and Payable > Program Enhancements > Define Customer-Specific Function Modules.

If you register these function modules, then, when you write off amounts, events (DFKKDEFREV_TRIG) are automatically reported to the SAP system. These events contain, as information, the write-off document that was created at the time of the write-off. These events report the write-off amount proportionally to the relevant assignment keys.

These function modules are not registered in the standard system.

> **Note**
>
> If you do not want the write-off process to influence the processing of event-based deferred revenues, then do not register these two function modules at events 0020 and 0030.

To write off items, on the SAP Easy Access screen, choose **Account** > **Write Off Items**. (For more information, see Writing Off Items).

Revenue Distribution

Purpose

In addition to managing your own receivables, you can use the FI-CA component **Revenue Distribution** to manage receivables for third parties. There are two variants for revenue distribution in Contract Accounts Receivable and Payable:

- Classic revenue distribution
- Enhanced revenue distribution

Features

Some examples of situations in which you collect and forward revenues for third parties include:

- Under the auspices of cooperation between government agencies
- Within the deregulated telephone market
- For premium-rate telephone numbers and similar services
- When contracted by other companies or government authorities

Revenue distribution ensures that the amounts received are forwarded to the final recipients for whom they are intended.

Documents that contain receivables for third parties are designated as original documents. Revenue distribution posts distribution documents that show the corresponding amounts for the final recipient.

Classic revenue distribution can be used solely to distribute incoming payments that clear a receivable for a third party. When you post a receivables item of this kind, you have to specify the contract account of the final recipient to which the payment is to be distributed. This means that, in the standard system, exactly one final recipient receives the payments assigned to a receivables item. (However, you can split the amount among several final recipients using event 5400.)

In the standard system, with **enhanced revenue distribution**, you distribute assigned payments (receivables items cleared by payment). However, it is also possible for you to distribute unassigned payments (payments on account with a subtransaction designated as relevant for payment) and expected revenues (items that are still open, however no unassigned payments).

For expected revenues and unassigned payments, the system runs an estimated distribution. You have to estimate the distribution ratios of the final recipients in advance.

In contrast, the system always distributes assigned payments as final, since you can determine the distribution ratios uniquely in advance.

ℹ Note

You can use enhanced revenue distribution in parallel with classic revenue distribution. However, a given original line item can only be distributed in one way – either with classic revenue distribution or enhanced revenue distribution. If data is defined for both classic and enhanced revenue distribution for a one original line item, classic revenue distribution overrides enhanced revenue distribution. Therefore, make sure that in classic revenue distribution, you do not automatically derive the final recipient for the line items that you want to distribute with enhanced revenue distribution.

Classic Revenue Distribution

Purpose

You manage receivables for third parties and want to forward incoming payments to the final recipients.

Prerequisites

You have made the following specifications for the distribution of revenues in Customizing for **Contract Accounts Receivable and Payable** under **Business Transactions** > **Revenue Distribution:** >

- **Define Specifications for Deriving Final Recipient**
- **Define Specifications for Revenue Distribution**
- **Define Main and Subtransactions for the Distribution Posting**
- **Define Specifications for Invoicing** If you want to clear distribution documents against other documents during invoicing and create the corresponding invoices for the recipients, you must activate the distribution documents for invoicing in Contract Accounts Receivable and Payable. For more information, see the documentation of the Customizing activity.

Process Flow

1. When you post the invoice, you can enter the final recipient in the open items manually or have the system do this automatically in an installation-specific function module processed in event 0045. SAP delivers the sample function module FKK_SAMPLE_0045. Read the documentation for the module and define your function module in Customizing for **Contract Accounts Receivable and Payable** under **Program Enhancements** > **Define Customer-Specific Function Modules** > . SAP delivers function module FKK_REVENUE_DIST_0045 for automatic recording of the final recipient in FI-CA open items. Read the documentation for the function module.

2. Using the transaction **Mass Activity: Revenue Distribution** , select the payments in the system to be distributed to the final recipients and, for example, select the open receivables for final recipients caused by a clearing reset. The system creates a history (table DFKKRDI). When a payment is being distributed, the system adds an entry with an empty correction indicator to the history table. After a clearing reset for a payment that has already been distributed, an entry with correction indicator **X** is added with an opposite +/- sign since this amount has to be recovered from the final recipient. For a reversal and write-off of original receivables, the system creates an entry with the correction indicator **R** in the history table. The entries in the history are not included in the distribution posting to the final recipient. They are used as a comment and can be evaluated using customer-specific programs.

   Using an installation-specific function module in event 5415, you can exclude individual documents or line items from revenue distribution. For example, you can allow a period of 4 weeks before you forward a payment received to the final recipient.

In addition, using an installation-specific function module processed in event 5400, you can influence the distribution of revenues. The event is called up individually for eachreceivable amount that the main program recognizes as potentially to be distributed. You can distribute revenues as follows:

- One receivable amount to several final recipients
- Only part of the amount of the original receivable to one or more final recipients

The sample function module FKK_SAMPLE_5400 distributes 100% to the final recipient.

Assume that you want to determine the amount that is to be distributed to a final recipient - regardless of whether or not the receivable items are paid or are still open. In that case, set the **Simulate Assigned Payments** indicator in the mass activity for revenue distribution. (On the SAP easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Revenue Distribution** > **Distribute Revenues.**) The system then simulates all open receivables items (based on the selection criteria) as assigned payments (cleared by payment) and it writes corresponding simulation entries to table DFKKRDI (correction indicator **S**). The simulation entries have no influence on the distribution documents to be created. The simulation entries can be used only for analyzing the revenue distribution. The system can evaluate the entries using the report **Analysis of Revenue Distribution Based on Original Documents** (see Analysis of Revenue Distribution). If there is an incoming payment later for the open receivables items, the next time you execute the mass activity for revenue distribution, the system deletes the simulation entries and adds real entries to table DFKKRDI.

Only an update run of the mass activity for revenue distribution can create simulated assigned payments.

At event 5400, you must make sure that items cleared by payment and open items are distributed evenly, so that there are no differences between assigned payments and simulated assigned payments.

3. After that, you execute the mass activity for posting distribution documents. This activity posts the actual distribution of revenue (incoming payments) to the final recipients. (On the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Revenue Distribution** > **Post Distribution**). From the amounts to be distributed for each final recipient, this program creates totals. The program divides these totals into separate totals for payments and claims for repayment. It also divides the totals using summarization criteria, such as currency or main and subtransaction. For each total created this way, the system posts a distribution document. In the revenue distribution table (DFKKRDI), the revenues distributed with each document are stored in the **Distribution Document Number** field. The summarization criteria are contained in structure FKKRDFINAM, which you can add to as needed. By creating these totals, the system reduces the number of open items on the account of the final recipient.

   For individual cases, you can suppress the creation of totals for the documents and post individual documents. To do this, you have to set the indicator for posting individual documents in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Revenue Distribution** > **Define Specifications for Deriving Final Recipient** . If the indicator is selected, the mass activity for revenue distribution sets an indicator in the distribution table DFKKRDI. When you post an individual document, the system transfers the reference document number and the classification key - if these were added to distribution table DFKKRD - to the distribution document.

   Since revenue distribution is based on totaling of a large number of documents, for performance reasons, you should only use the individual posting option for individual cases.

   If the **Negative Posting** function is active at company code level, then the system enters adjustment records in distribution table DFKKRDI with the **Negative Posting** indicator in the mass activity for revenue distribution. The mass activity for posting distribution documents does not total the revenue to be distributed and correction records with the **Negative Posting** indicator. Instead, the mass activity posts these in separate documents. In this process, adjustment records are posted negatively if you activated negative postings for the document type used.

   We recommend that you no longer use the report **Revenue Distribution: Create and Post Documents** (RFKKRD00) after Release 6.04. Instead, we recommend that you use the mass activity for posting distribution documents. (On the SAP Easy Access screen **Periodic Processing** > **For Contract Accounts** > **Revenue Distribution** > **Post Distribution**).

Enhanced Revenue Distribution

Use

You manage receivables for third parties and you want to transfer incoming payments and open receivables of the customer to final recipients. In addition, you want to extract distribution information to Business Intelligence (BI).

Prerequisites

You executed the report in Customizing for Contract Accounts Receivable and Payable under **Program Enhancements** > **Prepared Enhancements** > **Enhanced Revenue Distribution**. For more information, see the report documentation.

You made the following specifications for the distribution of revenues in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Revenue Distribution**:

- **Define Specifications for Revenue Distribution**
- **Define Main and Subtransactions for the Distribution Posting**
- **Define Specifications for Invoicing**

  If you want to clear distribution documents against other documents during invoicing and create corresponding invoices for the recipient, you have to activate distribution documents for Invoicing in Contract Accounts Receivable and Payable. For more information, see the documentation of the Customizing activity.

You also executed the following activities for enhanced revenue distribution in Customizing for Contract Accounts Receivable and Payable under **Business Transactions** > **Revenue Distribution** > **Enhanced Revenue Distribution**:

- **Make Settings for Enhanced Revenue Distribution**

  Here you can activate enhanced revenue distribution. At the same time, this also activates the distribution of assigned payments (receivables items cleared by payment). In addition, you can activate the distribution of unassigned payments (payments on account with a subtransaction designated as relevant for payment) and expected revenues (line items that are still open, but not including unassigned payments).

- **Define Distribution Groups**

  Here you have to create at least one distribution group. A distribution group groups original line items that belong together based on content and that are to be processed together in revenue distribution. For each distribution group, you can also specify if you want the revenue distribution to be posted in aggregated form. These postings are made using aggregated distribution information that is created for each distribution group and application period (period key). You can analyze, assess, and adjust the aggregated distribution information before you post the distribution documents.

  The prerequisite for creating aggregated distribution information is that you use application periods. This means that the system cannot create aggregated distribution information for applications that do not use application periods.

- **Define Transaction Determination for Distribution Groups**

  You assigned the necessary main and subtransactions to the distribution groups.

- **Define Distribution Periods**

  You defined distribution periods. The distribution period specifies when the revenue distribution was executed in the system.

- **Define Distribution Periods for Distribution Groups**

Assign a start distribution period to each distribution group. After you have made all distributions for the distribution period, you can also increase the distribution period for the individual distribution groups.

Process

1. Enhanced revenue distribution is based on a different technical concept than classic revenue distribution. For example, in enhanced revenue distribution, the final recipients and their respective distribution share of receivables items must already be created and exist in the table of distribution information (DFKKRDI_RATE) before you can post the receivables in Contract Accounts Receivable and Payable. The distribution information is linked to the line items (DFKKOP) using the distribution key - a GUID that is contained in the table of distribution information and in the line items.

   When posting the documents, you can use an installation-specific function module processed at event 5440 to specify which line items you want to be distributed using enhanced revenue distribution. SAP provides the sample function module FKK_SAMPLE_5440. See the documentation of the function module.

   The following applies to the information for the final recipient and the corresponding distribution ratios:

   - For assigned payments and expected revenues, you have to define the final recipient and distribution ratios before the revenue distribution process begins and write them to the table of distribution information (DFKKRDI_RATE) together with the distribution keys created.

     The corresponding distribution key is inherited on the receivables items (DISKEY field in table DFKKOP). You have to make the necessary implementation in a customer project. To add the distribution information, you can use function module FKK_RDI_RATE_INSERT.

     Note for the industry component Public Sector Contract Accounts Receivable and Payable

     To add the distribution information, you can use the Business Rules Framework (BRF). SAP delivers the BRF object TRM_TEMPLATE_OBJECT with the implementing class 0TRMRD001. With an implementation of this class, you can determine the distribution information required.

   - For unassigned payments, you first have to define the final recipients and distribution ratios using an installation-specific function module at event 5420 (sample function module FKK_SAMPLE_5420). This event is called by the mass activity for revenue distribution. The distribution key is not inherited by the payables items (in table DFKKOP), it is only recorded in the distribution table (DFKKRDI).

2. Using the mass activity for revenue distribution, you select the line items that you want the system to distribute to the final recipients using enhanced revenue distribution. On the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Revenue Distribution** > **Distribute Revenues** . The system creates a history of the distribution, similar to the one for classic revenue distribution. (For more information, see Classic Revenue Distribution). Using an installation-specific function module in event 5415, you can exclude individual documents or line items from revenue distribution. For example, you can allow a period of 4 weeks before you forward a received payment to the final recipient.

3. For distribution groups, for which aggregated posting of revenue distribution is supposed to take place, you first have to create aggregated distribution information before you can post the distribution documents. To do so, run the report **Create Aggregated Distribution Information**. On the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Revenue Distribution** . The processing follows these steps:

   - The report reads the complete revenue distribution information from tables DFKKRDI and DFKKRDI_RATE (assigned payments) for the distribution group and application period you enter.

   - The report uses this information determine the proportion of the total amount being distributed that is distributed to each final recipient.

   - Then the report writes this aggregated distribution information to table DFKKRDI_AGGRF. In addition, the report marks the entries from table DFKKRDI that are now to be distributed using the aggregated distribution information.

   You can modify the data created by the report in table DFKKRDI_AGGRF. However, the system does not provide any assistance for this. If you want to use a history for your versions, you can use table DFKKRDI_AGGRFH. The mass activity

for posting distribution documents then uses the aggregated distribution information from table DFKKRDI_AGGRF, rather than the distribution information from table DFKKRDI_RATE.

For more information, see the report documentation.

4. Run the mass activity for posting distribution documents. This activity distributes the revenues to the final recipients. (On the SAP Easy Access screen, choose **Periodic Processing** > **For Contract Accounts** > **Revenue Distribution** > **Post Distribution** .) Based on the amounts to be distributed, the program creates totals for each final recipient. These totals are divided into separate totals for outgoing payments and recalls, as well as for other summarization criteria, such as currency, main and subtransaction, distribution period, and type of distribution. For each total created this way, the system posts a distribution document. The posted distribution document numbers are recorded in table DFKKRDI_DOC and linked using a technical key (a GUID) with the table of revenue distributions (DFKKRDI). The summarization criteria are contained in the structure FKKRDFINAM, which you can add to as needed. This summarization reduces the number of open items on the account of the final recipient.

Distributing Revenues

Use

Using the mass activity **Revenue Distribution** , you select the original documents that are in the system and that are to be distributed.

Prerequisites

If you are using **classic revenue distribution** , then you noted the final recipients in the open items and you cleared the items.

If you are using **enhanced revenue distribution** , then, for assigned payments and expected revenues, you stored the final recipient and distribution ratios under a distribution key in the distribution information table (DFKKRDI_RATE).

Procedure

1. Choose the transaction **Mass Activity: Revenue Distribution** on the SAP Easy Access screen under **Periodic Processing** > **For Contract Accounts** > **Revenue Distribution** > **Distribute Revenues.**
2. Enter a date and an ID that you can use to identify the run later.
3. If enhanced revenue distribution is active, then specify whether you want to use classic revenue distribution or enhanced revenue distribution.
4. Limit the document selection as follows:
   - For classic revenue distribution: by business partner, contract account, company code, or final recipient
   - For enhanced revenue distribution: by business partner, contract account, company code, or distribution group
5. Start a simulation or schedule a run.

   For more information, see Functions for Scheduling Program Runs .

Posting Distribution

Use

You post distribution documents if you want to distribute revenues (incoming payments) to final recipients.

Prerequisites

You have selected the revenues to be distributed (SAP menu: Periodic ProcessingFor Contract AccountsRevenue DistributionDistribute Revenues).

If you want the system to make aggregated postings for a distribution group during enhanced revenue distribution, you must also execute the report Create Aggregated Distribution Information (SAP Easy Access screen: Periodic Processing > For Contract Accounts > Revenue Distribution).

Procedure

1. In the SAP Menu, choose Post Distribution under Periodic Processing > For Contract Accounts > Revenue Distribution).
2. Enter the run date and the ID of the distribution run (Mass Activity: Revenue Distribution) for which you want to post distributions. The system proposes a reconciliation key and the current date as document and posting date.
3. Start the run as a test run, or use the run to post immediately.

Note

To deal with data inconsistencies and incorrect postings, you can use report RFKKRDI_REV for a distribution run that reverses the distribution documents already posted. If a distribution document has already been (partially) cleared, it is reversed with the Create Offsetting Postings for Business Partner Items reversal method. In this case, note that the corresponding reversal document must be cleared by the same business process (for example, by the payment run) as the reversed distribution document.

You cannot reverse the reversal document of a distribution document.

Analysis of Revenue Distribution

Use

To assist you in evaluating revenue distribution, reports are available both for classic revenue distribution and for enhanced revenue distribution.

Features

On the SAP Easy Access screen, under Account > Further Information, you can use the following transactions to analyze revenue distribution. You can also display or print the results, or store them in a file.

- Evaluation of Revenue Distribution (Original Document)

  This report lists the individual distribution information that the mass activity for revenue distribution entered in table DFKKRDI. The report selects on the basis of the original documents. Here original documents are considered to be those documents that contain amounts for distribution. For more information, see the report documentation.

- Evaluation of Revenue Distribution (Distribution Document)

  This report lists the individual distribution information that the mass activity for revenue distribution entered in table DFKKRDI and for which the mass activity already posted the related distribution documents. The selection is based on the

distribution documents, that is, the documents that post amounts to be distributed to the final recipients. For more information, see the report documentation.

Note

We recommend that you no longer use the previous reports **Revenue Distribution: List of Documents** (RFKKRD01) and **Evaluation of Revenue Distribution** (RFKKRD02) starting in Release 6.04. Instead you should use the reports listed above.

You can also extract distribution information for Business Intelligence (BI). On the SAP Easy Access screen, choose **Periodic Processing** > **Extraction for Business Intelligence** > **Extract Revenue Distribution Items**. This report extracts only the distribution information to Business Intelligence (BI) that has been newly entered since the last delta extraction or delta initialization through the mass activity for revenue distribution and the mass activity for posting distribution documents. See also:

The report selects only the distribution information for which you already executed a delta initialization for the distribution group. The extraction has two parts:

- One based on the original documents with their related distribution information
- One based on the distribution documents with their related (possibly aggregated) distribution information

Creating Payment Advice Notes

Use

The revenues to be distributed to final recipients are created in the form of totals postings. The payment program uses these totals postings to create transfers. However, this transfer for the final recipient does not clearly show which business partners have paid which open items. So the final recipient can see which paid items make up the payment amount transferred, you can create a payment advice note. You create it during data medium creation. The payment advice note explains which revenues make up the totals posting to the final recipient.

Prerequisites

- The payment program is used for the payment to the final recipient; the data media are created in the payment program.
- There has been no manual or automatic clearing in the account of the final recipient, which means that you can use the payment program for payment.To prevent clearing, when you post the distribution documents, set the clearing restriction **Z**. This has the effect that only the payment program can perform clearing. To set the clearing restriction, make the appropriate setting in Customizing for **Contract Accounts Receivable and Payable** under **Business Transactions** > **Distribution of Revenues** > **Define Specifications for Distribution of Revenues**.
- If a payment run posts the same amount for both payments to a final recipient and claims for return of receivables due to adjustment postings, it is possible the balance might be cleared to zero. If that is the case, no data media and no payment advice note are created. You can prevent this by defining an installation-specific function module for event 0600. This module should set different grouping criteria for credit memos and debit memos.
- You do not use a separate payment media format for revenue distribution, instead you use the same payment media formats for different payment methods. In the payment media format, you have defined in the company code that a payment note advice is only created if there is an overflow in the information lines. If you use your own payment media format for revenue distribution, you can define in the company code that a payment medium advice note is always created. Some of the following steps are then superfluous.

Procedure

1. In Customizing for Contract Accounts Receivable and Payable choose Business Transactions > Payments > Incoming/Outgoing Payment Creation > Maintain Note to Payee Type for Payment Media.

2. Create a note to payee type (for example, RDI) for the payment media creation for revenue distribution and the payment media format that you use.

   Do not make any entries under User-Defined Specifications for Creation of Note to Payee , and do not set the structure to active.

3. Under Program Technical Specifications for Creation of Note to Payee , enter a customer-defined function module or the function module FKK_PAYMEDIUM_SET_XAVIS provided by SAP. This module forces the creation of a payment advice note in every case. Then set the Struc. Active (structure active) indicator.

4. For the content of the note to payee type for the notification type A , specify the text that is to appear in the note to payee when the payment advice note is created (for example, Payment advice note will follow by mail).

5. In Customizing for Contract Accounts Receivable and Payable choose Business Transactions > Payments > Incoming/Outgoing Payment Creation > Define Payment Methods.

6. Define separate incoming and outgoing payment methods for payments with the final recipient (for example, X and Y), and define the previously created note to payee type (for example, RDI) in these payment methods.

7. Define the incoming and outgoing payment methods X and Y in the contract accounts of the final recipient.

8. Create a customer-specific application form for the payment advice note to the final recipient. SAP provides the example forms of form class FI_CA_PAYMENT: FI_CA_PAYMENT_REV_DIST_SF (SmartForm) and FI_CA_PAYMENT_REV_DIST_PDF (PDF). Note that distribution table DFKKRDI is available for selection in the user exit include RFKKRD_PRINT_SAMPLE_EXIT provided by SAP. If the data selected is sufficient to meet your purposes, you can use this include again. If the data is not sufficient, you have to create your own includes for data procurement.

9. In Customizing for Contract Accounts Receivable and Payable , choose Business Transactions > Payments > Incoming/Outgoing Payment Creation > Define Specifications for Paying Company Code . Define the application form for payment methods X and Y in the payment company code under Specifications for Payment Advice Note .

Invoicing

Use

You use this mass processing run to select open items in Public Sector Contract Accounting to issue them to the assigned business partners as invoices.

Selection of open items without incoming payment method

In Contract Accounts Receivable and Payable, receivables (and credits) are always classed as open items when the payment program cannot make a payment. This is always the case when no details have been given for the payment (such as bank or payment card details). When using the standard settings, only items such as these are selected by the mass run.

Selection of all open items

If you want to include all items in the mass run, including those that already have a payment method maintained for them, define function module `FMCA_INV_ALL_ITEMS_0600` for event `0600` in Customizing for Contract Accounts Receivable and Payable under Program Enhancements > Define Customer-Specific Function Modules.

Integration

Invoicing for **Public Sector Contract Accounting** is completely integrated with the basic functions in **Contract Accounts Receivable and Payable** (see correspondence). When you generate invoices, the data records are passed on to the correspondence container and they can be printed out as invoices using the correspondence print. You define the application forms used in the invoice print in the Print Workbench.

Prerequisites

You have maintained the Customizing settings for invoicing under **Financial Accounting** > **Contract Accounts Receivable and Payable** > **Business Transactions** > **Invoicing**.

- **Exclude Transactions from Invoicing**
- **Define Invoice Types**
- **Define Block Reason for Invoicing**

Features

Program Run

You can execute the program run as a test run or an update run. The system numbers all the open items consecutively. This assignment of invoice numbers takes place in both the update run and the test run.

In exceptional cases, business transactions can be excluded from invoicing by assigning a block reason at contract object or contract account level.

Invoice History

The open items determined by the program are recorded as data records in the invoice history. You can access the invoice history from the **Generate Invoices** screen by selecting **Environment** > **Invoice History**.

In the invoice history, you can navigate to the business partner and contract account master records that are assigned to the data record or call up invoice items. To do so, position the cursor on the relevant data record and choose **Business Partner**, **Contract Account** or **Invoice Items**.

Block Reason for Invoicing

If you want to exclude selective business transactions from invoicing, you can define specific business processes (such as stopping dunning) by defining these block reasons in the associated sub-transactions.

You make these settings in Customizing for **Contract Accounts Receivable and Payable** > **Basic Functions** > **Postings and Documents** > **Document** > **Maintain Document Assignments** > **Maintain Transactions for Public Sector Contract Accounting** > **Maintain Sub-Transactions** > **Company Code-Dependent Attributes**.

Archiving

It is possible to archive invoice history data records. For more information, see Invoice History Archiving.

Activities

For more information, see Invoicing.

Invoicing

Use

You use this mass processing run to select open items in Public Sector Contract Accounting in order to issue them to the assigned business partners as invoices.

Procedure

1. From the Contract Accounting menu, choose Periodic Processing > For Contract Accounts > Correspondence > Generate Invoices .
2. Enter the execution date and the ID, then choose (Continue).
3. Specify the selection parameters for the accounts receivable and accounts payable data you are working with on the General Selections and Detail Selections tabpages.

   If you want to carry out a test run first, set the Test Run indicator.
4. Change the Date and Period on the tab page and specify the issue date and the selection of periods you want to process.

   Note

   The current date is given as the default value for the issue date and is consequently used as the basis for period intervals. If you enter a different issue date, you can amend the period intervals using Adjust Issue Date . You can also define period intervals that do not correspond to the issue date.
5. Enter additional parameters (see Functions for Program Run Scheduling).
6. Choose (Save).
7. Choose Schedule Program Run to run the program.
8. Specify the job parameters in the Schedule Job dialog box, then choose OK.

   Note

   To update the screen while the program is running, choose (enter) (or press the Enter key). The end of the program run is then displayed in the Run Status screen area.

Result

You can call up the open items determined by choosing:

- Environment > Invoice Historyin the Generate Invoices program
- Account > Additional Information > Invoice Historyin theContract Accountingmenu.

You can view the result of the log run by choosing Application Log on the Log tabpage.